



**Management Board Activity
Report for "DINO POLSKA" S.A.
and the "DINO POLSKA" S.A.
Group in 2021**



This document is an unofficial translation of the official Management Board Activity Report for „DINO POLSKA” S.A. and the „DINO POLSKA” S.A. Group in 2021, which has been published in the xHTML format and signed by the Management Board Members of „DINO POLSKA” S.A. using qualified electronic signatures.

„DINO POLSKA” Spółka Akcyjna

Joint stock company with its registered office in Krotoszyn at ul. Ostrowska 122, 63-700 Krotoszyn, entered in the register of businesses of the National Court Register under file number 0000408273. NIP no. 6211766191, REGON no. 300820828. The Company's share capital as at 31 December 2021 was PLN 9,804,000.00 and consisted of 98,040,000 shares with a nominal value of PLN 0.10 each.

This document contains the Management Board Report for “DINO POLSKA” S.A. (“Dino Polska”, “Company”, “Parent Company”) on the Activity of the “DINO POLSKA” S.A. Group (“Group”, “Dino Group”, “Dino Polska Group”) in 2021 and the Management Board Report on the Parent Company's Activity. The Group includes the parent company and subsidiaries over which Dino Polska exercises total control (“Subsidiaries”). Unless specified otherwise, the data in this Report comes from Dino Polska. Unless specified otherwise, the data in this Report comes from the Company's standalone or consolidated financial statements.

This document was approved for publication on 10 March 2022 (“Report Date”). The date of publication of this document is 10 March 2022.

Whenever the term Consolidated Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2021 prepared in accordance with the International Financial Reporting Standards approved for use in the EU.

Whenever the term Company's Financial Statements is used in this document, it means the Financial Statements for the year ended 31 December 2021 prepared on the basis of the Accounting Act.

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1. LETTER FROM A MANAGEMENT BOARD MEMBER OF DINO POLSKA

Dear Investors, Employees and Shareholders,

In 2021 we continued the geographic expansion of our network with the outcome being the opening of 343 new Dino stores across the country – some 35% more than one year ago. At the end of the year, we had 1,815 stores bearing Dino's distinctive red logo on its roof tops. These stores are liked and readily frequented by Poles as the figures confirm. In 2021 consumers made more than 1.1 million purchases a day on average in our stores, up by more than 30% versus 2020.

Every day we strive to serve our clients even better and satisfy their tastes to an even greater degree. That is why our store format and its product offering are constantly evolving, while our passion for the retail trade poises us to become the favorite store for local communities to do their daily shopping. This is producing results not only in terms of the number of visits but also in the value of purchases made in Dino stores. In 2021 Dino Polska's revenue climbed 32% to PLN 13.4 billion, while like-for-like sales grew 12.4% (LfL; in stores in operation for more than a year). In this same period our EBITDA result rose 22.7% to PLN 1.27 billion. It climbed slower than our revenue because we remained true to our pricing policy in the face of the mounting inflationary pressure we grappled with in the latter half of the year in the supply chain, and every day we endeavored to offer our clients hundreds of products at attractive prices in promotions. Additionally, in 2021 the new retail sales tax took effect, leading to a burden on our results of PLN 170 million.

In 2021, just as in previous years, we earmarked the entirety of our profit for ongoing network development. Furthermore, we supported this with the proceeds we obtain from issuing bonds, among other sources. As a result, Dino Polska's total capital expenditures totaled PLN 1.35 billion last year, while they totaled PLN 4.4 billion over the years from 2017 to 2021. This has made it possible to create 6.6 thousand new jobs in 2021 and 21.8 thousand new jobs in the last 5 years. At the end of 2021 we had 32.4 thousand employees. These numbers place us among the most active business entities in Poland.

In subsequent years we would like not only to belong to this club, but we would also like to stand out in a positive way in terms of making investments to reduce our environmental impact. That is why we have intensified our efforts to source electricity from renewable sources. In 2021, we installed PV panels on the roof tops of nearly 440 Dino stores. At the end of the year, we had more than 800 such installations with a total capacity of 29 MW. This enabled us to generate 15.2 GWh of solar power, more than 5 times more than in 2020.

We have ambitious plans for 2022. The capital expenditures slated for this year will be PLN 1.5 billion and will be designated to open an even greater number of stores than in last year. In parallel we will expand the network of our distribution centers. Following the opening of two new centers in 2021, we will build even more this year. We will designate more capital expenditures than in previous years to expand the production capacities of the Agro-Rydzyna meat processing plant to be able to satisfy effectively the needs to buy the highest quality fresh meat among our growing numbers of clients.

Our priorities for this year include providing for a high level of availability of merchandise in our stores at the best possible prices. In conjunction with the stable condition of consumers, which we have observed in the first months of the year, this should allow us to maintain a high pace of top line growth throughout the year, and an LfL growth rate similar to the one seen in previous years. In turn, the rapid growth in business size should be a factor conducive to our company neutralizing the inflationary pressure observed since the second half of 2021 on expenses.

Respectfully,

Michał Krauze

Member of the Management Board of "DINO POLSKA" S.A.

2. FINANCIAL HIGHLIGHTS OF DINO POLSKA AND THE GROUP

"DINO POLSKA" S.A. GROUP

	PLN 000s		EUR 000s*	
	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Sales revenue	13,362,012	10,125,815	2,919,063	2,263,157
Operating profit	1,023,993	837,859	223,701	187,265
Profit before tax	978,409	789,000	213,743	176,344
Net profit	805,303	643,917	175,926	143,918
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	8.21	6.57	1.79	1.47
Cash flow from operating activities	1,326,331	819,922	289,750	183,256
Cash flow from investing activities	(1,330,728)	(1,000,136)	(290,711)	(223,534)
Cash flow from financing activities	(57,406)	265,912	(12,541)	59,432
Net change in cash and cash equivalents	(61,803)	85,698	(13,501)	19,154

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period was used:

- NBP's average exchange rate in 2021: 4.5775 PLN/EUR
- NBP's average exchange rate in 2020: 4.4742 PLN/EUR

	PLN 000s		EUR 000s*	
	As at 31.12.2021	As at 31.12.2020	As at 31.12.2021	As at 31.12.2020
Total assets	7,168,531	5,570,510	1,558,580	1,207,097
Total non-current assets	5,183,347	4,053,812	1,126,962	878,437
Total current assets	1,985,184	1,516,698	431,618	328,660
Equity	3,070,190	2,266,563	667,520	491,151
Share capital	9,804	9,804	2,132	2,124
Non-current liabilities	1,092,804	1,223,256	237,597	265,072
Current liabilities	3,005,537	2,080,691	653,463	450,873

In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2021: 4.5994 PLN/EUR
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR

"DINO POLSKA" S.A.

	PLN 000s		EUR 000s*	
	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020	01.01.2021- 31.12.2021	01.01.2020- 31.12.2020
Sales revenue	13,339,312	10,115,839	2,914,104	2,260,927
Operating profit	780,282	626,191	170,460	139,956
Profit before tax	730,598	578,460	159,606	129,288
Net profit	591,217	468,036	129,157	104,608
Number of shares	98,040,000	98,040,000	98,040,000	98,040,000
Basic / diluted earnings per share in PLN, EUR	6.03	4.77	1.32	1.07
Cash flow from operating activities	1,174,079	676,122	256,489	151,116
Cash flow from investing activities	(1,204,025)	(832,580)	(263,031)	(186,085)
Cash flow from financing activities	(13,430)	202,366	(2,934)	45,230
Net change in cash and cash equivalents	(43,376)	45,908	(9,476)	10,261

*In the case of data in EUR, the arithmetic mean of the EUR/PLN exchange rates published by the National Bank of Poland on the last day of every month in a given reporting period was used:

- NBP's average exchange rate in 2021: 4.5775 PLN/EUR
- NBP's average exchange rate in 2020: 4.4742 PLN/EUR

	PLN 000s		EUR 000s*	
	as at 31 December 2021	as at 31 December 2020	as at 31 December 2021	as at 31 December 2020
Total assets	6,564,444	4,987,834	1,428,014	1,080,834
Total non-current assets	4,480,034	3,424,928	974,047	742,162
Total current assets	2,084,410	1,562,906	453,967	338,673
Equity	2,307,424	1,716,207	501,679	371,892
Share capital	9,804	9,804	2,132	2,124
Non-current liabilities	923,671	1,013,795	200,824	219,683
Current liabilities	3,210,864	2,166,999	698,880	469,576

In the case of data in EUR, the average EUR/PLN exchange rates in the period, as published by the National Bank of Poland, were used:

- NBP's average exchange rate as at 31 December 2021: 4.5994 PLN/EUR
- NBP's average exchange rate as at 31 December 2020: 4.6148 PLN/EUR

3. OPERATIONS OF DINO POLSKA AND THE GROUP

3.1. Business profile

Dino is a nationwide network in Poland consisting of medium-sized grocery supermarkets located close to customers' places of residence. The Company is one of the fastest growing retail grocery networks in Poland measured by the number of stores and revenues.

Dino Polska's business model combines the advantages of the format provided to customers by medium-sized stores situated in convenient locations, in most cases close to their places of residence or featuring much more traffic, with the ability to open new stores quickly and an attractive product range, comprising primarily branded and fresh products at competitive prices.

As at 31 December 2021, the Dino network consisted of 1,815 stores with a total selling area of 710,433 square meters. Dino Polska has many years of experience and a proven capacity to open new stores, enabling it to grow its number of stores by 838, i.e. 86%, in the period of three years up to 31 December 2021. Its network expansion has been accompanied by significant like for like (LFL) revenue growth in its current store network, which in 2021 stood at 12.4% compared to 2020. Dino Polska continues to develop its network rapidly, consistently looking for sites for its new stores.

Dino Polska's operating strategy is based on a standard store design, equipped with parking places for its customers and supplied with fresh products every day of the week. Most stores have a sales floor area of approx. 400 square meters. Each store offers its customers approx. 5,000 stock keeping units (SKUs), for the most part well-known branded products and fresh products as well as a meat counter manned by store staff.

The Dino Polska Group's business model is scalable to a large extent. It comprises centralized management supported by suitable IT systems, a logistics network based on seven distribution centers and the transportation network managed by Dino. Dino sources most products directly from producers or their main representatives. The large and constantly growing volumes of orders we place with suppliers accrue benefits in the form of economies of scale. They enable Dino to make purchases on favorable terms that should improve steadily as the sales network continues to expand. These drivers, combined with operational leverage and store network maturation, consistently enhance the Dino Polska Group's profitability.

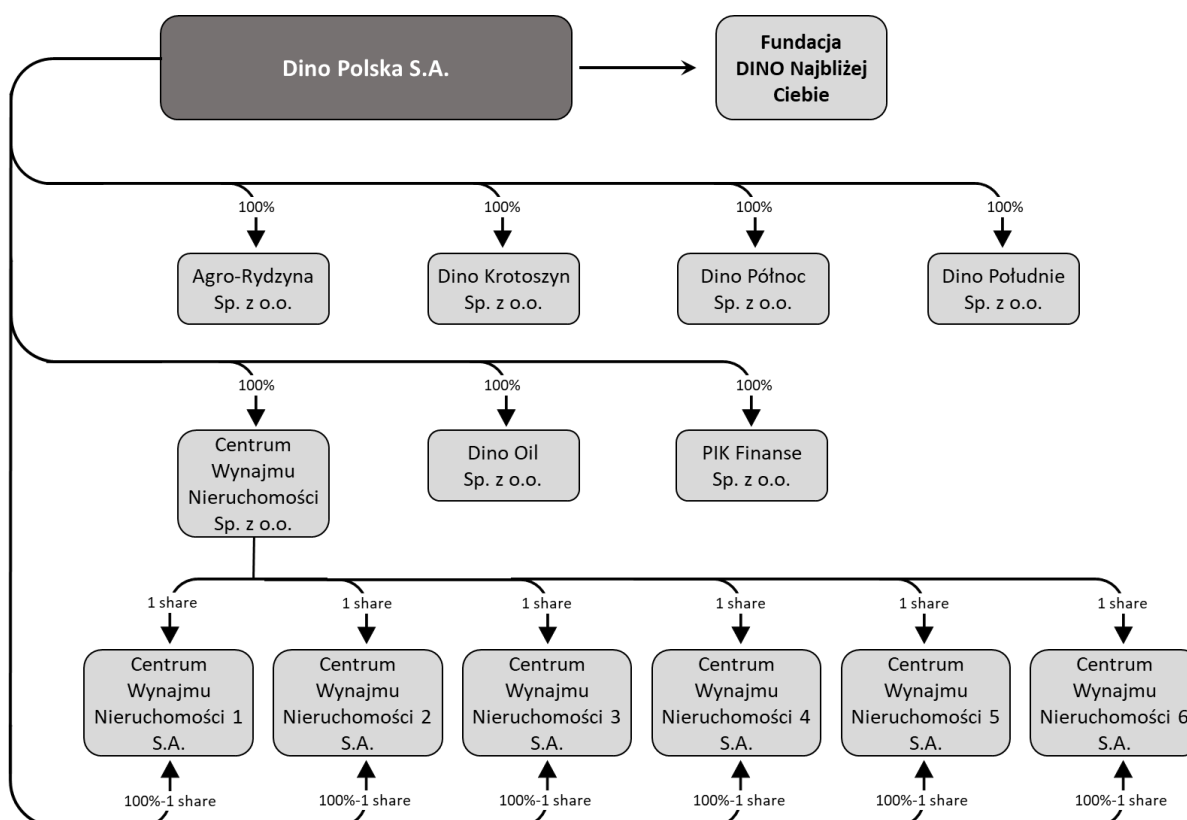
3.2. Description of the Group

Dino Polska is the parent company of the Dino Polska Group. The company runs a business involving the management of the store network under the Dino brand. The Company manages, among others, the logistics of supply of products to the stores, sales, product range offered in the stores and supports other Subsidiaries (Real Estate Lease Centers) execution of investment processes related to securing new sites and opening the Company's new distribution centers. The Company also owns most of the real properties on which the stores are located and leases facilities in which the stores are located from third parties and other Group Companies that own the properties.

As at 31 December 2021 and 31 December 2020, the share Dino Polska and other Dino Polska Group entities have in their subsidiaries was equal to these entities' share of capital.

Agro-Rydzyna sp. z o.o. runs a meat processing plant that produces cold cuts and fresh meat. Dino Krotoszyn sp. z o.o. and Dino Południe sp. z o.o. own part of the warehouse space used by the Group and they render warehouse services in favor of the Group. Dino Oil sp. z o.o. renders shipping services. PIK Finans Sp. z o.o. is an institution rendering insurance intermediation services and financial services. Dino Północ sp. z o.o. did not conduct operating activity at the end of 2021.

The chart below depicts the Dino Polska Group's structure



In 2021 there were no major changes to the structure of the Dino Polska Group or to how it is managed.

Neither Dino Polska nor any Subsidiary holds shares and interest in other entities than the ones specified on the chart above, nor does it have any financial instruments that may exert a material impact on their operations, an assessment of its assets and liabilities, financial standing and statement of profit or loss. Neither the Company nor any Subsidiary made any equity investments outside the Group in 2021. Dino Polska did not buy any treasury stock or shares in 2021 or in prior years. Dino Polska's main investments are linked to buying property, plant and equipment in connection with the expansion of Dino's store network. They are effected in the territory of Poland only and financed with own resources earned on operations and from external sources, such as interest-bearing bank loans, bonds and financial leases.

3.3. Operating activity in 2021

The Dino Polska Group's operations are conducted in Poland. The Group runs a modern network consisting of medium-size grocery supermarkets located close to clients' place of residence. As at 31 December 2021, the Dino network consisted of 1,815 stores with a total selling area of 710,433 square meters.

The table below shows the Dino store count and the total selling area at the end of the year.

	As at 31 December										
	2021	2020	2019	2018	2017	2016	2015	2014	2013	2012	2011
Total number of stores	1,815	1,473	1,218	977	775	628	511	410	324	234	154
Sales area (thousand square meters)	710	573	472	376	295	238	192	151	119	81	50

Products

The Dino Polska Group sells solely in Poland. Dino stores offer their clients roughly 5 thousand stock keeping units (SKUs) chiefly consisting of branded and fresh products. Fresh products accounted for 37% of sales revenue in 2021. Dino focuses on offering branded products at attractive prices. In 2021 branded products accounted for the vast majority of revenue (net of fresh products, including the products of the Agro-Rydzyna meat processing plant).

Product categories

The major product categories sold by the Company and the Dino Polska Group include the following: (i) fresh groceries, including the meat products supplied by Agro-Rydzyna; (ii) other groceries; and (iii) non-grocery products. These product categories represented 37%, 50% and 13%, respectively of revenue in 2021.

The table below shows the structure of sales revenues by product in individual periods.

	2021	2020	2019
Fresh products	37	38	38
Other groceries	50	49	50
Non-grocery products	13	13	12

Fresh food products

In 2021 fresh products accounted for 37% of sales revenue in Dino Polska and the Dino Polska Group. In this category Dino's stores offer a wide array of products, including meat, poultry and cold cuts, fruit and vegetables, dairy products and bread. Fresh products are delivered to stores every day of the week.

Other groceries

Other groceries consist of a full range of groceries spanning the following in particular: children's food, breakfast products, ready to eat meals, beverages, candies, snacks, frozen goods, processed goods, oils, grain and bulk products, condiments and alcohol and cigarettes. For the most part, these are FMCG branded products with a high level of recognition. In 2021 they accounted for 50% of sales revenue in Dino Polska and the Dino Polska Group.

Non-grocery products

In 2021 non-grocery products accounted for 13% of sales revenue in Dino Polska and the Dino Polska Group. These products include, among others, flowers, cleaning agents, sanitary articles, pet food and small household appliance products.

Procurement of products

The Dino Polska Group has a diversified supplier base including above all producers and their main representatives. Dino Polska believes that on account of its size and the expansion of its operating activity it is one of the largest and fastest growing clients for many suppliers of grocery articles in Poland. Dino Polska has also adopted a policy of closely cooperating with the producers of brands with a lower of recognition, to give clients a less expensive alternative to the leading brands. Moreover, Dino stores offer, to a limited extent, private label products, which (with the exception of the Agro-Rydzyna products) accounted for 4.1% of sales revenue in 2021 (3.8% in 2020).

Suppliers

The Dino Polska Group collaborates with many suppliers from the FMCG industry. In 2021, the top 10 suppliers (excluding Agro-Rydzyna) accounted for nearly 16% of the Dino Polska Group's revenue, while the largest supplier from outside the Dino Polska Group accounted for less than 5% of the Dino Polska Group's revenue.

Agro-Rydzyna

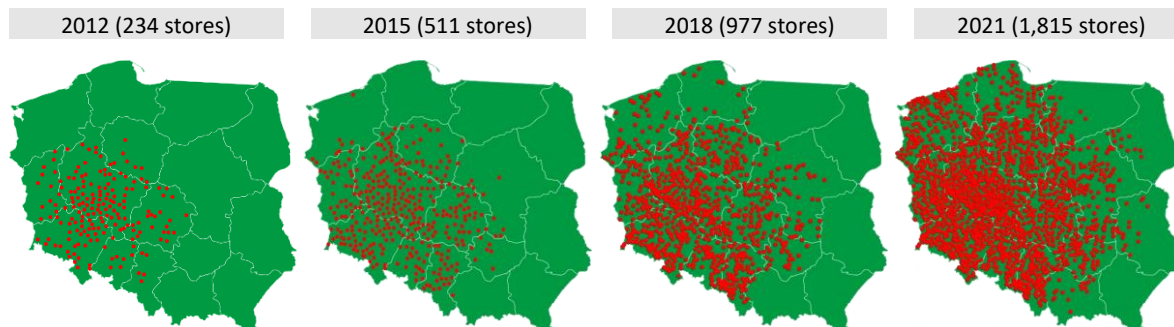
Agro-Rydzyna is a producer and supplier of high quality fresh pork meat to Dino stores and the primary supplier of cold cuts. Moreover, Agro-Rydzyna acts as a middleman in the purchase of poultry meat for the Dino stores from third party suppliers. The whole production of the meat processing plant operated by Agro-Rydzyna is sold

through the Dino store network. In 2021 products supplied by Agro-Rydzyna generated more than 11% of sales revenue in Dino Polska.

Store network

As at 31 December 2021, the Dino network consisted of 1,815 stores with a total selling area of 710,433 square meters. In 2021 Dino Polska opened 343 new stores compared to 255 stores opened in 2020.

The process of enlarging the Dino store network is depicted on the maps below.



Dino stores feature a homogenous format. The typical Dino store is a free-standing building open from 6:00 a.m. to 10:30 p.m. Most stores have a sales floor area of approx. 400 square meters and are located on plots with a parking lot for 10-30 vehicles. The store locations are diligently selected so that they are situated in sites with a large intensity of footfall or automobile traffic.

The table below shows information on the total number of Dino stores and the total selling area in the Dino stores.

	As at 31 December		
	2021	2020	2019
Number of new store openings	343	255	243
Total number of stores at the end of the period	1,815	1,473	1,218
Total selling area (m ²)	710,433	573,489	472,224
Growth of sales area y/y	23.9%	21.4%	25.7%

Warehousing and distribution

The Dino store network is supported by an efficient, centrally-managed warehousing and distribution system spanning seven distribution centers and a network of independent transportation companies.

Distribution centers

The products offered in Dino stores are distributed by seven distribution centers that are capable of making deliveries to a total of approx. 2,500-2,800 stores. In 2021 the Dino Group launched two new distribution centers in Sieroniewice in the Opolskie region and in Sierpc in the Masovian region. The total amount of space in the distribution centers at the end of 2021 was 317 thousand square meters and was 43% higher than at the end of 2020.

The table below shows the area of Dino Polska's distribution centers as at 31 December 2021

	Warehouse space (thousand square meters)
Distribution Center in Krotoszyn	50.6
Distribution Center in Jastrowie	36.1
Distribution Center in Rzeszotary	46.6
Distribution Center in Wolborz	42.3
Distribution Center in Łobez	46.2
Distribution Center in Sieroniuwice	47.6
Distribution Center in Sierpc	47.6
Total	317.0

3.4. Growth strategy

Dino Polska's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the current store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group.

Continuation of rapid organic growth in the number of stores

The Dino Group consistently pursues the expansion of the Dino store network, opening 123 new stores in 2016, 147 in 2017, 202 in 2018, 243 in 2019, 255 in 2020 and 343 in 2021, increasing the selling area by 24.4%, 23.8%, 27.3%, 25.7%, 21.4% and 23.9%, respectively.

As a result, at the end of 2021, the Company had 1,815 stores versus the end of 2015 when the store count stood at 511. The Management Board of Dino Polska intends to maintain the high pace of growth in the number of Dino stores in subsequent years. Considering the relatively small share of the Dino network of less than 5% in the retail grocery market in Poland, the Management Board of Dino Polska plans to continue to leverage the network's ability to grow organically in its current form by doing the following: (i) continuing to drive up its store density in its current areas of operation and (ii) steadily expanding in new regions, which ultimately should have a similar saturation of Dino stores to other regions in the country.

In the opinion of the Company's Management Board, the attainment of this goal will be supported by the potential of the Polish market, still leveraged by the Company only to a small extent, extensive experience of Dino Polska's management in selection of attractive locations and uniform store format which supports fast opening of new stores.

In the next few years the Dino Group intends to make additional investments supporting new openings, including:

- regularly secure sites for further development in existing and new regions;
- build further distribution centers, assuming that one center is able to service approx. 350-400 stores; and
- develop the production capacities of the meat processing plant operated by Agro-Rydzyňa through its expansion and replacement of the production lines with new ones, and commissioning another meat processing plant in a new location, and open smaller meat separation plants in the areas of selected distribution centers.

Continued growth in LFL sales revenue in the current store network

Dino Polska anticipates that it will be able to continue growing LFL sales revenue in the current store network. For this purpose the Company will undertake efforts to increase the number of clients doing their shopping in Dino stores and the value of purchases per client.

Dino Polska is aware of the key trends contributing to a change in the lifestyle led by consumers and the customs concerning the purchases of groceries, also including the following:

- looking for stores close to the place of residence and striving for convenience when making purchases;
- demanding high quality and branded products; and
- ever higher health awareness and greater interest in fresh and healthy food, including Polish products.

The model adopted by Dino Polska of having modern medium-sized supermarkets situated close to peoples' place of residence is aligned to the consumer trends described above. The Company expects that this will continue to translate into the ability to sustain a high growth rate of opening new stores and to sustain a high pace of sales growth in the current store network (LFL) compared to the overall market.

The Company intends to continue an active product range policy, providing for constant adaptation of the Dino stores' offering to customer expectations, which will evolve together with consumers' increasing disposable income.

The Dino Group's ability to utilize (i) direct access to reputable domestic and regional producers of branded products, (ii) its own Agro-Rydzyna meat processing plant and (iii) efficient logistics network to make daily deliveries of fresh products enables the Dino Polska Group to derive benefit from these trends, which should support revenue growth in the current store network (LFL).

Consistent improvement in profitability

In past years the Dino Polska Group has generated robust growth in its gross margin on sales and its EBITDA margin and it expects that it will be capable of improving its profitability by increasing the magnitude of its operations, the favorable nature of its business model and several strategic initiatives. They comprise:

- benefits of scale leading to further improvement in the terms of trade due to the rapid store network expansion and the sales growth in the current store network, and consequently, the rapidly growing volume of purchased products;
- greater cost effectiveness at the individual store level thanks to the systematically conducted actions to cut the costs of running a store;
- operational leverage pushing up the EBITDA margin on account of relatively fixed costs rising more slowly than revenue;
- planned investments to optimize the logistics network by opening further distribution centers, thereby shortening the supply routes and this should make it possible to further improve the cost effectiveness of transport; and
- continuing the Dino Polska's effective and savings-minded marketing policy.

Dino Polska anticipates that all these strategic initiatives and characteristic attributes of its business model will contribute to further improvement in the Company and Dino Polska Group's profitability.

Development consistent with the natural environment

Dino Polska regularly analyzes the risks related to its impact on the climate as well as the climate's impact on the business model selected by Dino Polska. The dedicated Environmental Protection Team is responsible for monitoring Dino Polska's environmental impact and undertaking initiatives in this area.

The execution of Dino Polska's environmental policy focusing on gradually curtailing the Dino Group's environmental impact calls for maintaining a high level of standardization and refining Dino's store format and distribution centers to facilitate the implementation of environmentally-friendly initiatives and enhance their effectiveness. These initiatives are followed in particular in the following three areas:

- using electricity originating from renewable energy sources, in particular by installing PV panels on the Dino Group's stores and distribution centers and curtailing electricity consumption by consistently replacing equipment with equipment that saves more energy and facilitates energy recovery;

- improving the effectiveness of the transport network, in particular by doing the following: i) shortening the distance between stores and distribution centers (in line with the growing density of the Dino store network and the development of the network of Dino Polska's distribution centers; ii) using a fleet of trucks that meet more and more stringent environmental standards, especially with ever lower exhaust emissions; and iii) optimizing the usage of delivery vehicles and loading space and collaborating with Dino Polska's suppliers to reduce the number of trips made by trucks that do not carry a full load or are empty;
- following rational waste management and minimizing the mass of waste produced in particular by doing the following: i) adhering to and promoting waste segregation procedures in all areas of its business; ii) recycling all return packaging made using film, cardboard and glass; iii) reusing selected return packaging in the order assembly process; iv) using multi-use packaging in product distribution (subject to appropriate disinfection), to prevent the emergence of disposable plastic waste with every delivery; v) cooperating with suppliers to employ multi-use packaging for fruit and vegetables so that waste is not created in the form of disposable bulk packaging.

3.5. Growth prospects in 2022

The objective of the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The following trends and events will affect the Dino Polska and Group's business until the end of 2022:

- macroeconomic situation in Poland, also accompanied by the minimum wage hike in Poland and the operation of social programs resulting in consumers' rising disposable income and spending on consumption;
- rising prices of agricultural commodities, electricity, natural gas, packaging and labor costs, which translates into rising costs of producing food, and hence to higher prices for the products store networks buy from food producers. In addition, the above factors directly affect the Dino Polska Group's operating expenses and taken together they may exert pressure on the Group's profitability;
- rising prices of consumer goods and services, which in the event of an excessively high pace of growth may adversely affect the purchasing power of consumers and their willingness to spend money, and as a result on sales in Dino stores;
- changing trends and habits among consumers (in particular an active lifestyle, less leisure time, higher frequency and shortened duration of shopping, attaching greater attention to the convenient location of stores) which lead to a stagnation of sales in hypermarkets and growth of sales in those market segments that enable less time-consuming purchases;
- epidemiological situation; the Company monitors the epidemiological situation and its impact on its business on an ongoing basis. In 2020 the Company rolled out, and in 2021 it continued, a rigorous sanitary regime in all of its areas of activity and smoothly adapted to the evolving sanitary requirements and restrictions related to the epidemic imposed on store networks. As a result, the Company was able to maintain business continuity and its operational efficiency in full in all of the areas of its activity. As at the date of this Report, all areas of the Company's operating activity are functioning efficiently and there are no significant reasons for revising the performance targets or plans set by the Management Board for 2022. However, one cannot rule out the possibility that the development of the epidemiological situation and the related measures and the restrictions may affect the supply chain and how store networks conduct their operations, and may also contribute to demand volatility among consumers.

One special factor that will affect Dino Polska's business in 2022 is war in the Ukraine. Although Dino Polska does not operate outside Poland and in principle it does not procure products from Russia and Ukraine in a conflict zone, and therefore, on the Report Date, it has not identified a direct material impact exerted by the conflict on the Company's business, one cannot preclude that as a result of the war, its impact on Ukraine's economy and the sanctions imposed on Russia, disruptions may emerge on the international markets for agricultural markets and other commodities. That in turn may ratchet up the pressure to increase the costs of producing foodstuffs and their packaging. These costs may subsequently be passed on to store networks and that may also generally contribute to higher operating expenses among food producers and distributors. The possible

impact of a military conflict in a country neighboring with Poland on the sentiment of Polish consumers may be mitigated in the case of Dino Polska's business by the fact that Dino stores distribute food, in other words, staples.

Due to uncertainty about future economic conditions, the Company's expectations and projections are subject to a high dose of uncertainty. Moreover, the following factors will have a significant impact on the development of the Company and the Group in the future:

- Dino Polska's ability to open the number of stores assumed in the strategy and develop the related logistics functions comprising new distribution centers and increased transportation capacities, as well as increasing the production capacities in the meat processing plant operated by Agro-Rydzyňa;
- improved efficiency of operations, benefits resulting from economies of scale and optimization of operating expenses, in particular in the face of rising labor costs;
- improved efficiency of logistics services provided to all stores;
- accessibility of funding sources;
- competition from other retail sales networks;
- changing legal regulations and standards, including tax burdens on business operators;
- costs of operating retail trade business caused by the introduction of new provisions of consumer law, labor law, sanitary law and environmental law;
- unstable and uncertain situation on the labor market in various regions of the country;
- prices of fuel and other energy carriers, translating into operating expenses for the Group's companies, including costs of merchandise purchases.

4. ECONOMIC AND FINANCIAL STANDING

The objective of Dino Polska and the Dino Polska Group is to continue the pursuit of the strategy aimed at developing its supermarket network through regular openings of new stores. The Company expects to run a profitable business in the foreseeable future.

4.1. Recap of the Dino Polska Group's results

In 2021, the Dino Polska Group generated sales revenue of PLN 13,362.0 million, up 32.0% compared to the year before. The cumulative average growth rate (CAGR) of sales revenue for 2019-2021 was 31.8%.

The table below presents selected line items from the consolidated statement of profit or loss.

	For the year ended 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Sales revenue	13,362,012	10,125,815	7,646,547	32.0
Cost of sales	(10,038,342)	(7,521,986)	(5,785,119)	33.5
Gross profit on sales	3,323,670	2,603,829	1,861,428	27.6
Other operating income	14,364	7,598	7,531	89.0
Sales and marketing expenses	(2,181,963)	(1,668,084)	(1,228,136)	30.8
General administration expenses	(117,285)	(99,783)	(74,498)	17.5
Other operating expenses	(14,793)	(5,701)	(4,416)	159.5
Operating profit	1,023,993	837,859	561,909	22.2
Financial income	1,119	3,237	938	-65.4
Financial expenses	(46,703)	(52,096)	(60,387)	-10.4
Profit before tax	978,409	789,000	502,460	24.0
Income tax	(173,106)	(145,083)	(91,553)	19.3
Net profit	805,303	643,917	410,907	25.1

Sales revenue

Sales revenue sales revenue rose PLN 3,236.2 million, or 32.0% to PLN 13,362.0 million in 2021 versus PLN 10,125.8 million in 2020. This growth was driven by sales revenue on goods and materials climbing by PLN 2,967.7 million, or 33.5% to PLN 11,824.4 million in 2021 versus PLN 8,856.7 million in 2020. Sales revenue on products and services climbed PLN 268.5 million, or 21.2% to PLN 1,537.7 million in 2021 from PLN 1,269.1 million in 2020. The increase in sales revenue was driven mainly by the higher magnitude of the Dino Polska Group's business, predominantly by the following: (i) growth in the store count by 23.2% and (ii) higher LFL sales in the current store network by 12.4%.

Cost of sales

Cost of sales in 2021, cost of sales represented 75.1% of sales revenue, whereas in 2020 it stood at 74.3% of sales revenue. Cost of sales cost of sales increased by PLN 2,516.4 million, or 33.5%, from to PLN 10,038.3 million in 2021 from PLN 7,522.0 million in 2020, with a 32.0% increase in sales revenue. This growth was caused mainly by the Dino Polska Group's growing business size in connection with the expansion of the Dino store network and rising sales in existing stores (LFL). To a lesser extent, it was also driven by higher prices to purchase merchandise.

Sales and marketing expenses

Sales and marketing expenses Sales and marketing expenses rose PLN 513.9 million, or 30.8% to PLN 2,182.0 million in 2021 versus PLN 1,668.1 million in 2020. This increase was caused principally by the Group's growing business size, the related store network expansion and rising LfL sales, which was connected with the necessity

of incurring the higher costs related to store maintenance and storing goods. The ratio of sales and marketing expenses to sales revenues in 2021 was 16.3%, while in 2020 it stood at 16.5%.

General administration expenses

General administration expenses general administration expenses rose by PLN 17.5 million, or 17.5%, to PLN 117.3 million in 2021 as compared to PLN 99.8 million in 2020. The ratio of general administration expenses to sales revenue was 0.9% in 2021 and was lower than in 2020 when it was 1.0%.

Costs by nature

The following table presents costs by nature.

	For the year ended 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Depreciation and amortization	247,343	198,146	163,517	24.8
Consumption of materials and energy	1,041,193	870,745	704,142	19.6
External services	446,303	333,870	305,862	33.7
Taxes and fees	242,787	50,226	38,096	383.4
Employee benefits	1,577,930	1,209,946	854,033	30.4
Other costs by nature	53,988	42,226	34,543	27.9
Cost of goods and materials sold	8,730,389	6,587,035	4,989,994	32.5
Total costs by nature, including:	12,339,933	9,292,194	7,090,187	32.8
Items captured in cost of sales	10,038,342	7,521,986	5,785,119	33.5
Items captured in sales and marketing expenses	2,181,963	1,668,084	1,228,136	30.8
Items captured in general administration expenses	117,285	99,783	74,498	17.5
Movement in products	2,343	2,341	2,434	0.1

Total costs by nature rose PLN 3,047.7 million, or 32.8%, to PLN 12,339.9 million in 2021, compared to PLN 9,292.2 million in 2020, mainly as a result of higher: (i) costs of goods and materials sold (up PLN 2,143.4 million), (ii) costs of employee benefits (up PLN 368 million), (iii) costs of taxes and fees (up PLN 192.6 million) and (iv) consumption of materials and energy (up PLN 170.4 million). This growth was caused mainly by the expansion of the Dino store network and rising sales in the current store network (LFL). The significant growth in the line item taxes and fees also ensued from the new retail sales tax, which took force at the outset of 2021.

Employee benefits

Employee benefits the costs of employee benefits moved up PLN 368.0 million, or 30.4% to PLN 1,577.9 million in 2021 versus PLN 1,209.9 million in 2020. This growth resulted primarily from the higher number of Dino Polska Group employees from 25,840 as at 31 December 2020 to 32,426 as at 31 December 2021 in connection with the Dino Polska Group's expanding business size and the related expansion of the Dino store network as well as rising sales in the existing stores (LFL) and, to a lesser extent, from the higher average employee compensation in the Dino Polska Group.

Consumption of materials and energy

Consumption of materials and energy consumption of materials and energy increased by PLN 170.4 million, or 19.6%, to PLN 1,041.2 million in 2021 versus PLN 870.7 million in 2020. This growth was mainly caused by the higher consumption of materials and commodities in connection with the growing business size, the related store network rollout and growing LFL sales.

External services

External services, which comprised in particular transportation services, lease and tenancy services, property security services, maintenance services and waste removal services increased by PLN 112.4 million, or 33.7%,

to PLN 446.3 million in 2021 compared to PLN 333.9 million in 2020. This growth was mainly caused by the Group's expanding size and the related store network rollout and growing LFL sales.

Financial expenses

The Dino Polska Group's financial expenses dipped by PLN 5.4 million, or 10.4%, to PLN 46.7 million in 2021 compared to PLN 52.1 million in 2020. This decline ensued from lower interest on financial liabilities due to lower interest rates.

Income tax

In 2021, the Dino Polska Group's income tax was PLN 173.1 million compared to PLN 145.1 million in 2020. The effective tax rate was 17.7% and 18.4% in 2021 and 2020, respectively, while the statutory corporate income tax (CIT) rate was 19%. The decline in the effective tax rate in 2021 stems from recognizing the tax asset related to the Dino Group's investments in special economic zones.

EBITDA result

In 2021 the Dino Group recorded an increase in the EBITDA result by PLN 235.3 million, or 22.7%, to PLN 1,271.3 million from PLN 1,036.0 million in 2020. The EBITDA margin in 2021 was 9.5% while in 2020 it was 10.2%. Operating profit (EBIT) in 2021 totaled PLN 1,024.0 million and was PLN 186.1 million (22.2%) higher than in 2020. The EBIT profit margin dipped from 8.3% in 2020 to 7.7% in 2021 as a consequence of significant inflation of the prices for the goods the Company buys from food producers coupled with an accordingly lower rate of increase in the prices at which these goods are subsequently sold in Dino stores.

The following table presents the split of the EBITDA result.

	For the year ended 31 December			Change
	2021	2020	2019	2021 / 2020
	(PLN thousand)			(%)
Net profit	805,303	643,917	410,907	25.1
Income tax	(173,106)	(145,083)	(91,553)	19.3
Result on financing activity	(45,584)	(48,859)	(59,449)	-6.7
EBIT	1,023,993	837,859	561,909	22.2
EBIT margin	7.7%	8.3%	7.3%	
Depreciation and amortization	247,343	198,146	163,517	24.8
EBITDA	1,271,336	1,036,005	725,426	22.7
EBITDA margin	9.5%	10.2%	9.5%	

4.2. Structure of the Group's assets and liabilities

Assets

The table below shows highlights on the Dino Polska Group's assets.

	As at 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Non-current assets				
Property, plant and equipment	4,911,353	3,749,480	2,846,818	31.0
Right-of-use assets	139,931	184,538	251,744	-24.2
Intangible assets	96,947	99,050	99,048	-2.1
Other non-financial assets (non-current)	0	6	14	-100.0
Deferred tax assets	35,116	20,738	18,139	69.3
Total non-current assets	5,183,347	4,053,812	3,215,763	27.9
Current assets				
Inventories	1,373,463	875,147	623,995	56.9
Trade and other receivables	144,012	86,822	78,123	65.9
Income tax receivables	55	2	123	2650.0
Other non-financial assets	47,712	73,367	37,729	-35.0
Cash and cash equivalents	418,615	480,418	394,720	-12.9
Total current assets	1,985,184	1,516,698	1,134,987	30.9
Total assets	7,168,531	5,570,510	4,350,750	28.7

Total assets increased by PLN 1,598.0 million, i.e. 28.7%, from PLN 5,570.5 million as at 31 December 2020 to PLN 7,168.5 million as at 31 December 2021.

In 2019-2021, the main components of assets included: (i) property, plant and equipment (representing 65.4%, 67.3% and 68.5% of total assets as at 31 December 2019, 2020 and 2021, respectively); (ii) inventories (representing 14.3%, 15.7% and 19.2% of total assets as at 31 December 2019, 2020 and 2021, respectively); and (iii) cash and cash equivalents (representing 9.1%, 8.6% and 5.8% of total assets as at 31 December 2019, 2020 and 2021, respectively).

As at 31 December 2021 non-current assets accounted for 72.3% of total assets, or 0.5 percentage points less than in 2020, while current assets accounted for 27.7% of total assets.

Non-current assets increased by PLN 1,129.5 million, or by 27.9% from PLN 4,053.8 million as at 31 December 2020 to PLN 5,183.3 million as at 31 December 2021. This increase was caused mainly by an increase in property, plant and equipment (by PLN 1,161.9 million, or 31.0%) which in turn was caused primarily by the growth of the Dino Group sales network (new stores) and an expanded scale of business (launch or completion of the construction of new Dino stores and distribution centers, capital expenditures for technical equipment and machinery, mechanical vehicles and other property, plant and equipment).

Current assets rose by PLN 468.5 million, or 30.9% from PLN 1,516.7 million as at 31 December 2020 to PLN 1,985.2 million as at 31 December 2021. This increase was caused mainly by the increase in inventories (by PLN 498.3 million, or 56.9%), which was chiefly the result of the expanding scale of business of the Dino Polska Group.

Liabilities

The table below shows highlights on the Dino Polska Group's liabilities.

	As at 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Non-current liabilities				
Interest-bearing loans and borrowings	583,014	725,851	578,755	-19.7
Lease liabilities (LT)	46,621	67,876	99,922	-31.3
Liabilities by virtue of outstanding securities (LT)	450,000	419,936	169,926	7.2
Other liabilities	150	180	210	-16.7
Provisions for employee benefits	4,827	2,844	1,830	69.7
Deferred tax liability	8,187	6,555	9,509	24.9
Accruals and deferred revenue (LT)	5	14	65	-64.3
Total non-current liabilities	1,092,804	1,223,256	860,217	-10.7
Current liabilities				
Trade and other payables	2,454,051	1,695,163	1,474,503	45.0
Current part of interest-bearing loans and borrowings	196,169	216,868	137,705	-9.5
Lease liabilities (ST)	27,721	42,249	56,316	-34.4
Liabilities by virtue of outstanding securities (ST)	171,642	930	100,724	-
Income tax liabilities	93,017	80,509	68,606	15.5
Accruals and deferred revenue (ST)	60,993	43,640	29,306	39.8
Provisions for employee benefits and other provisions	1,944	1,332	1,020	45.9
Total current liabilities	3,005,537	2,080,691	1,868,180	44.6
Total liabilities	4,098,341	3,303,947	2,728,397	24.2

In 2019-2021, the main components of liabilities were: (i) trade and other payables representing 54.0%, 51.3%, and 59.9% of liabilities as at 31 December 2019, 2020 and 2021, respectively; (ii) interest-bearing loans and borrowings (non-current part) representing 21.2%, 22.0% and 14.2% of liabilities as at 31 December 2019, 2020 and 2021, respectively; and (iii) long-term liabilities for outstanding bonds representing 6.2%, 12.7% and 11.0% of liabilities as at 31 December 2019, 2020 and 2021, respectively.

Total liabilities increased by PLN 794.4 million, or 24.0%, from PLN 3,303.9 million as at 31 December 2020 to PLN 4,098.3 million as at 31 December 2021.

Non-current liabilities

As at 31 December 2021 non-current liabilities accounted for 26.6% of total liabilities, down by 10.4 p.p. from the year before.

Non-current liabilities fell PLN 130.5 million, or 10.7%, from PLN 1,223.3 million as at 31 December 2020 to PLN 1,092.8 million as at 31 December 2021, predominantly as a result of the decline in interest-bearing loans and borrowings (down PLN 142.8 million, or 19.7%).

Current liabilities

As at 31 December 2021 current liabilities accounted for 73.3% of total liabilities.

Current liabilities climbed PLN 924.8 million, or 44.4%, from PLN 2,080.7 million as at 31 December 2020 to PLN 3,005.5 million as at 31 December 2021, predominantly as a result of an increase in trade and other liabilities (by PLN 758.9 million, or 44.8% in connection with an increase in the scale of business of the Dino Polska Group).

Net debt

The Dino Group's net debt stood at PLN 1,056.6 million as at 31 December 2021, signifying growth of PLN 63.3 million (6.4%) compared to 31 December 2020. The net debt to EBITDA ratio for 2021 was 0.83x as at 31 December 2021 and was lower than at the end of 2020 (0.96x).

Equity

The table below shows information on the Dino Polska Group's equity.

	As at 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Share capital	9,804	9,804	9,804	0.0
Supplementary capital	2,707,720	2,063,322	1,652,132	31.2
Retained earnings	345,166	185,937	-47,083	85.6
Other equity	7,500	7,500	7,500	0.0
Total equity	3,070,190	2,266,563	1,622,353	35.5

As at 31 December 2021, total equity was PLN 3,070.2 million, up PLN 803.6 million, or 35.5% compared to PLN 2,266.6 million as at 31 December 2020.

Liquidity and financial resources

Dino Polska and the Dino Polska Group finance their liquidity and capital needs mainly through: (i) cash generated in operating activities, (ii) loans (overdrafts and investment loans) and (iii) the issue of debt securities (bonds). The company intends to continue financing its growth using the aforementioned sources.

The principal capital needs of the Company and the Dino Polska Group are related to operating activities, financing of capital expenditures (related in particular to further development of the Dino store network) and repayment of debt and trade and other payables. The financial strategy of the Dino Polska Group is to secure suitable financial resources and liquidity allowing it to repay its liabilities when they fall due, both in the normal course of business and in extraordinary circumstances, to protect the Dino Polska Group against the risk of losses or damage to its reputation. The capital expenditures required for further Dino store network roll-out are financed mainly from own funds on current operating activities.

As at 31 December 2021, the Group presented an excess of current liabilities over current assets, which is typical for the retail industry and its seasonality, where most of the sales are carried out in cash, inventories are minimized and suppliers offer deferred terms of payment. At the same time, the Company and the Group intensively develop its network using free cash and funding from bank loans and bond issues to increase the number of its operational stores. The covenants related to the loan agreements and outstanding bonds are monitored on an ongoing basis. As at 31 December 2021, there was no default on the terms and conditions of loan agreements and bonds and the Management Board of Dino Polska believes there is no risk that banks may terminate such agreements or bondholders request early redemption of the bonds within 12 months of 31 December 2021. As at the Report Date, no circumstances have been found that would indicate a threat for Dino Polska and other Group companies to continue as a going concern.

The Company believes that the level of working capital, the financing available to the Dino Polska Group and its ability to generate positive cash flows from operating activities are sufficient to cover its current needs and conduct its business for at least 12 months from the Report Date.

4.3. Group's Statement of cash flows

The following table presents basic information on the Dino Polska Group's cash flows.

	For the year ended 31 December			Change
	2021	2020	2019	2021 / 2020
	(audited; thousands of PLN)			(%)
Net cash from operating activities, including:	1,326,331	819,922	799,044	61.8
<i>profit before tax</i>	978,409	789,000	502,460	24.0
<i>depreciation and amortization</i>	247,343	198,146	163,517	24.8
<i>movement in working capital</i>	205,253	(96,437)	153,273	-
<i>other</i>	(104,674)	(70,787)	(20,206)	47.9
Net cash from investing activities	(1,330,728)	(1,000,136)	(827,807)	33.1
Net cash from financing activities	(57,406)	265,912	154,563	-
Net change in cash and cash equivalents	(61,803)	85,698	125,800	-
Cash at the beginning of the period	480,418	394,720	268,920	-
Cash at the end of the period	418,615	480,418	394,720	-

Net cash flows from operating activities

In 2021, the Dino Polska Group generated PLN 1,326.3 million of net cash from its operating activities, which was PLN 506.4 million more than in 2020. The increase in net cash from operating activities was driven mainly by the increased scale of the Dino Polska Group's business.

Net cash flows from financing activities

In 2021 the Dino Polska Group's cash flows from financing activities was negative at PLN -57.4 million. Cash flows included mainly inflows from loans and borrowings (PLN 57.6 million) and inflows from bonds issued for PLN 200 million. Cash inflows were partly offset by cash expenditures (totaling PLN 315.0 million) which in 2021 comprised mainly: (i) repayment of loans and borrowings (PLN 221.2 million), (ii) payments of lease liabilities (PLN 47.2 million) and (iii) interest paid (PLN 46.6 million).

Net increase in cash and cash equivalents

As a result of negative net cash flows at the end of 2021, the balance of cash and cash equivalents in the Dino Polska Group slipped by PLN 61.8 million compared to 2020. At the end of 2021 cash and cash equivalents totaled PLN 418.6 million.

4.4. Capital expenditures

In 2021 the cash flow on the Dino Polska Group's investing activity was negative and totaled PLN -1,330.7 million. The negative flows were caused mainly by the expenditures incurred for the purchase of property, plant and equipment and intangible assets associated with the Dino store rollout and development of the logistics functions. Total capital expenditures stood at PLN 1,350.4 million. All the expenditures were incurred in Poland and financed by the Dino Group from its own funds earned on operating activity, interest-bearing bank loans and outstanding bonds.

Capital expenditures in 2021 comprised mainly expenditures to expand the Dino store network (new store openings in 2021, stores under construction at the end of 2021 and sites prepared to roll out the Dino store network in 2022) and expenditures for logistics, including expenditures to build and outfit warehousing space in Sieroniewice (the Company's 6th distribution center opened in Q2 2021) and in Sierpc (the Company's 7th distribution center launched in Q3 2021), the purchase of refrigerated semi-trailers and purchase of equipment.

4.5. Off-balance sheet liabilities

As at 31 December 2021, the Dino Polska Group's off-balance sheet liabilities totaled PLN 723.5 million (PLN 750.4 million as at 31 December 2020). These liabilities ensue from executed preliminary agreements and pertain to the purchase of property, plant and equipment involving purchases related to the further expansion of the Dino store network and expansion of warehouse space as well as purchases related to store and warehouse fit-outs.

4.6. Ratio analysis

The Management Board assesses the Dino Group's performance using key profitability, debt and financial liquidity ratios which do not come from the Consolidated Financial Statements but have been calculated on the basis of the financial information found in the Consolidated Financial Statements. The ratios presented in this section should be treated as measures of the financial results or operating cash flows and treated as alternative to profit. The ratios are not defined in a uniform manner and calculated by other entities and, as a result, may not be comparable to the ratios presented by other entities, including entities conducting activity in the same sector as the Dino Group.

The table below shows selected Alternative Performance Measurements used by the Management Board in the analysis of Dino Group's activity.

	As at or for the period of 12 months ended 31 December		
	2021	2020	2019
		(unaudited)	
LFL sales growth rate (%)	12.4	12.6	11.6
EBITDA (thousands of PLN)	1,271,336	1,036,005	725,426
EBITDA margin (%)	9.5	10.2	9.5
Net debt (thousands of PLN)	1,056,552	993,292	748,628
Net debt/EBITDA	0.8	1.0	1.0
Days receivable	3.2	3.0	2.8
Days inventory	40.9	36.4	33.7
Days payable	75.4	76.9	82.5
Capex (thousands of PLN)	1,350,379	1,013,436	814,844
OCF / (CAPEX + financial expenses)	0.9	0.8	0.9

Definition of Alternative Performance Measurements and the justification for their application.

Name of the Alternative Performance Measurement	Definition	Justification for application of a given Alternative Performance Measurement
Like-for-Like / LFL sales growth rate	This ratio is calculated as the ratio of revenue from a comparable store panel in the current period (quarter or year) to revenue in the same store panel in the corresponding period of the previous year minus 100%. A store becomes an LFL store in the 13th full month of its operation. Only revenue from comparable months in both periods is used in this calculation.	LFL makes it possible to compare sales in precisely the same group of stores (in existence in the current and comparable period) without incorporating the stores that were opened during the last 12 months.
EBITDA (thousands of PLN)	The Dino Group defines EBITDA as operating profit plus depreciation and amortization.	EBITDA is also a measure of the Dino Group's operating results not taking into account the impact of depreciation and amortization of fixed assets and intangible assets, which makes it possible to compare the results regardless of the changes in the level of fixed assets held that may affect other performance measures through depreciation and amortization.
EBITDA margin (%)	The Dino Group defines and calculates the EBITDA margin as EBITDA/ sales revenue.	The EBITDA margin is a measure of the Dino Group's ability to generate cash on core business (operational efficiency).
Net debt (thousands of PLN)	The Dino Group defines and calculates net debt as the sum total of current and non-current loans and borrowings, outstanding bonds and financial lease agreements minus cash and cash equivalents.	The net debt ratio is a measure of the Dino Group's debt minus cash and cash equivalents.

Name of the Alternative Performance Measurement	Definition	Justification for application of a given Alternative Performance Measurement
Net debt/EBITDA	The Dino Group defines and calculates the net debt/EBITDA ratio as net debt as at the end of the period / EBITDA.	The net debt/EBITDA ratio shows the Dino Group's ability to repay its interest-bearing debt with cash generated on the operating level.
Days receivable	The Dino Group defines and calculates the days receivable ratio as receivables in days (365 x the average (at the beginning and end of the period) trade and other receivables / sales revenue).	The days receivable ratio makes it possible to analyze the turnover ratio on the payment of amounts due by the Dino Group's buyers.
Days inventory	The Dino Group defines and calculates the days inventory ratio as inventories in days (365 x the average (at the beginning and end of the period) inventories / cost of sales).	The days inventory ratio makes it possible to analyze the renewability of the Dino Group's inventories for realized sales.
Days payable	The Dino Group defines and calculates the days payable ratio as payables in days (365 x the average (at the beginning and end of the period) trade and other payables / cost of sales).	The days payable ratio makes it possible to analyze the period required for the Dino Group to repay its current trade payables.
Capex (thousands of PLN)	The Dino Group defines and calculates the Capex ratio as the sum of purchases of property, plant and equipment (Note on Property, plant and equipment of the Consolidated Financial Statements) and purchases of intangible assets (Note on Intangible assets of the Consolidated Financial Statements).	The ratio constitutes the basic measure of the Dino Group's expenditures on purchase of property, plant and equipment and intangible assets, mainly for expansion of the store network, and thus makes it possible to determine the scale of development of the Dino Group's operations.
OCF / (CAPEX + financial expenses)	The Dino Group defines and calculates the OCF / (Capex + financial expenses) ratio as net cash from operating activity / sum of Capex and financial expenses.	The ratio makes it possible to analyze the expenditures on purchase of property, plant and equipment, intangible assets and financial expenses by cash flow from operating activities.

4.7. Recap of Dino Polska's results

Statement of profit or loss (selected line items)

	For the year ended 31 December		Change
	2021	2020	2021 / 2020
	(audited; thousands of PLN)		(%)
Net revenues on sales and equivalents	13,339,312	10,115,839	31.9%
Operating expenses	12,560,574	9,490,536	32.3%
Sales profit / (loss)	778,738	625,303	24.5%
Other operating income	12,755	6,374	100.1%
Other operating expenses	11,211	5,486	104.4%
Operating profit / (loss)	780,282	626,191	24.6%
Financial income	5,757	8,777	-34.4%
Financial expenses	55,441	56,508	-1.9%
Gross profit / (loss)	730,598	578,460	26.3%
Income tax	139,381	110,424	26.2%
Net profit (loss)	591,217	468,036	26.3%

In 2021 the Company generated revenue of PLN 13,339.3 million, or 31.9% more than in 2020. This increase is attributable to the growth of net revenue on sales of goods and materials conducted in the Dino store network, which, in turn, resulted from both a higher number of stores and higher yoy revenue in the existing stores. Operating expenses increased by 32.3% to PLN 12,560.6 million. This growth was caused mainly by Dino Polska's growing business size in connection with the expansion of the network and rising sales in the existing store network (like-for-like). Net profit was PLN 591.2 million and was up 26.3% versus 2020. The increase in net profit results from growth in the scale of the Company's business. The 1.9% dip in financial expenses year on year to PLN 55.4 million is linked to lower interest rates in Poland in 2021 versus 2020.

Balance sheet (selected line items)

	As at 31 December		Change
	2021	2020	2021 / 2020
	(audited; thousands of PLN)		(%)
Total non-current assets	4,480,034	3,424,928	30.8%
Intangible assets	21,486	24,630	-12.8%
Property, plant and equipment	3,637,916	2,597,950	40.0%
Non-current investments	755,831	755,831	0.0%
Non-current prepayments and accruals	64,801	46,517	39.3%
Total current assets	2,084,410	1,562,906	33.4%
Inventories	1,344,303	847,617	58.6%
Current receivables	199,230	142,519	39.8%
Current investments	535,115	569,586	-6.1%
Current prepayments and accruals	5,762	3,184	80.9%
Total assets	6,564,444	4,987,834	31.6%
Equity	2,307,424	1,716,207	34.4%
Share capital	9,804	9,804	0.0%
Supplementary capital	1,676,055	1,208,020	38.7%
Net profit (loss)	591,217	468,036	26.3%
Liabilities and provisions for liabilities	4,257,020	3,271,627	30.1%
Provisions for liabilities	67,654	51,673	30.9%
Non-current liabilities	923,671	1,013,795	-8.9%
Current liabilities	3,210,864	2,166,999	48.2%
Accruals and deferred revenue	54,831	39,160	40.0%
Total liabilities and equity	6,564,444	4,987,834	31.6%

As at 31 December 2021, the Company's assets totaled PLN 6,564.4 million and consisted of the following:

- non-current assets of PLN 4,480.0 million,
- current assets of PLN 2,084.4 million.

In 2021 and 2020, total assets consisted mainly of the following: property, plant and equipment (55.4% and 52.1%, respectively, of total assets), inventories (20.5% and 17.0% of total assets), long-term investments (11.5% and 15.2%, respectively, of total assets) and current investments (8.2% and 11.4%, respectively, of total assets).

Non-current assets rose by PLN 1,055.1 million, or 30.8% in 2021. This growth was caused mainly by higher property, plant and equipment (by PLN 1,040.0 million or 40.0%) which, in turn, was caused primarily by the Dino Polska's network rollout (new Dino stores) and capital expenditures.

The largest current asset items are: (i) inventories (which represent 64.5% and 54.2% of current assets as at 31 December 2021 and 2020, respectively), (ii) current investments (25.7% and 36.4% of current assets as at 31 December 2021 and 2020, respectively).

Current assets rose by PLN 521.5 million, or 33.4%. This increase was caused mainly by the increase in inventories (by PLN 496.7 million or 58.6%), driven mainly by an increase in the size of Dino Polska's business and the use of new warehousing space as the Company's two new distribution centers started to operate in 2021.

As at 31 December 2021 equity was positive and totaled PLN 2,307.4 million. Non-current liabilities fell by PLN 90.1 million, or 8.9%, while current liabilities increased by PLN 1,043.9 million and were 48.2% higher than the year before. The increase in current liabilities was driven mainly by growth in trade payables, which in turn was caused by the expanding size of business of the Dino store network and the significant increase in inventories.

Statement of cash flows

Dino Polska generated net cash from operating activities in 2021 and 2020 totaling PLN 1,174.1 million and PLN 676.1 million, respectively. The increase in net cash from operating activities was driven mainly by the growing size of Dino Polska's business.

In 2021 the cash flow on Dino Polska's investing activity was negative and totaled PLN 1,204.0 million. The negative cash flows were caused mainly by the expenditures to purchase property, plant and equipment and intangible assets associated (PLN 1,202.1 million).

4.8. Dividend policy

Taking into account the rapid organic growth strategy regarding the Dino store count, the Company's Management Board does not plan to recommend payment of a dividend for 2021 to the Shareholder Meeting. The Management Board will propose to allocate the profit for the year to the Company's supplementary capital.

As at the Report Date, the Management Board has not made any decision whether to recommend a dividend payment to the Shareholder Meeting and its possible amount for subsequent years. Decisions in this respect will be made at the appropriate time after the end of each financial year.

However the dividend policy in the future will be revised by the Management Board as necessary depending on the circumstances, and decisions will be made taking into account a variety of factors relating to the Company, including business prospects, future profits, demand for cash, financial standing, indebtedness, expansion plans and legal requirements in this respect.

Historical data on dividend

The Company did not pay dividends for 2020 or for previous years.

4.9. Drivers of the operating and financial results

Key drivers of the Company's and the Dino Polska Group's operating and financial results in 2020-2021 are discussed below. These factors may still impact the business activity, operating and financial results, financial standing, cash flows and growth prospects of the Dino Polska Group and present the trends which, in the Company's opinion, will apply to Poland's grocery retail market over the next few years.

The Dino Polska Group's operating and financial results are impacted primarily by: (i) the business environment in Poland and the trends and customs among consumers, (ii) the pace of opening new stores by the Dino Group and increase of revenue in the current store network (LFL), (iii) the purchasing power of Dino Polska and (iv) the level of debt and interest rates.

Business environment in Poland and trends and customs among consumers

The Dino Polska Group does business solely in Poland. Poland's macroeconomic conditions, driven by the economic environment in the region and the global economy, have significant importance for the activity of the Dino Polska Group. All changes in the macroeconomic conditions, such as GDP growth rate, unemployment rate, wages (including minimum wages), individual consumption, customer trust ratio or interest rates and inflation/deflation rates, impact the overall affluence of the society, consumers' purchasing power and propensity to spend money, thus shaping the customers' habits as regards disposal of income. The above factors also influence Dino Polska's product prices and the value of sales, and thus have a significant impact on the financial performance of Dino Polska and the Dino Polska Group.

The Polish economy is the seventh largest economy in Europe. It is believed that Poland's economic growth, the pro-social programs introduced in previous years and the increase in minimum wages by 15.6% in 2020, 7.7% in 2021, and 7.5% in 2022, have brought or will bring in the near future more affluence and higher consumption spending, which translates among others into higher demand for Dino Polska's products.

Regulations pertaining to the retail sales tax

What is referred to as the retail sales tax took effect in the retail trade sector in 2021 in Poland (enacted under the retail sales tax act of 6 July 2016), which precipitated a significant growth in Dino Polska's tax costs. Under the regulations of this law, the Company is required to pay a retail sales tax of 0.8% of its monthly revenues in excess of PLN 17 million and up to 170 million, and 1.4% of monthly revenues above PLN 170 million. The total retail sales tax paid in 2021 by the Company was PLN 170.2 million.

Pace of opening new stores and growth in sales revenue in the current store network (LFL)

Dino Polska and the Dino Polska Group's financial performance is influenced by (i) the pace of opening new stores by the Dino Group and (ii) growth in LFL sales revenues in the current store network.

Opening new stores

As part of implementation of its growth strategy, the Dino Polska Group quickly expands its operations through growing its store network and increasing sales in the current store network (LFL). In 2019-2021, the Dino Polska Group increased the total number of stores by 838, from 977 as at 1 January 2019 to 1,815 as at 31 December 2021. The Company's strategy calls for ongoing rapid expansion of the store network in Poland.

The Company's strategy pertaining to opening new stores influenced the performance of Dino Polska and the Dino Polska Group, in particular through (i) faster growth of sales revenues than the cost of sales in connection with the purchase and sale of products in newly opened stores and increasing purchasing power of Dino Polska, (ii) increase of capital expenditures associated with the rollout of the network and the logistics base and (iii) reducing net debt to EBITDA despite the nominal increase in debt.

Sales in the current store network (LFL)

Sales revenues in Dino's current store network (LFL) depend on the sales volume and value, and customer preferences regarding the purchased products.

The following table presents a comparison of the inflation trends in Poland and top line LFL growth in Dino's current store network.

%	2021				2020				2021	2020	2019
	Q4	Q3	Q2	Q1	Q4	Q3	Q2	Q1			
Inflation (deflation)	7.7	5.4	4.5	2.7	2.8	3.0	3.2	4.5	5.1	3.4	2.3
Food price inflation	6.7	3.8	1.6	0.6	1.7	3.2	6.4	7.7	3.2	4.7	4.9
Dino's LFL*	19.1	10.6	11.7	7.0	11.4	12.4	7.8	20.3	12.4	12.6	11.6

*stores are included in the calculation of the LFL ratio starting from the 13th full month of their existence

source: Central Statistical Office of Poland (GUS), Dino Polska

In 2021, the increase in LFL revenues was 12.4%, and remained at the same level as in 2020.

Purchasing power

The purchasing power of Dino Polska is growing as its business size grows. In 2019-2021, the Company sourced most products directly from producers or their main representatives. The large volumes of orders placed with suppliers accrued benefits in the form of economies of scale. They enabled Dino Polska to make purchases on increasingly favorable terms. In 2021 this effect was partially dampened by strong inflationary pressure in terms of the prices of agricultural goods and the producers of groceries. The entire retail sales food sector was grappling with this pressure.

Capital expenditures

Implementation of the Dino Polska Group's strategy of the Dino store network roll-out, its accompanying logistic infrastructure and expansion of production capacity of the Agro-Rydzyna meat processing plant requires significant capital expenditures. The Company is planning for its total capital expenditures in 2022 to be roughly PLN 1.5 billion. On top of the store rollout, this will largely include expenditures for a new distribution center whose construction the Company started in Q1 2022, expenditures to expand the Agro-Rydzyna meat processing plant and expenditures to build a new meat separation plant in another region of Poland.

Debt and changes in interest rates

In 2019-2021, to finance store rollout, Dino Polska and the Dino Polska Group used external financing, mainly in the form of loans and bonds. As at 31 December 2021, interest-bearing loans and borrowings, outstanding bonds and lease liabilities of the Dino Polska Group totaled PLN 1,475.2 million, compared to PLN 1,473.7 million as at 31 December 2020.

In connection with the existing debt, the volatility of interest rates and other indicators have had and still may have an influence on the operations of Dino Polska and the Dino Polska Group. In 2019-2021, most of the financial debt (including loans, bonds and leases) bore interest based on WIBOR 1M or WIBOR 3M, as a result of which each change of interest rates triggered movement in financial expenses. In connection with the decline of interest rates in recent years, the growth in the Dino Polska Group's debt did not translate into higher financial expenses for the Dino Polska Group, which, in the year ended 31 December 2021 totaled PLN 46.7 million, compared to PLN 52.1 million in 2020. Interest rates in Poland are expected to be higher in 2022 than in 2021.

4.10. Financial risk management

The main financial instruments used by Dino Polska and the Dino Polska Group include bank loans, finance leases, cash and short-term deposits. In addition, in 2017, Dino Polska established a bond issue program up to PLN 500 million, which was expanded to PLN 1 billion in 2021. Under this program, in October 2017, bonds with a nominal value of PLN 100 million were issued. In turn, in June 2019 bonds with a nominal value of PLN 170 million were issued and in September 2020 bonds with a nominal value of PLN 250 million were issued (while simultaneously redeeming the bonds issued for PLN 100 million in October 2017). In October 2021 bonds for PLN 200 million were issued. The main objective of these financial instruments is to raise funding to grow the business of the Dino Polska Group.

According to the policy applied by the Dino Group in 2021, it did not actively trade in financial instruments. The Company does not hold, nor does it issue financial derivatives held for trading.

The main types of risk arising from the financial instruments of Dino Polska and the Dino Polska Group include interest rate risk, liquidity risk, FX risk and credit risk. The Management Board verifies and agrees the principles of managing each type of risk – these principles are discussed briefly below.

Interest rate risk

The exposure faced by Dino Polska and the Dino Polska Group to the risk of interest rate changes refers primarily to non-current financial liabilities. The Company does not hedge its investments and liabilities using derivative financial instruments. The sensitivity of profit (loss) before tax to interest rate changes is portrayed in note 35.1 *Interest rate risk* to the Dino Group's Consolidated Financial Statements in 2021.

Credit risk

Transactions effected by Dino Polska and the Dino Polska Group are settled mainly in cash. Credit risk pertains to supplier support transactions related to distribution. Since distribution support services pertain to entities who are at the same time suppliers and buyers of Dino Polska and the Dino Polska Group, the credit risk is insignificant.

Liquidity risk

The Company and the Dino Group monitor the risk of having a shortage of funds using a periodic liquidity planning tool. The tool takes into account the maturities of both investments and financial assets (e.g. the amount of receivables, other financial assets) and projected cash flows from operating activities. The goal is to maintain balance between continuity and flexibility of financing by using various financing sources such as overdrafts, bank loans, other loans and bond issues.

4.11. Significant contracts, loans, borrowings, guarantees and sureties

Contracts significant for the business

To the Company's best knowledge, there are no agreements that are significant for the issuer's operations concluded between the Company's shareholders.

Loans and borrowings

In 2021, the Company or its Subsidiaries entered into the following loan agreements (not all of the loans had been originated as at the end of 2021).

Date of the agreement	Company	Bank	Amount	Type of loan	Interest rate	Currency	Date of maturity
11-02-2021	Dino Polska	Bank 1	50,000,000	overdraft	WIBOR 1M + margin	PLN	07-02-2023
12-03-2021	Dino Polska	Bank 2	30,000,000	overdraft	WIBOR O/N + margin	PLN	05-02-2024
22-04-2021*	Dino Polska	Bank 3	75,000,000	overdraft	WIBOR 1M + margin	PLN	31-03-2024
19-08-2021*	Dino Polska	Bank 4	80,000,000	overdraft	WIBOR 1M + margin	PLN	31-10-2023
21-09-2021	Dino Polska	Bank 3	40,000,000	investment	WIBOR 1M + margin	PLN	21-09-2026
22-04-2021*	Dino Polska	Bank 3	50,000,000	overdraft	WIBOR 1M + margin	PLN	31-03-2024
14-12-2021	Dino Polska	Bank 4	170,000,000	investment	WIBOR 3M + margin	PLN	02-07-2025
14-12-2021	CWN Sp. z o.o.	Bank 4	91,000,000	investment	WIBOR 3M + margin	PLN	02-07-2025
14-12-2021	CWN 1 SA	Bank 4	91,000,000	investment	WIBOR 3M + margin	PLN	02-07-2025

* - annexes to existing agreements to increase the principal by the amount stated in the table

Moreover, in 2021 Dino Polska received four loans for a total of PLN 14 million (with a 12-month term of maturity and bearing interest of 2.5%) from Subsidiaries and it extended the following loans to its Subsidiaries.

Date	Company	Amount	Interest rate	Currency	Date of maturity
11.01.2021	CWN	10,000,000	2.5%	PLN	12 months
15.01.2021	CWN 1	8,000,000	2.5%	PLN	12 months
01.02.2021	CWN 1	8,500,000	2.5%	PLN	12 months
12.02.2021	CWN	5,000,000	2.5%	PLN	12 months
17.02.2021	CWN 1	8,000,000	2.5%	PLN	12 months
17.03.2021	CWN	9,000,000	2.5%	PLN	12 months
25.03.2021	CWN 1	2,000,000	2.5%	PLN	12 months
01.04.2021	Dino Oil	1,000,000	2.5%	PLN	12 months
02.04.2021	CWN 1	1,000,000	2.5%	PLN	12 months
14.04.2021	CWN	10,000,000	2.5%	PLN	12 months
15.04.2021	CWN 1	5,000,000	2.5%	PLN	12 months
26.04.2021	CWN	4,000,000	2.5%	PLN	12 months
26.04.2021	CWN 1	3,000,000	2.5%	PLN	12 months
18.06.2021	Dino Oil	200,000	2.5%	PLN	12 months
29.07.2021	CWN	9,000,000	2.5%	PLN	12 months
20.08.2021	Dino Oil	200,000	2.5%	PLN	12 months
05.10.2021	Dino Oil	200,000	2.5%	PLN	12 months
02.11.2021	CWN	2,000,000	2.5%	PLN	12 months
17.11.2021	CWN	148,000,000	2.5%	PLN	12 months
17.11.2021	CWN 1	27,000,000	2.5%	PLN	12 months
19.11.2021	Dino Oil	800,000	2.5%	PLN	12 months
28.12.2021	CWN	5,000,000	2.5%	PLN	12 months

Moreover, in 2021 Dino Polska's Subsidiaries made loans to one another for a total of PLN 93 million with a 12-month term of maturity and bearing interest of 2.5%.

Sureties and guarantees

In 2021 Dino Polska extended a civil law surety to Centrum Wynajmu Nieruchomości 1 S.A. – as collateral for repayment of liabilities under the loan granted by PKO BP SA – on 14 December 2021 for PLN 91 million and

it extended a civil law surety to Centrum Wynajmu Nieruchomości spółka z o.o. – as collateral for repayment of liabilities under the loan granted by PKO BP SA – on 14 December 2021 for PLN 91 million.

In 2021 Subsidiaries extended a surety to Dino Polska in connection with the bond issue, which the Company reported in the pertinent current report.

There are sureties on agreements executed in previous years. In 2021 Dino Polska received a guarantees (for good performance) for a total of PLN 145 million from entities conducting the Company's investment projects. Moreover, the Company extended more than a dozen guarantees referred to in the table below for a total amount of PLN 6.4 million.

Guarantees issued or renewed by Dino Polska in 2021

Beneficiary	Amount	Currency	Opening date	Date of validity
PKO Leasing SA	992,731	PLN	09-07-2019	01-07-2022
Regional Roads Authority in Gdańsk	194,331	PLN	01-08-2019	31-07-2022
State Treasury - General Road Authority (GDDKiA)	54,250	PLN	11-09-2019	31-12-2024
LSM Housing Cooperative in Leszno	20,000	PLN	01-04-2020	29-04-2022
Commune-City of Grudziądz - Roads Authority in Grudziądz	355,322	PLN	24-11-2020	30-09-2022
Pol-Dróg Drawsko Pomorskie S.A.	50,000	PLN	24-11-2020	15-11-2023
Masovian Regional Roads Authority in Warsaw	2,000	PLN	05-02-2021	31-07-2022
Commune-City of Grudziądz - Roads Authority in Grudziądz	452,790	PLN	05-08-2021	31-03-2022
Totalizator Sportowy sp. z o. o.	10,000	PLN	06-10-2021	06-10-2023
PKO Leasing SA	300,483	PLN	24-11-2021	19-11-2022
Zott Polska Sp. z o. o.	4,000,000	PLN	01-12-2021	31-03-2023

4.12. Other information

Due to the profile of the conducted activities, the Dino Polska Group has not adopted a research and development strategy and does not fund research and development activities. The Company does not publish financial forecasts.

5. RISKS AND THREATS

Described below are the risk factors and threats the materialization of which might have an adverse impact on the results and operations of the Company and the Dino Polska Group. As at the date of this Report, the Company's Management Board does not see any significant grounds that might indicate a significant likelihood of the occurrence of these risks, while the probability of their materialization in the foreseeable future is considered low, save for risks related to the macroeconomic situation and interest rates.

The Company has exercised the highest degree of diligence in order to identify properly significant risks and threats; yet it cannot be claimed with absolute certainty that all risks have been identified and correctly recognized or that their impact on the business and performance of the Company and the Dino Polska Group has been accurately estimated. Some risks are described in the section "Dino – Closest to You. Corporate Social Responsibility Report of Dino Polska – Risks".

Risk associated with macroeconomic conditions

Changes to the general economic situation, which are beyond Dino Polska's control, may result in lower consumer demand, which may have an adverse impact on Dino Polska's business

The Dino Polska Group operates in the retail grocery market in Poland, whose position depends on the demand generated by consumers. The demand generated by consumers derives from multiple factors beyond Dino Polska's control, in particular the macroeconomic environment and political conditions. Change of the economic factors in Poland, in the EU or globally, including the change in the GDP growth rate, total inflation, deflation of food prices, increase of the unemployment rate, decline of salaries or decrease of expenditures on consumption and investments, may have adverse impact on the Dino Group or the sector in which the Group operates, including the sales revenues generated by the Dino Group or its costs.

Deterioration of the general economic situation in Poland and Europe as a result of the aforementioned economic factors or for political reasons or downgrading of Poland's rating, may have an adverse impact on the activities of the Dino Polska Group, its financial standing, results or prospects. The above factors may result in, among others, decline of demand for the Dino Polska Group's products, limited access to external financing, difficulties on the part of suppliers, customers and other entities with which the Dino Polska Group cooperates, which, in turn, may exert an adverse impact on the activities of the Dino Polska Group, its financial standing, results and prospects.

The Dino Group may be exposed to interest rate risk, which may adversely affect its floating-rate debt

The Dino Polska Group is exposed to risk of changes in interest rates. Changes in interest rates and other financial market parameters may affect the activity of the Company and the Group. Most of the Dino Polska Group's financial debt bears interest at a floating rate. As a result, any increase in interest rates may lead to higher current financial expenses. The Dino Polska Group does not hedge its investments or floating rate interest bearing liabilities by using financial derivatives. We cannot rule out that future changes in interest rates may have a negative impact on the Company and the Dino Group, which may adversely affect the activities, financial standing and results of the Dino Group.

Risks related to the achievement of strategic objectives

The Dino Polska Group may not be able to implement its store rollout strategy

Dino Polska's strategy calls for, among others, further growth through continuation of fast organic growth of the store network and the accompanying logistic infrastructure. Successful implementation of the growth strategy depends, among others, on the economic conditions, access to external financing, absence of unfavorable changes in the regulatory environment, finding and acquisition (or to a lesser extent, lease or rental) of real estate on acceptable terms which satisfy the requirements set by Dino Polska, efficient construction and launch of new stores, employment, training and retention of store personnel, and integration of the new stores with the supply chain in a manner ensuring high profitability.

To date the Dino Polska Group was able to finance its capital needs primarily from operating cash flows, bank loans and bonds. If the operating cash flows drop below the assumed levels or new financing is not available, Dino Polska may not be able to implement its development plans, which may have adverse impact on the activities, financial standing and results of the Group and its prospects.

Even if Dino Polska manages to open new stores in line with the adopted strategy, the newly opened stores may not break even within the originally assumed timelines or at all, or the increase in sales revenues or sales revenue in the current store network (LFL) may turn out lower than assumed by the Management Board, and Dino Polska may be exposed to incurring additional, unexpected costs associated with opening new stores. In addition, the analysis carried out by the Company before opening a given store may turn out incorrect among others due to lower than expected customer traffic in the vicinity of the store or unexpected circumstances. Additionally, if Dino Polska opens new stores in areas where it already conducts activities, it is possible that the revenues generated by the stores opened in the area earlier will drop.

The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Polska Group's business, financial standing, performance and prospects.

Possible delays in opening new stores

Most Dino Polska stores were built from the ground up by an entity related to the Company. The process of building and opening new stores hinges on securing approvals from various administrative authorities. It cannot be ruled out that in the future the time needed to obtain the administrative permits may be extended. If Dino Polska will not be able to finalize the administrative proceedings as efficiently as in the past, it is possible that there will be delays which affect the whole new store launch process in the future.

Also the average construction cost of a new store may increase, e.g. in the event of an increase in the prices of construction labor or materials or a change in the applicable construction standards.

Dino Polska's cooperation with a single general contractor responsible for new stores entails the risk that if the contractor for any reason is unable to perform the construction services to the Company or only to a limited extent or its services are not of the same quality in the future, or the contractor demands termination of the contracts or a change in the commercial terms of its services to Dino Polska's disadvantage, Dino Polska may be forced to alter the schedules for building and opening new stores, find a different contractor or contractors or accept the new unfavorable commercial terms of the contracts with contractors, which may have an adverse impact on the activities of Dino Polska, its financial standing, results or prospects.

Owning a significant number of properties may curtail in the future the flexibility to close unprofitable stores, while a decline in real estate prices may put Dino Polska in jeopardy of incurring significant losses

The Dino Polska Group is the owner of most of the real estate in which it operates. That means that any drop in the market value of the real estate portfolio may exert an unfavorable impact on the asset value of the Company and the Dino Polska Group as well as on the results generated by the Company or its subsidiaries.

One cannot preclude that if a store built on a piece of real estate owned by the Dino Polska Group fails to generate performance at the originally intended level and if as a result the decision is made to close such a store, the Dino Group may not be able to sell or lease the real estate in which the closed store was located at all or on commercially viable terms. Due to the above, the Dino Group may generate an inferior return on invested capital, it may generate lower profits or incur losses, or it may also be obligated to incur additional expenses, which may adversely affect the operations of the Company and the Dino Group, their financial standing, performance or prospects.

Competition-related risks

The market on which the Dino Polska Group conducts operations is characterized by high competition, and the pressure from the competitors may have adverse impact on the margins or growth prospects

The market on which the Dino Polska Group conducts operations is characterized by high competition due to the presence and constant growth of big, organized retail networks, including supermarkets, discount stores and convenience stores. Changing consumer preferences towards shopping in stores located near the place of residence and increasing consumer demand spur many players to develop a network of medium-sized grocery

stores located near the consumers' place of residence, which increases the competition in the market segment where the Dino Polska Group operates.

Players conducting competitive activity may have higher purchasing power and financial, distribution, technical, personal or marketing resources, giving them competitive advantages over the Dino Group. Retail grocery networks compete mainly in terms of location, prices and quality of the products and services and diversity of the product assortment. Dino Polska's ability to compete with other players depends partly on the maintaining the attractiveness of the store format and opening new stores in favorable locations, which is the area where the Company may face greater competition.

The demanding competitive environment may cause the Dino Polska Group's pace of growth to slacken and reduce its profitability, which may have an adverse effect on the operations of the Company and the Dino Polska Group, their financial standing and results.

The retail grocery market in Poland is fragmented, and a large number of retail sellers have a relatively small market share. Mergers and acquisitions in this market lead to consolidation of the sector. In the case of consolidation of the Dino Polska Group's competitors which will allow them to leverage the economies of scale in their operations, there may be a stagnation or loss of the Dino Polska Group's shares in the market in favor of entities participating in such consolidation. Increased competition from bigger competitors who have stronger bargaining power with suppliers and higher financial resources may also lead to decrease and stagnation of the Dino Polska Group's growth rate or decrease of its profitability, which may have adverse impact on the activities, financial standing and results of the Company and the Dino Polska Group.

Risks factors related to the activity of the Group

The demanding situation on the labor market may unfavorably affect the Dino Polska Group's operations

One of the key factors driving the Dino Group's business development in the future, especially its ongoing growth, geographic expansion and the execution of its strategy is having the appropriate number of qualified and committed employees. The low level of unemployment in Poland, which is accompanied by a high level of competition for employees between entities operating in the retail trade sector, may contribute to the Dino Group sustaining higher employee attrition and troubles with attracting new employees. Moreover, the aforementioned factors may exert more pressure on raising the costs of wages. There are also risks related to the dependence of the Dino Group on persons acting in key functions. The loss of managers or employees discharging key functions may affect further growth prospects, lead to the loss of know-how or, in certain circumstances, the acquisition of know-how by the competition. The occurrence of these circumstances may exert an adverse impact on the Company and the Dino Group's business, their financial standing, performance or prospects.

The Dino Polska Group's IT systems may fail, may turn out insufficiently secure or insufficient to satisfy the needs of the Dino Polska Group

The Dino Polska Group manages its stores, including the sales process, inventories, logistic operations, and financial instruments and accounting instruments through different solutions provided by the information technology. Hence it is key to ensure a correct maintenance process for the existing IT systems, their security, including the data constituting trade secret or personal data, and deploy optimum solutions at the right time which will ensure stable and uninterrupted operation of these systems. The inability to procure the effective operation of IT systems may pose a threat to the Dino Polska Group's capacity to manage the store network roll-out, including provision of inventories management services or product supply services for the stores, which may result in disruptions in their ongoing activities.

The Dino Polska Group's operating systems may be susceptible to damages and disruptions as a result of actions associated with cybercrime, human error, natural disasters, power cuts, computer viruses, refusal to provide services, breach of security principles, limitation of access to the internet or similar events. In addition, attempts may be made to obtain access to the Dino Polska Group's systems to its detriment and the Dino Polska Group may not have the possibility to protect its systems against all attacks. If such attacks occur, the problems that the Dino Polska Group will have to face include theft or destruction of data, in particular commercial, financial and product information, which may be harmful to the Dino Polska Group in commercial terms and may result in loss of reputation.

System failures and the related delays may also cause unexpected sales disruptions, loss of inventories, reduced level of services and, as a consequence, affect customer satisfaction and harm Dino Polska's reputation.

The aforementioned circumstances may have material negative impact on the activities, financial standing and results of the Company and the Dino Polska Group.

Change of the terms of purchase of the goods offered by Dino Polska may have a material adverse impact on the activity of the Dino Polska Group

Dino Polska sources most goods directly from producers or their main representatives. The large and constantly growing volumes of orders placed with suppliers accrue benefits in the form of economies of scale. They enable Dino Polska to make purchases on favorable terms that may should improve steadily as the sales network expands. The loss of good relations with numerous suppliers, termination of supply agreements or change of the commercial terms on which goods are supplied to Dino Polska to less favorable ones could reduce the competitiveness of the Company and the Dino Polska Group in terms of the prices offered and the product assortment and have an adverse impact on the profitability of the Company and the Dino Polska Group.

The prices of the goods purchased by Dino Polska and then offered to clients, in particular fresh products, are subject to regular changes and are the biggest part of the cost of sales. The prices of the goods may increase significantly as a result of local or global events beyond the control of Dino Polska.

Although Dino Polska has a diverse supplier base, one cannot rule out that some suppliers, as a result of higher production costs or to increase their profits, will decide to increase the prices of the goods sold to Dino Polska. Dino Polska, in turn, may try to cover these higher purchase prices with higher prices for the products sold to maintain the margin of its gross profit on sales. However, it may prove to be impossible for Dino Polska to raise retail prices on account of competitive or business conditions, which may have a significant adverse effect on the operations, financial standing and results of the Company and the Dino Polska Group.

Distribution of products to Dino Polska stores may be disrupted

The products offered in the stores run by Dino Polska are currently supplied by five distribution centers belonging to the Dino Polska Group. Any interruptions in the activity of the distribution centers may result in disruption of the operation of the supply chain or may cause significant losses. In the event of disruption to one or more of the distribution centers, inter alia as a result of technical crashes, events of chance or events largely outside the control of the Dino Polska Group, it is possible that the operation of the supply chain may experience a major disruption, in particular, the lack of deliveries of fresh products, and also the incurring of major losses. There is a risk that the Company will be not able to resume or restart its operations due to the aforementioned circumstances sufficiently quickly, and its insurance cover may be insufficient to cover the losses suffered in terms of its assets or revenue. The occurrence of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group may not be able to efficiently manage its inventories

Dino Polska conducts retail sales and accordingly it must secure frequent deliveries of products to its store network. Accordingly, Dino Polska is required to maintain a certain level of inventories at its distribution centers in order to effectively secure the supply of products to the entire store network without significant delays.

Dino Polska maintains inventories for the purposes of deliveries to its stores based on the experience of its relevant supply teams that have a broad range of IT solutions at their disposal. However, Dino Polska cannot rule out a possibility that, a result of an incorrect assessment, a failure of an IT system, a sudden change in consumer preferences or other factors beyond the control of Dino Polska, the level of deliveries will be insufficient or excessive and Dino Polska will not be able to sell its surplus inventories. Consequently, Dino Polska may not be able to secure sufficient quantities of the products that are offered in stores or, in case of surplus inventories, to sell its products, which may adversely affect Dino Polska's revenue or increase the level of its losses, which may in turn have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Ineffective identification and failure to satisfy consumer preferences may have a negative effect on the activities of Dino Polska

Consumer demand for stores in the format adopted by Dino Polska and offering a similar product range results from consumer trends, consumer needs and preferences. Consumer preferences on the market and in the geographical area where Dino Polska operates or intends to operate may change and the store format adopted by Dino Polska or the offered products will no longer be attractive to consumers, for example as a result of changes in lifestyles and dietary preferences or as a result of national or local economic conditions. Customers can make most of their purchases on the Internet, which is a sales channel not currently used by Dino Polska. Changes in customer preferences may adversely affect traffic and purchases in Dino stores. If Dino Polska fails to identify and adapt to changes in consumer preferences quickly and efficiently, which includes Internet sales, revenues and profitability may decline, which in turn may adversely affect the activities, financial standing and results of the Company and the Dino Polska Group.

An increase in costs could have a material adverse effect on the activity of Dino Polska

Although the Dino Polska Group determines its planned costs partly on the basis of expected future revenues on sales, a significant part of the costs by nature is fixed or may increase and cannot be adjusted quickly if the future revenues prove to be lower than expected or if costs rise faster than revenue or if unexpected costs arise. Accordingly, if sales revenue in any period is significantly lower than expected, it may not be possible to adjust the main costs by nature in an appropriate proportion and quickly enough, which may reduce the profitability of Dino Polska and the Dino Polska Group. In addition to the cost of goods and materials sold, which is the largest cost item by nature, the operating and financial results are also affected by other material costs, the most important of which are costs related to the consumption of materials and energy, employee benefits and external services. The increase in the costs described above depends largely on factors beyond the control of Dino Polska.

An increase in costs may have a direct impact on the results and financial standing of the Company and the Dino Polska Group. The Dino Polska Group cannot give an assurance that it will be possible to cover higher costs with higher revenues from sales. If it proves impossible then it may have an adverse effect on the activities, financial standing and results of the Company and the Dino Polska Group.

Dino Polska Group may not be able to repay its financial debt, provide financing on favorable terms, or lose strategic assets if it defaults on the terms of financing

To finance its activity, the Dino Polska Group uses, among others, external funding that consists of loans and borrowings from financial institutions and outstanding bonds. The Management Board cannot guarantee that the Dino Polska Group will be able to finance its operations on favorable terms and, once it has obtained funding, that it will be able to pay interest and principal or perform other obligations under the financing agreements. If the Dino Polska Group is unable to obtain additional funding in accordance with its expectations, it may be forced to change its strategy, limit growth, and as a result the pace of achieving its strategic objectives may be slower than expected.

Additionally, the property, plant and equipment of the Dino Polska Group, including the properties on which the Dino Polska Group operates or intends to operate have been encumbered with numerous security interests (e.g. mortgages). In the event that the Dino Polska Group is unable to pay its liabilities under its financing agreements, the lenders will be able to satisfy themselves from its assets, which will result in the loss of the assets on which the security interests are created.

Moreover, the financing agreements concluded by the Dino Group contain many standard obligations, including covenants to maintain certain financial ratios, not to allow third party rights to be established on assets, cross-default clauses or change of business clauses. A breach of covenants may result in a default on financing agreements, a negative change in the terms of financing granted or, if a proper waiver of any covenant is not obtained from the financing entities, they may refuse to continue the financing and may demand repayment of the extended loans, declare them due and payable or satisfy themselves from Dino Polska Group's assets, which will be lost.

Each of the above events may have a negative impact on the activities of the Company and the Dino Polska Group, their financial standing, results and prospects.

Dino Polska Group's insurance cover for its operations may not be sufficient or available.

The Dino Polska Group's insurance policies may not cover all the losses that the Dino Polska Group may incur in the course of its business, and certain insurance policies may not be available on economically justified terms.

The Dino Polska Group's insurance cover may not be sufficient to cover its losses or to satisfy claims raised against the Group. Insurance cover may also not be available in this respect. Moreover, an insurer may, in the circumstances specified in the pertinent insurance contracts, refuse to satisfy the Dino Polska Group's claims or cover the losses it incurs. There may also be risks that are not insurable or where insurance is not economically justified or, in the opinion of Dino Polska Group, the proposed terms and limits of insurance are not sufficient to minimize the possible high loss coverage costs. In that way the Dino Polska Group may not obtain full damages based on the executed insurance contracts to cover the losses related to the business it conducts, and the Dino Polska Group's insurance cover may be insufficient. In addition, the insurance policies held by the Dino Group are subject to limits on the amount of insured claims.

As a result, the Dino Polska Group may have insufficient protection against losses that it could suffer in the course of its business. Any uninsured loss or loss exceeding the sums insured may have an adverse effect on the activities, financial standing and results of the Dino Polska Group.

The Dino Group is exposed to risk related to the significant usage of cash in its operations

On account of the nature of the retail grocery market and since the customers of the Dino store network frequently pay for their purchases with cash, Dino Polska handles a large quantum of cash transactions in its operations. Accordingly, it is exposed to the risk of loss, theft, robbery and other fraudulent activity, which in total, if they are considerable, may exert an adverse impact on the activities, financial standing and results of the Company and the Dino Polska Group.

The violation of regulations regarding the production and distribution of food may lead to disruptions in the operation of stores, distribution centers and the meat processing plant

In addition, Dino Polska, as a producer and distributor of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers. Accordingly, Dino Polska is obligated to adhere to many sanitary requirements and procedures, in particular requirements and procedures pertaining to health and safety, and also to monitor and conduct laboratory analyses of the quality of raw materials and finished products.

If Dino Polska or its subsidiaries fail to satisfy the qualitative requirements and the requirements pertaining to health protection and the sanitary requirements ensuing from the relevant regulations, the production or distribution of goods may be suspended or curtailed. In the event of a disruption to production in the meat processing plant run by the Dino Polska Group, the Company may be compelled to find some other supplier or suppliers, which may be impeded in the short-run.

The occurrence of any of the above risk factors may have a material adverse effect on the reputation, activities, financial standing and results of the Company and the Dino Group.

The deterioration of the epidemiological situation could have an adverse effect on the activity of the Dino Polska Group

The Company monitors the epidemiological situation in Poland and its impact on its business on an ongoing basis. As of the Report Date all of the operating areas of the Company are functioning efficiently and there are no major reasons to revise the plans and targets the Management Board set for 2022. Even though the Company has undertaken multiple preventive measures and implemented a more rigorous sanitary regime in all of its operating areas, one cannot preclude that it will not be capable of fully anticipating and preventing any and all possible consequences of the further spread of the epidemic. The implementation of new restrictions and the application of home-based quarantine to the general populace may affect the Dino Group unfavorably, including the sales revenue generated by the Dino Group, the costs it incurs, business continuity in various areas and the Company's supply chain.

Risks related to regulatory environment

Bad interpretation or change of law may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations (among others, in respect to food production, fire and safety regulations, provisions of labor law and environmental law). These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations.

Moreover, the substantial number of rules and regulations of importance in the operations of the Dino Polska Group may become more stringent, which could slow down the growth or cause a decline of the Dino Polska Group's revenue, which would not be covered by the possible decline in operating expenses.

The occurrence of the foregoing factors may heighten the risk of incurring additional and unforeseen costs, which may adversely affect the operations of the Company and the Dino Polska Group, their financial standing, growth prospects and results.

Changes in the tax law applicable to the operations of the Dino Group or its interpretation, as well as changes in individual tax rulings may adversely affect the Dino Group

The activities of the Dino Polska Group are subject to various regulations in the field of tax law. There can be no assurance that the tax authorities will not issue a different tax ruling in regard to the tax regulations applied by the Company or Dino Group companies, which could be unfavorable to the Company or Dino Group companies. Also, there can be no assurance that the individual tax rulings obtained and applied by the Company, or the Dino Polska Group companies will not change or be rendered inoperative. One cannot preclude the possibility of the tax authorities challenging the correctness of tax settlements made by the Company or the Dino Group companies, which may have an adverse effect on the Dino Group's business, its financial standing and results. There is also a risk that, as new regulations, new taxes or changes to VAT tax rates are phased in, the Company or the Dino Group companies will have to undertake adaptive efforts, which may lead to higher expenses or possibly to a decrease in the level of sales and revenues of the Dino Group.

6. CORPORATE GOVERNANCE

6.1. Representation on the application of corporate governance

Dino Polska, as a company listed on the regulated market run by the Warsaw Stock Exchange is subject to the corporate governance principles defined in the document entitled Best Practices of WSE Listed Companies 2016 (up to the end of June 2021) and its updated version – Best Practices of WSE Listed Companies 2021 (as of July 2021). The document is available at the Stock Exchange website (<http://www.gpw.pl>) in the section devoted to corporate governance of listed companies.

The Best Practices of WSE Listed Companies 2021 is a set of rules of conduct applicable in particular to the governing bodies of listed companies and their shareholders. If a given principle is not permanently applied by a listed company or it has been incidentally breached, the listed company is obligated to report that fact in the form of a current report. Moreover, a listed company is obliged to attach to the annual report a report containing information on the scope of its application of the Best Practices of WSE Listed Companies 2021.

In 2021 Dino Polska adhered to the standards set forth in the Best Practices of WSE Listed Companies 2016 to the same extent as in 2020, which has been described in the Company's 2020 annual report.

Dino Polska observes most of the standards included in the Best Practices of WSE Listed Companies 2021, except for the following:

- Standard 1.4 – To ensure proper communication with stakeholders regarding the adopted business strategy, a company publishes information on its website regarding the tenets of its strategy, the measurable objectives, especially long-term objectives, planned activities and progress in their achievement as specified with the help of financial and non-financial metrics.

Company's commentary: The Company has a long-term growth strategy published on its website. In this strategy, however, the Company has not defined precise long-term goals. Having regard for its current phase of dynamic growth, the highly competitive market on which it operates, the changes transpiring on this market and the frequent changes in the legal environment, this gives the Company extensive flexibility in adapting to the evolving business conditions while enhancing its competitive resilience. The Company is of the opinion that in the foregoing circumstances the most effective way to grow the company's value is to blend its long-term strategy identifying the key growth areas with the process of defining annual objectives aligned to the strategy to be achieved by its employees.

- Standard 1.4.2 – Information on the ESG strategy should present the equality ratio for pay paid to employees calculated as the percentage difference between the average monthly salary (including bonuses, awards and other allowances) received by women and men for the last year, and present information regarding the actions taken to eliminate any inequalities along with a statement of the related risks and the time horizon over which the plan is to reach equality.

Company's commentary: The Company takes care that all employees have equal access to professional development opportunities and receive equal pay for equal work. There is a standard base salary scale that is identical for women and men to eliminate the pay gap problem in the Company's various business areas. In turn, bonuses and awards are paid according to the completed tasks and therefore they may vary among employees. In one area of its business the Company applies an employee remuneration system based on piece work. Its principles are identical for all employees. Pay under this system hinges on the quantity of work done and therefore pay may vary by employee. Accordingly, in the Company's opinion, the salary equality ratio encompassing bonuses, awards and other allowances is not the right ratio to evaluate equal pay for the Company's employees.

- Standard 2.1 – The Company should have a diversity policy for the management board and the supervisory board adopted by the supervisory board or shareholder meeting, respectively. The diversity policy lays down the objectives and criteria for diversity, among others, in areas such as gender, education, expert knowledge, age and professional experience; it also specifies the deadline for, and the method of, monitoring the execution of these objectives. In terms of diversity by gender, the prerequisite for ensuring diversity in the company's corporate bodies is for the minority to hold a share of no less than 30% in a given corporate body.

Company's commentary: The Company pays attention to building a diverse composition in its Management Board and Supervisory Board; however, it does not have a formalized diversity policy applicable to these corporate bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The composition of the Company's corporate bodies is shaped in the way that is most closely aligned to the execution of its business objectives based on candidates selected from among the Company's employees (in the case of the Management Board).

- Standard 2.2 – Decision-makers involved in the selection of the company's management board or supervisory board members should provide for the comprehensiveness of these corporate bodies by choosing people to join them who ensure diversity, making it possible, among other things, to achieve the target minimum percentage held by a minority at a level of no less than 30% in accordance with the targets specified in the adopted diversity policy referred to in standard 2.1.

Company's commentary: The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences and experience, notwithstanding their age, gender, education and other attributes. The composition of the Company's corporate bodies is shaped in the way that is most closely aligned to the execution of its business objectives based on candidates selected from among the Company's employees (in the case of the Management Board). On the date of publication of this information the composition of the Management Board satisfies the criterion pertaining to the share of diversity based on gender. This criterion is not satisfied by the Company's Supervisory Board.

- Standard 2.11.6 – The Supervisory Board's annual report contains information regarding the progress in the diversity policy in the management board and the supervisory board, including the achievement of the objectives referred to in standard 2.1.

Company's commentary: The standard is not applied in connection with the fact that the Company does not apply standard 2.1.

- Standard 4.1 – The Company should enable shareholders to take part in shareholder meetings by using electronic communication means (e-shareholder meetings) if this is justified on account of shareholder expectations voiced to the company, provided that it is capable of providing the technical infrastructure required to hold such a shareholder meeting.

Company's commentary: In the opinion of the Company, providing the necessary technical infrastructure would call for the Company to incur costs and commit other resources that are disproportionate to the potential interest of its shareholders. Therefore, the Company does not plan to conduct a shareholder meeting using electronic means of communication.

- Standard 4.3 – The Company provides for a generally available broadcast of the shareholder meeting in real time.

Company's commentary: The Company does not plan to broadcast the shareholder meeting in real time because of the additional costs and organizational resources it would have to devote to this undertaking. Nevertheless, the Company will consider transmitting the Shareholder Meeting, if its shareholders advance such a need.

- 5.3. No shareholder should be privileged in respect of other shareholders in terms of transactions with related entities. This also pertains to transactions executed by company shareholders with entities belonging to the group.

Company's commentary: The Company expresses its support for the foregoing standard. However, it cooperates with a single general contractor related to the Company's major shareholder in the area involving the expansion of its store network. The Company is not thinking about changing this model. In the past the Company cooperated with many entities operating in the construction industry and based on its experience it deemed that close cooperation with a single credible entity sharing the same goals as the Company is a key condition for the dynamic and effective rollout of the store network. To mitigate the operating risk associated with cooperating with a related party, the following mechanisms are employed: i) the Company regularly collects information regarding other entities operating in the construction industry and analyzes the costs of store construction services; ii) cooperation with the general contractor is conducted on the basis of a long-term master agreement that standardizes the costs of store construction and ensures the constancy of the conditions of cooperation over its term of

validity (the current master agreement is valid until 30 June 2025); and iii) the Company's Articles of Association stipulate that the consent of the majority of the independent Supervisory Board members participating in a meeting must be given to make changes to significant agreements involving related parties.

In addition, Dino Polska reports that it does not conduct any sponsoring activity. Charitable activity is conducted by the Dino – Najbliżej Ciebie Foundation, which has held the status of a public benefit organization since October 2015. The foundation aims to selflessly help people in need, especially individuals suffering from diseases and children.

6.2. Internal control and risk management system in the process of preparation of financial statements

The Parent Company's standalone financial statements have been prepared in accordance with the following:

- Accounting Act of 29 September 1994 (consolidated text: Journal of Laws of 2017, item 2342, as amended),
- internal accounting procedures based on the accounting policies in effect in Dino Polska,
- applicable law and provisions of the articles of association of Dino Polska.

The financial statements have been prepared under the historical cost convention. The Company has drawn up its profit and loss account by using the comparative format. The statement of cash flows has been drawn up using the indirect method.

The consolidated financial statements are prepared in accordance with the International Financial Reporting Standards ("IFRS") endorsed by the European Union ("EU IFRS"). As at the date of approving these financial statements for publication, considering the pending process of introducing IFRSs in the EU, the IFRS applicable to these financial statements do not differ from the EU IFRS. The EU IFRS include standards and interpretations accepted and published by the International Accounting Standards Board.

The Group's entities keep their accounting books in accordance with the accounting policies set forth in the Accounting Act of 29 September 1994 (the "Act"), as amended, and the regulations issued on its basis ("Polish Accounting Standards"). These consolidated financial statements include adjustments not included in the accounts of the Group companies, which were made to bring the financial statements of those companies into conformity with IFRS.

The process of preparing financial statements is covered by an internal control and risk management system, which contributes to the credibility and accuracy of financial reporting, and compliance with the law and internal regulations. The internal control system entails:

- control activities performed by employees of the Dino Polska Group companies as part of their tasks and duties (the current allocation of duties rules out the possibility of one employee performing activities related to the execution and documentation of business operations from beginning to end),
- functional control performed by all the employees in managerial positions who oversee the organizational cells reporting to them,

Risk management in the process of preparing the financial statements is based on risk identification and assessment combined with defining and taking actions aimed at minimizing or eliminating risks in their entirety. The Chief Accountant and the Management Board Member responsible for Finance to whom the financial and accounting teams report oversee the process of preparing the financial statements of the Parent Company and the consolidated financial statements of the Dino Polska Group. The risk management process starts already at the Group's lowest levels, so as to ensure fulfillment of the intended objectives. Risk management in the Dino Polska Group is a process overseen by the Management Board and key managerial personnel.

The accuracy of preparation of the financial statements is also verified by Supervisory Board members as part of the Audit Committee's duties entrusted to the Supervisory Board. To confirm the consistency of the data contained in the financial statements with the facts and records in the accounting ledgers kept by the Company, the financial statements are audited by a statutory auditor who issues an opinion in this respect. All actions taken by the company aim to ensure compliance with the provisions of law and the facts, and early identification and elimination of potential risks so that they do not affect the credibility and accuracy of presented financial data.

6.3. Internal audit and the compliance management system

Dino Polska has a separate department responsible for internal audit. Internal audit in the Company is an independent and objective activity to ensure, advise and support the Group in achieving its intended goals by regularly and consistently improving the effectiveness of management. The audit function follows the guidelines of the Institute of Internal Auditors. It involves a regular and structured assessment of processes: risk management, control and organizational governance and it contributes to their improvement. Internal audit may span all aspects of the Group's business.

Compliance management in the Dino Group aims to ensure that the Group companies will achieve their business targets in a manner consistent with the law while respecting best practices and business ethics and striving to avoid conflicts of interest and abiding by the principles of fair competition. In addition, this system is supposed to mitigate the risk of sanctions, financial losses and loss of reputation, while simultaneously contributing to building and entrenching the Dino Group's positive image.

The Dino Group's compliance is predicated on risk analysis, which defines the tasks for complying with legal and ethical standards and forms the basis for enacting solutions dedicated to the Group.

Compliance management in the Dino Group is carried out through preventive measures (preventing the emergence of a lack of compliance), remedial measures (detecting and eradicating identified cases of non-compliance and mitigating their adverse consequences) and analytical measures (analysis of the identified cases of non-compliance to avoid similar events in the future).

The Dino Group acts in the following areas within the framework of compliance management:

- monitoring the regulatory environment for business processes,
- evaluating and analyzing companies' compliance risk with the laws, guidelines, internal regulations and standards,
- coordinating the process of creating, implementing and updating internal regulations in the Company,
- monitoring the observance of standards embraced in internal regulations and compliance management,
- controlling compliance between the operations of organizational cells and the Company's internal decisions and regulations,
- delivering training to employees.

6.4. Share capital, shares and shareholders of Dino Polska

As at the Report Date, the Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The shares are not preferred in terms of voting rights, dividend rights or distribution of assets in the case of liquidation of the Company. There are no shares in the Company with special control powers attached. Nor are there any restrictions on the exercise of voting rights or transferability of legal title to Dino Polska shares. As of the Report Date:

- there are no shares which do not represent the Company's share capital (do not constitute a stake in the share capital),
- The Company does not hold any treasury shares, and no Subsidiary or third party acting for or on behalf of the Company holds any Dino Polska shares,
- neither the Company nor any of its Subsidiaries acquired treasury shares (of Dino Polska) in 2021,
- neither the Company's nor any Subsidiaries' capital is subject to options, and it has not been agreed, conditionally or unconditionally, that the capital of any such entities will become subject to options,
- there are no convertible securities or securities exchangeable for securities (including shares) of the Company or securities with warrants issued by the Company, and
- the Articles of Association do not contain any provisions authorizing the Management Board to increase the Company's share capital as part of authorized capital.

„DINO POLSKA” S.A.’s shareholder structure as at the end of 2021

	Number of shares and number of votes at the Shareholder Meeting	Share in the share capital and in votes at the Shareholder Meeting
Tomasz Biernacki with a subsidiary*	50,160,000	51.16%
Other shareholders.....	47,880,000	48.84%

* - BT Kapital Sp. z o.o., a subsidiary of Tomasz Biernacki, holds a total of 160 thousand Company shares

As at the Report Date, to the Company's best knowledge, the only holder of Dino Shares representing, directly or indirectly, at least 5% of the total number of votes at the Shareholder Meeting, is Tomasz Biernacki, Chairman of the Dino Polska Supervisory Board.

Michał Krauze, a Management Board Member of the Company, held 30,000 Company shares as at the Report Date. Compared to the publication date of the Q3 2021 report, the number of shares held by Michał Krauze has not changed. Izabela Biadała, a Management Board Member, held 80 shares in the Company as at the Report Date (no change compared to the publication date of the Q3 2021 report). Michał Muskała, a Management Board Member did not hold any shares in the Company as at the Report Date (no change compared to the publication date of the Q3 2021 report).

The following Supervisory Board members held shares in Dino as at the Report Date: Tomasz Biernacki (Supervisory Board Chairman) – as detailed in the table above, Eryk Bajer (Supervisory Board Member) – 33,667 shares (jointly with a controlled entity) and Sławomir Jakszuk (Supervisory Board Member) – 1,600 shares. The number of Company shares held by Eryk Bajer (jointly with a controlled entity) rose by 3,777 compared to the publication date of the Q3 2021 report. The number of shares in the Company held by Supervisory Board members has not changed since the publication date of the Q3 2021 report.

Dino Polska Management Board and Supervisory Board Members do not hold any shares in Dino Polska's subsidiaries. The Company does not have an employee share ownership plan and hence it does not have an employee share ownership plan control system. The Company is unaware of any agreements which may result in future changes to the proportions of the Dino Polska shares held by the shareholders. No other changes to the Company's share capital took place in 2021 or up to the Report Date.

6.5. DINO Polska Bonds

On 21 September 2017, the Management Board of Dino Polska adopted a resolution to establish a program for the Company to issue bonds up to the amount of PLN 500 million ("Program"). A modification was made to the program on 10 September 2021 through a resolution of the Management Board to increase it from PLN 500 million to PLN 1 billion up to which the Company can issue bonds.

Under the Program the Company may conduct multiple issues of secured bearer bonds in electronic form (not in paper form) denominated in Polish zloty. Decisions regarding the launch of further issues under the Program and their amounts are made based on the Company's current funding needs. Detailed parameters of bond issues are determined before the issue of a given bond series. The various series of bonds issued under the Program may contemplate registration of the bonds in the securities depository run by Krajowy Depozyt Papierów Wartościowych S.A. and of introducing them to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. or BondSpot S.A.

This Program's objective is to diversify the sources of funding and optimize the Company's operating expenses. The Program will not affect the Company's current targets regarding the overall level of net debt to EBITDA. The cash funds obtained through the Program are allocated to develop the Company's operations under the adopted growth strategy entailing in particular the roll-out of its own store network with distribution centers and logistic network.

The total nominal value of the bonds issued by Dino Polska (and that are outstanding for redemption) was PLN 620 million as at the Report date.

On 13 October 2017, as part of the Program, the Company issued 100,000 series 1/2017 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 100 million. The proceeds were used

by the Company in accordance with the goal specified above. In 2020, according to the issue conditions, the Company redeemed the aforementioned series.

On 26 June 2019, as part of the Program, the Company issued 1,700 series 1/2019 secured bearer bonds with a nominal value of PLN 100,000 each and a total nominal value of PLN 170 million. The proceeds were used by the Company in accordance with the goal specified in the Program. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.30 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading systems run by Warsaw Stock Exchange (GPW S.A.) and BondSpot S.A. The final maturity of the bonds is 26 June 2022.

On 6 October 2020, as part of the Program, the Company issued 250,000 series 1/2020 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 250 million. The proceeds from the bond issue were used by the Company in accordance with the goal specified in the Program. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.30 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. The final maturity of the bonds is 6 October 2023.

On 20 October 2021, as part of the Program, the Company issued 200,000 series 1/2021 secured bearer bonds with a nominal value of PLN 1,000 each and a total nominal value of PLN 200 million. The proceeds were used by the Company in accordance with the goal specified in the Program. The Bonds are secured by sureties of selected Dino Polska Group companies. The issue price of the bonds was equal to their par value. The bonds bear interest at a floating interest rate of WIBOR 3M plus a fixed margin of 1.20 percentage points per annum. The Bonds were registered in the securities depository run by the National Depository for Securities (KDPW S.A.) and introduced to be traded in the alternative trading system run by Warsaw Stock Exchange S.A. The final maturity of the bonds is 20 October 2025.

6.6. Management Board of Dino Polska

Members of the Dino Polska Management Board are appointed for a joint term of three years. The mandate of a member of the Management Board expires no later than on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year of serving as a member of the Management Board.

Composition of the Management Board

The Management Board comprises of between one and five persons. The number of members of the Management Board of a given term is set by the Supervisory Board.

Management Board Members, including the President of the Management Board, are appointed and dismissed by the Supervisory Board. Each Management Board member may be dismissed by the Supervisory Board at any time both for cause and without cause. The Supervisory Board may suspend some or all of the members of the Management Board due to important reasons. A Management Board member may also be dismissed or suspended in performance of his/her duties by a resolution adopted by the Shareholder Meeting.

Management Board's powers

The Management Board manages the Company's operations and assets and represents the Company externally before courts, authorities and third parties. The Management Board makes decisions in all the matters that are not reserved by the law or the Articles of Association as exclusive powers of the Supervisory Board or the Shareholder Meeting. Management Board Members do not have the power to decide on share issues or buyouts. All of the Management Board members are obligated and entitled to manage the Company's business jointly. Two Management Board members acting jointly or one Management Board member acting jointly with a commercial proxy are authorized to submit representations of will and sign on behalf of the Company.

Management Board Members

At the end of 2021 and as at the Report Date, the Management Board is comprised of three members, i.e.: Izabela Biadała, Michał Krauze and Michał Muskała. On 3 September 2021 the aforementioned persons were appointed by Dino Polska's Supervisory Board for another term of office starting on 6 October 2021. In 2021 there were no changes in the composition of Dino Polska's Management Board. On 23 February 2022 Michał Muskała tendered his resignation from serving in the capacity of a Dino Polska Management Board Member by citing the need to focus on his work as a Management Board Member in „DINO POLSKA” S.A. subsidiaries (CWN Sp. z o.o. and CWN1 S.A. – CWN6 S.A.) responsible for the investment processes of the Dino Polska Group, especially for the construction of distribution centers.

Composition of the „DINO POLSKA” S.A. Management Board at the end of 2021 and as at the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Izabela Biadała	47	Management Board Member	3.09.2021
Michał Krauze	39	Management Board Member	3.09.2021

Izabela Biadała and Michał Krauze have been employees of the Dino Polska Group since 2002.

From 2002 to 2011 Izabela Biadała worked in jobs in administration, logistics and accounting. She has held managerial functions in the Company since 2011. In November 2019 she took the position of Director of Administration and then in March 2020 she started to act in the capacity of Director of Operations and Administration.

In 2002-2007, Michał Krauze was an accountant, then, in 2007-2011, an independent accountant, and then, in 2011-2016, a financial controller. He was appointed to the Management Board in May 2014, and since July 2016 he has also been acting in the capacity of Chief Financial Officer.

Compensation and terms of employment contracts of Management Board members

Compensation and rules for compensating Management Board members and rules governing the employment of Management Board members

Contracts between Management Board members and the Company

Management Board members are employed under employment contracts. Such contracts contain the fundamental provisions required by the provisions of labor law, including the job description and the amount of employee compensation. Contracts with the Management Board members have been entered into for an indefinite term and may be terminated with three months' notice. Moreover, these contracts contain confidentiality clauses applicable to the Management Board members and they require Management Board members to refrain from involvement in any business competitive to that of the Company or of the Subsidiaries during the employment relationship and for a period of 12 months following the expiration or termination of the employment contract for any reason. A contractual penalty is provided for a breach of the non-competition clause during the term of the employment contract, equal to 6 times the average gross monthly compensation obtained by the pertinent Management Board member prior to the cessation of the employment relationship, with an option allowing for the Company's pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. A contractual penalty is provided for a breach of the non-competition clause after the termination of the employment contract, equal to twice the amount obtained by the pertinent Management Board member as compensation for refraining from involvement in competitive activity, with an option allowing for the pursuit of damages for any loss the value of which is greater than the amount of the contractual penalty. Each Management Board member is entitled to (lump-sum) compensation for adherence to the non-competition clause after the termination of the employment relationship in an amount equivalent to 12 times the average gross monthly compensation obtained by the relevant Management Board member prior to such termination. The said compensation is payable in twelve monthly installments. The contracts between the Management Board members and the Company do not provide for any other compensation in the event of a Management Board members' resignation or dismissal without a significant reason or if such dismissal results from the Company's merger with another entity by way of an acquisition. Management Board members may not, without the consent of the Supervisory Board, accept the function of a

member of the management board or supervisory board in any companies other than Dino Polska's related entities.

Contracts between Management Board members and the Subsidiaries

In addition to the employment contract with the Company, Michał Krauze has entered into a mandate agreement with Agro-Rydzyna and Dino Krotoszyn under which he performs activities related to the discharge of the function of a management board member in these companies. His agreements contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from the involvement in any business competitive to that run by Agro-Rydzyna and Dino Krotoszyn.

In addition to the employment contract with the Company, Michał Muskała entered into a mandate agreement with CWN and CWN1 under which he performs activities related to serving in the capacity of a management board member in these companies. His agreements contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from competitive business activity provided for in the employment contract with the Company is also treated as compensation for refraining from any business competitive to that run by CWN and CWN1.

In addition to the employment contract with the Company, Izabela Biadała has entered into a mandate agreement with Dino Południe and Dino Krotoszyn under which she performs activities related to the discharge of the function of a management board member in these companies. Her agreements contains provisions on confidentiality and the requirement to refrain from the conduct of any competitive business during the term of the agreement and for 12 months following its expiration or termination for any reason. The compensation for refraining from the involvement in any competitive business provided for in the employment contract with the Company is also treated as the compensation for refraining from involvement in any business competitive to that run by Dino Południe and Dino Krotoszyn.

Management Board members may obtain discretionary bonuses from Subsidiaries in which they discharge managerial functions.

Amounts of compensation and other benefits for Management Board members in the Company and the Subsidiaries

The compensation for Dino Polska's Management Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Supervisory Board sets the amount of compensation for the Members of the Company's Management Board while taking into consideration the following: (i) the Company's financial position, (ii) the results achieved, (iii) the experience and professional qualifications of a given Management Board Member and (iv) the level of responsibility ensuing from the position held. Compensation of the Members of the Company's Management Board is set in a way that supports the achievement of strategic objectives of Dino Polska and ensures the maintenance of the Company's secure financial standing.

Compensation for the Management Board Members includes fixed (monthly) and variable compensation. According to the adopted policy and having regard for the Company's rapid growth and its strategic objectives, more weight is placed on variable or bonus compensation in the total compensation payable to the Members of the Company's Management Board. The fixed compensation of Management Board Members should not be higher than 10 times the average compensation of a full-time employee in the Company. Variable compensation is paid in the form of quarterly bonuses (at the discretion of the Supervisory Board) and annual bonuses (depending on the amount of the Company's consolidated net profit earned in the financial year for which it is paid).

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2021.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Izabela Biadała	126.7	480.0	140.0	
Michał Krauze.....	95.2	720.0	159.2	
Michał Muskala.....	125.6	386.4	140.0	

The table below shows the amounts of compensation and other benefits payable or paid to each Management Board member by the Company and the Subsidiaries in 2020.

Full name	Compensations received from the Company		Compensations received from the Subsidiaries	
	Base compensation under the employment contract	Additional compensation in the form of discretionary bonuses	Base compensation under civil law agreements	Additional compensation in the form of discretionary bonuses
	(PLN thousand)			
Szymon Piduch*.....	163.2	774.8**	270.1	-
Izabela Biadała***	124.1	322.0	40.0	-
Michał Krauze	104.4	579.0	148.8	-
Michał Muskala.....	123.0	257.6	120.0	-

* Szymon Piduch acted in the capacity of the President of the Management Board of the Company until 2 July 2020

** updated line item; include bonus for the period when Szymon Piduch served in the capacity of President of the Management Board, which was awarded after the Report Date;

*** total compensation received in 2020 (for the period of serving in the capacity of a Management Board Member (from 24 June 2020) and for the earlier period when Izabela Biadała served as the Director of the Department of Operations and Administration in Dino Polska)

The Management Board members are covered by third party liability insurance.

Other than the benefits described above, as at the end of 2021 the Management Board members were not covered by any contingent or deferred benefits granted by the Company or the Subsidiaries.

There are no contracts between the Management Board members and the Company or the Subsidiaries providing for any benefits payable upon termination of the employment relationship. There are no liabilities arising from pension obligations or similar benefits payable to former members of management, supervisors or former members of administrative bodies.

6.7. Shareholder Meeting, shareholder rights and rules for amendment of the articles of association

A Shareholder Meeting is convened by way of an announcement published on the Company's website and in the manner provided for in the Commercial Company Code as well as in compliance with the Public Offering Act. Such an announcement should be published at least 26 days prior to the date of the Shareholder Meeting. Shareholder Meetings are held in the Company's registered seat or in Warsaw or in some other venue in Poland designated by the Company in the announcement regarding the convening of the Shareholder Meeting.

The Management Board convenes the Shareholder Meeting. The Supervisory Board may convene an ordinary Shareholder Meeting if the Management Board fails to convene it within the prescribed time limit and may convene an extraordinary Shareholder Meeting if it considers that to be expedient. The right to convene an extraordinary Shareholder Meeting is also vested in Company's shareholders representing at least half of the

Company's share capital or at least half of all votes in the Company. In such a case, the Company's shareholders have the right to appoint the chairperson of the Shareholder Meeting.

Moreover, a shareholder or shareholders representing at least one-twentieth of the Company's share capital may request that an extraordinary Shareholder Meeting be convened and that specified items be placed in the agenda of the Shareholder Meeting. Such a request to convene an extraordinary Shareholder Meeting must be submitted to the Management Board in writing or in electronic form. If, within two weeks from the date of submission of the request to the Management Board, the latter fails to convene the extraordinary Shareholder Meeting, the court of registration may authorize the Company's shareholders who have submitted the request to convene the extraordinary Shareholder Meeting themselves. In such a case, the court appoints the chairperson of the Shareholder Meeting.

The right to participate in the Shareholder Meeting is vested only in those persons who are the Company's shareholders sixteen days prior to the date of the Shareholder Meeting (date of registration of participants). Shareholders have the right to participate in the Shareholder Meeting and exercise their voting rights in person or through a proxy. Furthermore, each shareholder is entitled to have a say on the matters included in the agenda. A detailed description of the procedures governing participation in Shareholder Meetings and the exercise of voting rights is always provided along with the announcement on convening a Shareholder Meeting.

The powers of the Shareholder Meeting including making decisions concerning issues related to the organization and operations of the Company, except for the cases specified in the Commercial Company Code (CCC) and the Articles of Association. The rules for holding the Company's Shareholder Meetings are defined by the Rules and Regulations of the Shareholder Meeting in Dino Polska S.A. published on the website grupadino.pl.

The rights of the shareholders and the method of exercising them at the Shareholder Meeting are specified in the Commercial Company Code and the Articles of Association. In accordance with the Articles of Association, the powers of the Shareholder Meeting include:

- appointing and dismissing Supervisory Board members;
- defining the rules for compensating Supervisory Board members and setting the amounts of such compensations,
- establishing, utilizing and dissolving reserve capital and other special-purpose funds as well as utilizing supplementary capital.

An amendment to the Articles of Association requires the adoption of a Shareholder Meeting resolution by a majority of three-fourths of the votes. An amendment to the Articles of Association materially changing the Company's line of business (Article 416 § 1 of the Commercial Company Code) does not require a buyout of the shares held by the shareholders objecting to such an amendment if the relevant resolution of the Shareholder Meeting is adopted by a 2/3 (two-thirds) majority of the votes in the presence of shareholders representing at least one half of the share capital.

6.8. Supervisory Board and its committees

The Supervisory Board exercises regular supervision over the Company's operations in all areas of its activity. Members of the Supervisory Board are appointed for a joint term of three years. The mandates of the members of the Supervisory Board expire, at the latest, on the date of holding the Shareholder Meeting approving the financial statements for the last full financial year during which they held the position of a Supervisory Board member. The Supervisory Board consists of five to eight members.

As at the Report Date, according to the Articles of Association, Supervisory Board members are appointed and dismissed in the following manner:

- as long as Tomasz Biernacki holds shares representing at least 50% of the overall number of votes at the Shareholder Meeting plus one share, Tomasz Biernacki will be authorized to appoint and dismiss one member of the Supervisory Board who will also serve as the Supervisory Board Chairman, by way of written representation to appoint or dismiss a Supervisory Board member, which becomes effective upon delivery to the Company;

- the other Supervisory Board members are appointed and dismissed by the Shareholder Meeting and the Supervisory Board Deputy Chairperson is elected by Supervisory Board members from among themselves.

In the case of voting in separate groups in accordance with the procedure prescribed by Article 385 of the Commercial Company Code, the Supervisory Board will have eight members, however, until the expiry of the powers referred to in the first item above, Tomasz Biernacki will have the right to appoint the Supervisory Board Chairman from among the Supervisory Board members elected in connection with voting in separate groups. If the powers referred to in the first item above expire, then the Supervisory Board Chairman will be elected by the Supervisory Board members from among themselves.

Supervisory Board members

The Supervisory Board consists of five members as at the Report Date. On 12 January 2021 Szymon Piduch tendered his resignation from serving in the capacity of a Supervisory Board Member of the Company. On 18 June 2021 the Company's Shareholder Meeting decided to appoint the current Supervisory Board Members of Dino Polska for another term of office.

The following table presents basic information on the Supervisory Board members at the end of 2021 and as at the Report Date.

Full name	Age	Position	Date of assuming the function in the current term of office
Tomasz Biernacki.....	48	Supervisory Board Chairman	18 June 2021
Eryk Bajer	53	Supervisory Board member	18 June 2021
Maciej Polanowski	51	Supervisory Board member	18 June 2021
Piotr Nowjalis.....	47	Supervisory Board member	18 June 2021
Sławomir Jakszuk.....	58	Supervisory Board member	18 June 2021

Eryk Bajer, Tomasz Biernacki and Maciej Polanowski have been discharging the functions of the Company's Supervisory Board members since 2010. Piotr Nowjalis and Sławomir Jakszuk have been discharging the functions of the Company's Supervisory Board members since 2015.

Audit Committee

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Statutory Auditor Act and the Best Practices of WSE Listed Companies. The Company's Audit Committee was appointed by a Supervisory Board resolution of 1 December 2016.

The tasks of the Audit Committee include, in particular (i) monitoring the financial reporting process; (ii) monitoring the effectiveness of the internal control, internal audit and risk management systems; (iii) monitoring the performance of the financial review activities; (iv) monitoring the independence of the statutory auditor and the entity authorized to audit financial statements, also if services other than financial review are performed for the Company; and (v) recommending the entity authorized to audit financial statements to the Supervisory Board to perform the financial review activities for the Company.

On 21 June 2021 the composition of the Audit Committee of the new term of office of the Company's Supervisory Board was appointed. The following persons were appointed to it: Piotr Nowjalis (Audit Committee Chairman), Sławomir Jakszuk and Maciej Polanowski.

Piotr Nowjalis satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act and holds qualifications in accounting. Sławomir Jakszuk satisfies the criteria for independence prescribed by the Best Practices of WSE Listed Companies. Additionally, he satisfies the criteria for independence prescribed by the Statutory Auditor Act.

Piotr Nowjalis has knowledge and experience in accounting acquired during his career, while discharging the functions of financial director and management board member responsible for finance and accounting in public companies: AB S.A. (2003-2008) and CCC S.A. (2008-2017). Piotr Nowjalis has knowledge concerning retail

network management which gained when he was in CCC S.A. in 2008-2017. Sławomir Jakszuk is a partner and legal advisor in the *Prof. Wierzbowski i partnerzy* law firm. He has extensive experience in capital markets and has advised a number of securities issuers on matters associated with discharging their statutory duties.

The Audit Committee held 7 meetings in 2021.

Compensation and rules for compensating Supervisory Board members

The compensation for Dino Polska's Supervisory Board Members is paid in accordance with the "Compensation Policy for Management Board and Supervisory Board Members of Dino Polska S.A." approved by a resolution adopted by the Company's Shareholder Meeting on 2 July 2020. The Company's Shareholder Meeting sets the compensation of the Company's Supervisory Board Members.

The table below shows the annual compensation received by the various Supervisory Board members from the Company in 2021 and 2020.

	Compensation from the Company in 2021	Compensation from the Company in 2020
	(PLN thousand)	
Tomasz Biernacki.....	0.0	0.0
Eryk Bajer	82.0	82.0
Sławomir Jakszuk.....	82.0	82.0
Piotr Nowjalis.....	99.6	93.1
Szymon Piduch.....	9.0	30.3
Maciej Polanowski	80.5	82.0

The total value of the benefits received from the Company by the Supervisory Board members in 2021 was PLN 353,1 thousand (in 2020 the compensation for Supervisory Board members was PLN 369.4 thousand). These benefits included compensation for discharging the function of a Supervisory Board member. In addition to the function of serving as a Dino Polska Supervisory Board Member, pursuant to a separate agreement concluded with the Company, Mr. Szymon Piduch provided business consulting services in the period from July to December 2020 and in January 2021 for which he received compensation in the amount of PLN 162.6 thousand in 2020 and PLN 107.2 thousand in 2021. Supervisory Board members do not receive compensation from Subsidiaries.

6.9. Auditor

Pursuant to § 20 Sec. 1 Item 6 of Dino Polska's Articles of Association, selection of the statutory auditor to audit the financial statements of the Company and the Dino Polska Group is within the powers of the Dino Polska Supervisory Board. The Supervisory Board selects the statutory auditor on the basis of the opinion and recommendation of the Audit Committee.

On 2 July 2021, the Company, based on a Supervisory Board decision and based on the Audit Committee's recommendation satisfying the required conditions, extended the agreement with Ernst & Young Audyt Polska sp. z o.o. sp. k., with its registered office in Warsaw, Rondo ONZ 1, to review the interim financial statements of Dino Polska and the interim consolidated financial statements of the Dino Polska Group for 2021, 2022 and 2023, and to audit the standalone financial statements of Dino Polska and consolidated financial statements of the Dino Polska Group for 2021, 2022 and 2023.

In 2018-2021 Ernst & Young Audyt Polska sp. z o.o. sp. k. did not provide to the Company or to its Subsidiaries any services other than the review or audit of the financial statements.

The table below presents the fees charged by the entity authorized to audit the financial statements paid or due for the years ended 31 December 2021 and 2020, by type of service.

Type of service	2021	2020
Mandatory audit of financial statements	499	410
Review of the interim financial statements	110	71
Other audit services	-	-
Tax advisory services	-	-
Total	609	481

Below the Company presents selected assumptions of the policy for selecting an audit firm:

- an audit firm to audit the standalone financial statements and the consolidated financial statements is selected for a maximum of up to 10 years,
- launch of the audit firm selection procedure is preceded by an Audit Committee resolution which obligates the Company to appoint a team to carry out a tender and prepare requests for proposal; the proposals sent to the Company, after they are collectively opened by the tender team, are submitted to Audit Committee members and Supervisory Board members,
- The Company evaluates the proposals submitted by the audit firms in accordance with the selection criteria laid down in the tender documentation and prepares a report comprising the findings of the selection procedure approved by the Audit Committee.
- Evaluating the proposals, the Audit Committee takes into account: a) experience in auditing financial statements of public companies; b) professionalism; c) knowledge of the retail business; d) position of the statutory auditor in the audit service market; e) content and presentation of the proposal; f) price,
- The Audit Committee selects at least two proposals by a majority of votes (if the selection does not pertain to extension of the mandate) or indicates the current audit firm if the mandate is being extended, which are recommended, together with a justification, to the Supervisory Board for selection,
- if the Supervisory Board's decision regarding the selection of the audit firm deviates from the Audit Committee's recommendation, the Supervisory Board is required to present a justification stating the reasons for refusing to follow the Audit Committee's recommendations. The Supervisory Board forwards such justification to the Shareholder Meeting.

The Company has a policy for the provision of permitted non-audit services by the audit firm carrying out the audit, by related parties of such audit firm and by a member of the audit firm network. In line with its assumptions, the provision of non-audit services, save for forbidden services, is possible after the Audit Committee evaluates the threats and safeguards of the independence (the Audit Committee refuses the give consent to the provision of services if there is a risk that the threat to independence cannot be reduced to an acceptable level that does not threaten the Company's interest). In addition, the aforementioned policy defines the periods in which non-audit services cannot be provided and comprises catalogs of services whose provision by the statutory auditor or audit firm is prohibited, and of permitted services.

6.10. Transactions with related parties

Neither the Company nor its subsidiaries entered into transactions with related parties that deviated from arm's length basis. Detailed information about transactions with related parties is presented in Note 41 to the Company's Financial Statements for the year ended 31 December 2021, and in Note 33 to the Consolidated Financial Statements for the year ended 31 December 2021 prepared in accordance with the International Financial Reporting Standards endorsed for application in the EU.

6.11. Legal proceedings

As at 31 December 2021, Dino Polska and certain Subsidiaries were parties to several legal actions which, in the Company's opinion, did not generate any major receivables or payables. According to the Company's best knowledge, as at 31 December 2021 and the Report Date, there were no pending proceedings pertaining to liabilities and/or receivables of the Company or its subsidiaries whose value would exceed 10% of the Company's equity.

7. "DINO – CLOSEST TO YOU". CORPORATE SOCIAL RESPONSIBILITY REPORT OF DINO POLSKA

7.1. Dino Polska's business model

Dino Polska is one of the biggest and fastest growing nationwide grocery store networks. In 2021 Dino Polska opened 343 new stores. At the end of 2021 its network consisted of 1,815 stores. Dino Polska's business model blends its superior capacity to roll out the network rapidly with the advantages offered by modern mid-sized stores and their attractive locations.

A standard Dino store is about 400 square meters in size and has a parking lot with several dozen parking spaces for customers, including parking spots for people with disabilities and a bicycle parking rack.

Dino stores are located close to our customers' place of residence to ensure that customers are able to shop for their first-need articles quickly and conveniently. The rapidly growing Dino store network shortens the distance between consumers and a modern, organized grocery retail network enabling them to save time and save on the costs associated with traveling to more distant stores. This also means that they have to use cars to a lesser degree, thereby exerting a positive environmental impact.

Dino's product range comprises about 5 thousand stock keeping units (SKU), including mainly fresh products in the fruit and vegetable, dairy, meat and bakery sections, as well as other food, chemical and cosmetic products sold under well-known brands. To provide customers with products of the highest quality Dino's stores are supplied with fresh products daily.

Every Dino store has a traditional fresh meat counter with counter staff. Agro-Rydzyna, a Dino Polska wholly owned subsidiary operating a meat processing plant, supplies its high quality meat and cold cuts to these counters. Agro-Rydzyna is the sole supplier of high-quality fresh meat and the main supplier of cold cuts to the Dino stores. The whole production of the meat processing plant operated by Agro-Rydzyna is sold through the Dino store network. The meat processing plant operated by Agro-Rydzyna is located in Kłoda in the Wielkopolskie voivodship and has a total floor area of 15,814 square meters.

Dino stores are supported by seven distribution centers owned by the Dino Group and located in Krotoszyn, Rzeszotary, Wolborz, Jastrowie, Łobez, Sierpc and Sieroniuwice and the transport network comprised by independent transport companies and managed by Dino Polska.

7.2. Dino Polska Group

The Dino Group consists of the parent company Dino Polska S.A., with its registered office in Krotoszyn, and its subsidiaries: Agro-Rydzyna sp. z o.o. operating a meat processing plant, which produces cold cuts and fresh meat for the needs of Dino Polska, as well as other companies whose aim is to support the Dino network in logistics and store network roll-out. Dino Polska and the Subsidiaries operate in the Republic of Poland. The Company's registered office is located at ul. Ostrowska 122, 63-700 Krotoszyn. Dino Polska does not have any branches outside of Poland.

Dino Polska is a joint stock company that has been listed on the Main Floor of the Warsaw Stock Exchange since April 2017. Dino Polska is majority-owned by Polish capital. The Company's share capital is PLN 9,804,000 and is divided into 98,040,000 series A ordinary bearer shares with a par value of PLN 0.10 each. The Company's dominant shareholder is Tomasz Biernacki, Dino Polska's Supervisory Board Chairman, who holds 51.16% of shares. The remaining 48.84% of Dino Polska shares form the free float on the Warsaw Stock Exchange.

The activity of Dino Polska is directed by the Management Board, which defines the strategy and oversees its execution, takes key decisions, manages the Company's assets and represents it outside of the organization. All the Management Board members jointly direct the Company's affairs and closely cooperate in making decisions, including decisions related to corporate social responsibility.

As of the Report Date, Dino Polska is represented by a Management Board consisting of the following two members:

- Izabela Biadała (47), Management Board Member,
- Michał Krauze (39), Management Board Member.

As at the Report Date, the Dino Polska Supervisory Board consists of five members:

- Tomasz Biernacki (48) – Supervisory Board Chairman,
- Eryk Bajer (53) – Supervisory Board Member,
- Sławomir Jakszuk (58) – Independent Supervisory Board Member,
- Piotr Nowjalis (47) – Independent Supervisory Board Member,
- Maciej Polanowski (51) – Supervisory Board Member.

According to the Articles of Association, the Supervisory Board appoints the Audit Committee whose composition complies with the Best Practices of WSE-Listed Companies (2021) and the regulations of the Act of 11 May 2017 on Statutory Auditors, Audit Firms and Public Supervision. The Audit Committee comprises the following Supervisory Board Members: Piotr Nowjalis – Chairman of the Audit Committee, Sławomir Jakszuk – Audit Committee Member and Maciej Polanowski – Audit Committee Member.

Neither Dino Polska nor its subsidiaries enter into transactions with related parties that deviated from an arm's length basis. In 2021, neither Dino Polska nor any of its Subsidiaries provided any direct or indirect financial or non-financial support for political purposes.

Dino Polska's strategy calls for continued growth by focusing on three key areas: (i) continuation of rapid organic growth in the number of stores, (ii) continued growth in LFL sales revenue in the current store network and (iii) consistent improvement in profitability. Dino Polska's intention is to execute its growth strategy by further utilization of the Dino Polska Group's strengths and its competitive advantages.

We regularly analyze the risks and opportunities related to climate change as we pursue Dino Polska's business objectives. Conserving and managing natural resources rationally are firmly entrenched in our organizational culture, while our strategy aims to curtail gradually the environmental impact exerted by the operations of the Dino Polska Group.

7.3. Our values

The values of key importance in our daily operations pertain to four strategic areas of our impact on the environment:

- caring about a good place of work for the Dino Group's employees and associates,
- building long-term business relations based on trust, responsibility and integrity,
- mindfulness of, and sensitivity to, the social context and the natural environment,
- activity in line with the idea of "Dino – Closest to You".

We have collected the ethical values we pursue in daily business life in the document entitled "Code of Ethics of Dino Polska S.A. and subsidiaries". The code is a guide for all employees, associates and managers of Dino Polska and its Subsidiaries alike, describing how to conduct business in compliance with ethical standards, legal regulations and accepted social standards. The purpose of the code is also to remind the stakeholders of the need to be guided by integrity and responsibility in business, both in and outside the Group, with regard to customers, the local community and the natural environment. In 2021 we donated a total of 368 tons of food to non-governmental and aid organizations. In 2021 the Group donated PLN 2,890 thousand to hospitals to combat COVID-19.

We strive for Dino Polska and its Subsidiaries to be a friendly workplace. In employee relations we focus primarily on working in line with our ethical values and in full respect of, and in compliance with, the provisions of law, standards and norms. We attach a lot of importance to respecting human rights and counteracting all manifestations of discrimination and hence ensuring mental comfort and feeling of safety for our employees.

The Group has in place two whistleblowing mechanisms:

- the first one is to ensure compliance between the Group's operations and the values set forth in the Code of Conduct. The document is published on an Intranet site and on the website: www.grupadino.pl, making it

available to the Group's employees and associates as well as the Group's partners, business partners, sub-contractors and customers. Reporting of irregularities on a confidential basis can be done through three channels of communication: a dedicated e-mail address, a direct meeting or traditional contact by post;

- The other mechanism functions within the "Procedure of anonymous reporting of violations of law, procedures and ethical standards by Dino Polska S.A. employees". Depending on the nature of the situation, Company employees are able to report irregularities and breaches of law on an anonymous basis by sending an e-mail to dedicated addresses, by telephone or in person to the Legal Department, President of the Management Board or a Supervisory Board Member. In accordance with the pertinent procedure the Company provides for the anonymity of whistleblowers and gives them suitable protection against any retaliatory actions.

Dino has in place an internal anti-mobbing procedure applicable to all employees and the position of a Management Board Representative on preventing mobbing reporting directly to the Company's Management Board has been established. The Company takes preventive measures to discourage mobbing at work. Every year, an anti-mobbing survey is conducted among Dino employees, which is aimed at supporting the internal anti-mobbing procedure in preventing the occurrence of mobbing incidents.

The overarching principle in the Dino Group's policy is to do business while observing the highest ethical standards and complying with the regulations of law in a responsible and honest manner. It is extremely important to us for the Dino Group's employees and associates to take measures to prevent all manifestations of unethical behavior and corruption in particular. The employees of Dino Polska and the Dino Polska Group companies cannot engage in any deceitful or unfair activities that are illegal, including ones that pertain to Dino Polska and Group companies, its clients, suppliers, contractors, business partners or other persons with whom the Group has established contacts or with whom it conducts commercial activity. The violation of the foregoing rule constitutes grounds for disciplinary action, including dismissal, and in special cases, it may also constitute grounds for prosecution under criminal liability. Dino Polska is of the opinion that the methods for identifying the areas of operations at risk of corruption and bribery devised to date by the Dino Polska Group and the mechanisms for preventing them effectively curtail the risk of their occurrence. In the operation to date of Dino Polska and the Dino Group, there have been no cases of corruption or bribery that would put the organization's reputation, or its brand, in jeopardy.

In 2021, no instance of discriminatory conduct, human rights violation or mobbing was found in the Dino Group. Nor was any instance of conduct involving corruption found.

The Company's mission statement of "Dino – Closest to You" is executed mainly through location of the stores. The benefits stemming from this growth strategy work on several levels. The Company's willingness to open stores in smaller towns and rural areas alike brings benefits in the following form:

- making a positive contribution to local labor markets – every store gives jobs to roughly a dozen people; Dino Polska thereby becomes an attractive and major player on the local labor markets, creating employment opportunities near their place of residence, often in places which offer limited, stable employment job opportunities based on an employment contract,
- shortening distance – Dino stores make it possible to shop for staples close to home without having to travel greater distances to other stores; Dino's product range spans groceries, fresh meat, cold cuts and dairy products, fruit and vegetables, household goods and chemicals,
- reducing burdens on the natural environment – our stores to an ever greater degree are powered by renewable sources. As the store format is not large, stores are well suited to the places where they operate, and they do not generate a major burden for these sites or the natural environment; due to the local nature of Dino stores and the growing density of our network, Dino employees and customers traverse shorter distances to work and do their daily shopping, thereby cutting emissions of the greenhouse gases generated by the means of transport they use.

Privacy and data security

We are committed to high standards of personal data protection. For this purpose, Dino Polska has a Data Protection Inspector and a GPRD team to support the Data Protection Inspector in discharging the duties stemming from the law on personal data protection.

The Company also has a Personal Data Protection Policy. This document defines in detail the methods used to secure and handle personal data and identifies the individuals responsible for personal data protection and the principles of personal data processing. The Personal Data Protection Policy provides for audits to check the compliance of personal data processing with personal data protection regulations and the implemented procedures. In addition, it takes into account the procedures and principles that make it easier for the data subject to exercise its rights, including the information obligation and the rights exercised upon request (i.e. access to data, data rectification, deletion, etc.). The policy is subject to review for adequacy, carried out no less frequently than once a year.

The Personal Data Protection Policy applies to all areas of the Dino Polska Group's activity and all Company employees who process personal data within their scope of duties are familiarized with its content. The document is also available to all Company employees on the Intranet. In addition, training materials on personal data protection and information security in Dino Polska have been prepared for the Company's employees. The data controller provides access to training on personal data protection to all employees who take part in the data processing process.

7.4. Our stakeholders

Dino Polska is an important element of the environment in which it operates – it is an employer, business partner, part of the local community and organization whose activity exerts an impact on society and the natural environment. We, ourselves, are also prone to external influence and feel the impact of the environment in which we operate. For this reason we have defined our key stakeholders.

Customers (consumers)

Customers (consumers) are our most important stakeholder. Our core business and, at the same time, our key responsibility is to satisfy their needs and expectations in line with the highest standards. In our daily work we strive to be close to our customers and respond to their needs on an ongoing basis. This is a commitment that we pursue by delivering safe, high quality products, ensuring diverse product range, locating our stores near the place of residence of our customers, but also by managing our waste responsibly, ensuring efficient consumption of natural resources and limiting emissions of harmful substances to the environment.

In 2021, due to the persisting pandemic situation, one of our obligations was to make sure our customers can buy essential goods safely and without interruption. The Company monitored the pandemic situation and kept track of the government's announcements, responding to new guidelines immediately. All stores operated in compliance with the health regime, according to all applicable regulations and legal requirements. To afford them the greatest possible protection, we have placed disinfectants at the entrance to every store and we outfitted our employees with disposable gloves. In addition, store employees wear protective facemasks, and the store PA system plays messages reminding customers to cover their nose and mouth while shopping.

Having direct contact with customers, helping them solve problems, responding to all the issues they raise and constantly improving each aspect of how our stores operate are important to us. That is why we have a unit responsible for handling customers' comments and complaints in our Development Department. Customers can communicate with us through a contact form on our website at www.marketdino.pl. In our marketing communication we also use the Dino promo instore flyer, place information in Dino store space, distribute a regular newsletter and publish content on the www.marketdino.pl website.

Employees and associates

Employees and associates are the people who directly contribute to the intensive development of Dino Polska, the execution of its strategy and building competitive advantages and market power. The employees and

associates of Dino Polska and its Subsidiaries are key assets in the Dino Group on account of their knowledge, skills and competences. We strive to create room for professional and personal development for our employees. Employees may report any irregularities or critical comments to their direct managers as part of their daily work. On top of direct contact, we communicate with our employees using the Intranet, employee mailings, notice boards and an internal system of rules and regulations, policies and procedures.

Suppliers

Jointly with suppliers, we demonstrate on a daily basis that we care about our customers being afforded the broadest possible product offer in accordance with all security and food quality standards. We advocate partnership, responsibility and integrity in our relations with suppliers. We openly communicate our values by which we are guided in our daily business. We have assembled them together in Dino Polska's Supplier's Code.

Non-governmental organizations and social entities

We closely cooperate with local and nationwide social entities. Dino – Najbliżej Ciebie Foundation, directly or indirectly, donates grocery and non-grocery products to organizations and social entities in line with the social and charitable tasks pursued by those entities. Our collaboration with selected entities has lasted for many years. In 2021 we donated a total of 368 tons of food to non-governmental and aid organizations. Non-governmental organizations can communicate with us through a contact form on the www.marketdino.pl website or directly with the Foundation.

Residents in the vicinity of our stores and local communities

Our stores become permanent fixtures of the local community landscape. Dino Polska's role is not limited to the role of employer or place where daily shopping is done. We strive to have a much broader impact on the surrounding communities and environment. In specific situations we make donations in the form of investments in safe motor traffic (among others, by building sidewalks and bicycle paths and modernizing roads) to the municipalities and local governments where our stores are located. The above investments make it possible for our clients to shop safely and other traffic participants to safely use the existing road infrastructure. We are open to dialog and where necessary we also take part in consultations. The residents living in the vicinity of stores and distribution centers and local communities can communicate with us through a contact form on our website at www.marketdino.pl.

Local public administration authorities

We want our stores to function well in the local communities; this is why we are cooperating with local public administration authorities in respective towns at the stage of consulting further investments and by providing grocery and non-grocery products to hold events and activities for residents. We communicate with local authorities in daily contacts through employees designated by the Group in each region. Local authorities can also contact us through a contact form on our website at www.marketdino.pl.

Shareholders and investors

Since April 2017 we have been a public company listed on the main floor of the Warsaw Stock Exchange. We are majority-owned by Polish capital; in addition to the founder of Dino Polska, our shareholders (co-owners) include Polish investment and pension funds, retail investors on WSE and foreign investors. We make disclosures in accordance with the law and we adhere to the Best Practice of WSE Listed Companies. We communicate with shareholders and investors through current and periodic reports and the www.grupadino.pl website. We engage in regular dialogue with shareholders and investors by holding conferences and conference calls after the publication of financial results and regularly having Company representatives participate in investor conferences and shareholder meetings.

7.5. Our impact

We realize that our activity has an impact on our surroundings. To better define the areas which we impact, in the first place we focused on the key values concerning the workplace, social environment, natural environment and business relations. In these impact areas we identified the following key topics:

The "Workplace" area:

- professional development opportunities,
- occupational safety and health,
- principles of ethics,
- terms of employment.

The "Social Environment" area:

- commitment to the highest quality and safety of products,
- preventing food wastage,
- health impact of products,
- product information.

The "Natural Environment" area:

- waste management and recycling,
- reduction of harmful emissions to the environment.

The "Business Relations" area:

- sourcing products from domestic suppliers,
- business ethics.

Workplace

Labor market in which we operate is characterized by a relatively low unemployment rate. The registered unemployment rate in Poland was 5.4% at the end of 2021 and was 0.9 percentage points lower than at the end of 2020.

The pillars, on which our recruitment and human relations policy is based, are as follows:

- store format and location – we are making the Dino store network denser, as a result of which we are an attractive employer located near the places of residence of our employees; one Dino store has a dozen or so employees to whom we offer full-time employment on the basis of a full-time employment contract;
- employee satisfaction – we regularly review the terms and conditions of work and the staffing situation of Dino's various stores. Employees are able to voice their comments on working conditions and other organizational and employee matters, which are then analyzed by a dedicated person in the Personnel Department at the Company's head office. We provide for comfort in the workplace by clearly defining responsibilities, standardizing work, ensuring support from the team of internal trainers and the regional manager. We have developed a system of internal training courses and worked out mechanisms that allow us to hire disabled people with no experience and training them to work in the retail trade;
- professional growth, promotion – we attach great importance to the professional growth of our employees; this goal is supported by the training system and promotion opportunities – both within the stores (e.g. as we increase density of the network, by offering promotion as managers of the neighboring store) and in administration;
- competitive salary matching the employee's competence and conditions on local labor markets.

The employees, their knowledge, experience and competences are one of the pillars of the Dino Group and determine its strength. We do our utmost for our place of work to be conducive not only to the development of the Group but also to employee development, good employee relations and for it to support Dino Group employees and associates in contacts with our business partners and customers. We create dignified working

conditions for all of the Group's employees and associates and we provide a friendly atmosphere that fosters development.

Many of our stores are located in less urbanized areas. In that manner we enhance the opportunities the residents of a given region have to find an attractive and stable job on the basis of an employment contract close to their place of residence. In 2021 we created almost 6.6 thousand new jobs.

Our HR policy is founded on having a straightforward organizational structure in the Group and its individual company members as well as the well-defined areas of responsibility of each department and employee in accordance with the strategy adopted by the Group. Dino Polska and Dino Group staff members act on the basis of precisely defined objectives, and the boundaries of their actions, in each of the four main areas: stores, distribution centers, the meat processing plant and the head office, are defined by core HR procedures.

The distinguishing features of Dino Polska and the Dino Group's organizational culture are: efficient execution of business processes, high productivity and resource efficiency and low level of bureaucracy. A key role in the process of HR management in Dino Polska is played by the HR Department, which operates in consultation with the heads of each business area within the Group who are responsible for backing the development of their subordinate staff, transferring knowledge, building a friendly atmosphere and ensuring safe working conditions. The principal framework of Dino Polska's employee policy is defined by the Work Rules and Regulations and the Compensation Rules and Regulations. Additionally, the Company has implemented several documents related to its employee policy. These documents are made available to employees via the Company's Intranet or are provided to them in paper form along with the employment contract.

In 2021 Dino Polska implemented a periodic employee appraisal system not just to assess the competences of its employees but also to assess their professional development potential. Thanks to that, we are able to provide more targeted support for employee development in Dino Polska and propose the best career path in line with our internal recruitment ideas. Thanks to having conducted a periodic appraisal of administrative employees in the head office, we were able to provide employees with accurate feedback on a regular basis concerning the quality of their work to act as an important motivational factor.

At the end of 2021 the Dino Group had 32,426 employees, representing 6,586 (25.5%) more jobs than in the previous year. At the end of 2021 87.5% of the employees in the Dino Group were women 0.1 percentage points fewer than at the end of 2020.

Dino Polska's headcount structure by gender

	2021	2020	Change yoy
women	27,502	21,879	25.7%
men	3,020	2,263	33.5%
all employees	30,522	24,142	26.4%

Dino Group's headcount structure by gender

	2021	2020	Change yoy
women	28,374	22,636	25.3%
men	4,052	3,204	26.5%
all employees	32,426	25,840	25.5%

In the Dino Group we abide by the human rights set forth in the Universal Declaration of Human Rights. We do not tolerate any form of discrimination based on differences of gender, religion, mental and sexual orientation, any form of disability, political views or other convictions, nationality, education, professional experience, social background, assets, birth, age, marital status or based on any other differences. The Company does not accept any forms of employee discrimination. The Code of Conduct in force in the Company is the highest ranking document that governs all of the issues related to manifestations of any discrimination whatsoever. To undertake any possible remedial measures to counter discriminatory behavior the Company administers employee training. By having a diverse team in terms of age, education, competences, gender and experience, among other aspects, Dino Polska secures diversity, creativity and dynamism while the combination of these factors makes it possible for Dino Polska and the Dino Group to grow rapidly, create and attractive and varied product offering, react quickly and adjust to the evolving requirements of customers and the market environment, establish and maintain good business relations and maintain a high level of customer service.

No formal diversity policy is in operation in the Company with respect to the managing and administering bodies. The Shareholder Meeting and the Supervisory Board elect the members of the Supervisory Board and the Management Board based on their competences, experience and familiarity with the Company, notwithstanding their age, gender, education and other attributes. The very same rules are in force when making recruiting decisions: we focus on competences and experience. The Company does its utmost to ensure that all employees have equal opportunities in terms of career development and promotions, regardless of any differences. At the end of 2021 women accounted for 76% of medium and upper level management. At the end of 2021, the three-person Management Board of Dino Polska included one woman, while the five-person Supervisory Board consisted of men.

Dino Polska's headcount structure by gender and job level in 2021

	gender	number of people	percentage of the total number of employees
blue-collar employees	female	20,829	68.2%
	male	2,157	7.1%
office employees	female	1,512	5.0%
	male	582	1.9%
lower level management	female	4,938	16.2%
	male	213	0.7%
medium and upper level management	female	222	0.7%
	male	66	0.2%
management board	female	1	0.00%
	male	2	0.01%

Dino Group's headcount structure by gender and job level at the end of 2021

	gender	number of people	percentage of the total number of employees
blue-collar employees	female	21,548	66.5%
	male	3,073	9.5%
office employees	female	1,638	5.1%
	male	623	1.9%
lower level management	female	4,959	15.3%
	male	283	0.9%
medium and upper level management, management board members	female	229	0.7%
	male	73	0.2%

The largest employee group in the Dino Group consists of employees aged 31 to 50 - they account for 54.8% of the total number of employees. The second most numerous group in terms of age consists of persons up to 30 years of age; they account for 32.2% of all employees.

Dino Polska's headcount structure by age and job level at the end of 2021

	age	number of people	percentage of the total number of employees
blue-collar employees	up to 30 years	7,091	23.2%
	31 to 50 years	12,249	40.1%
	over 50 years	3,646	11.9%
office employees	up to 30 years	1102	3.6%
	31 to 50 years	914	3.0%
	over 50 years	78	0.3%
lower level management	up to 30 years	1,474	4.8%
	31 to 50 years	3,447	11.3%
	over 50 years	230	0.8%
medium and upper level management	up to 30 years	31	0.1%
	31 to 50 years	242	0.8%
	over 50 years	15	0.05%
management board	31 to 50 years	3	0.01%

Dino Group's headcount structure by age and job level at the end of 2021

	age	number of people	percentage of the total number of employees
blue-collar employees	up to 30 years	7,743	23.9%
	31 to 50 years	13,011	40.1%
	over 50 years	3,867	11.9%
office employees	up to 30 years	1163	3.6%
	31 to 50 years	1006	3.1%
	over 50 years	92	0.3%
lower level management	up to 30 years	1,498	4.6%
	31 to 50 years	3,511	10.8%
	over 50 years	233	0.7%
medium and upper level management, management board members	up to 30 years	34	0.1%
	31 to 50 years	253	0.8%
	over 50 years	15	0.05%

A significant element of HR management in Dino Polska and the Dino Group is short and long-term planning which provides Dino Polska and the subsidiaries with a great deal of flexibility in internal recruitment and a strong capacity to source new staff. As part of the HR management process, Dino Polska has established a compensation committee and an employment planning committee, among others that operate regularly. Meetings are held at least once per month. In addition to a representative of the HR Department, are attended also by key managers. The effects of HR management and the policy in this area are evaluated on an annual basis by the Dino Polska Management Board.

The area "workplace" exerts an internal and an external influence: our initiatives and conduct in this area affect current and prospective employees. The "Workplace" area is managed through the operation and implementation of our employee and HR procedures and policies.

Access to training and professional development

In the Dino Group we know how important employee development and expanding their knowledge and competences are. We endeavor to ensure that all employees and associates, regardless of their type of contract, position held or any other differences have equal opportunities in professional development through access to the training system based chiefly on our internal resources. We endorse continuous employee development, we promote ambitious attitudes and we cultivate the skills of the people who make up the Dino Group to ensure that

the Company's development is carried out by people who are prepared to do that and are equipped with the requisite knowledge and skills.

Creating development opportunities is the essence of human resource policy in the store operation area. The managers of new stores are usually people who are work and gathering experience in neighboring Dino stores that have been in operation for some time. The Dino Group focuses on internal promotions, which is confirmed by the fact that hiring a person from outside the firm to take a managerial position in a store requires special consent from the HR Department. Store managers and deputy store managers may then be promoted to higher positions in the Company's structure.

To create development opportunities for Dino Group employees, the Company has two systems: internal promotion and switching departments. These programs are used to file applications for internal job offers and allow employees to voice their interest in switching departments. These solutions mean that employees can actively - vertically and horizontally - direct their professional development and pursue their career path so that it is closely aligned to their expectations, knowledge and competences. Information on both programs is regularly communicated to employees by mass mail and updated on the Intranet.

In the Dino Group we endorse good onboarding and preparation of new employees through on-the-job training, having in mind not only their efficiency and effectiveness from the first days on the job, but also to ensure that new employees operate and feel well in the new environment. We also attach great significance to updating and expanding the knowledge of our employees through participation in training, encouraging them to share knowledge with other employees and providing access to industry subscriptions and professional internet portals.

The training policy assumes that various actions and tools are used, in particular:

- on-the-job training, including among others the operation of specific devices or machines,
- education in a training room and multi-media training,
- e-learning,
- self-education based on procedures and manuals available on the intranet,
- job rotation and participation in different types of projects,
- coaching focused on bolstering selected employee competences.

We have a cogent business strategy and therefore we have clearly defined the strategic directions of employee training, which are linked to the type of work done, employee experience and the directions for our company to grow. The principal purpose of our training policy is to provide the Dino Group's employees with the suitable knowledge and skills for them to be able to execute operational processes in a responsible and safe manner, meaning in particular that they are capable of stocking our stores without disruption with groceries and the highest quality consumer service in Dino stores. In 2021 the Dino Group delivered a total of 195 thousand hours of training, up 32% above the previous year. This signifies an increase of nearly 10% per employee.

New employees receive support from the Dino Group's trainers whose task is to prepare, train and oversee their work. Training sessions in the Group are run chiefly by experienced internal trainers. Dino Polska employees also participate in external training supporting their vertical career development.

The Company has in place an on-boarding system for new administrative employees. All new office employees take part in the training whose purpose is to familiarize them with the Company's organizational culture, internal procedures in force in the Dino Group and provide them with basic information regarding the Company. In this system, experienced workers are designated to take care of a new office worker during his or her first days at work. Each new administrative employee during onboarding goes through training on the clauses in our Code of Conduct.

Dino Stores are our principal business backbone. Nearly every area of the Group's business is subordinated to stores and their efficient functioning: the head office, distribution centers, the transport network and the meat processing plant. In order to ensure a good grasp of store operations and their significance in the context of how the entire Group operates, we employ a practice according to which new administrative employees participate in two-week internships at a Dino store before they commence work at their target job (the internship is not included in the number of training hours stated above). They share responsibilities nearly equally with other store employees (except for tasks requiring familiarity with operating specialized machinery) and learn about the specific nature of a store's operations. This fosters the development of good relations between employees in

different areas, increases quality and efficiency of mutual communication and has a positive effect on the origination and implementation of improvements in accordance with mutual needs.

We encourage employees to share their knowledge, competences and innovative ideas actively. Dino Polska has in place a program for submitting good ideas, as a result of which stores employees are able to propose solutions streamlining processes, procedures and the ways in which the stores function. Each of the submitted ideas is analyzed by the specially-appointed commission. Endorsed ideas are implemented and their authors are rewarded. In 2021, 91 ideas put forward by our employees were endorsed for implementation, up 47% from 2020.

Principles of ethics

We are keen on employees being familiar with and respecting the values we in the Dino Group consider to be particularly important in the conduct of our business. We would like for our employees to behave in accordance with these values and adhere to them in their daily business practice. Moreover, we are also keen on every employee feeling well, free and safe in the workplace.

Every new employee and associate of the Dino Group participates in training courses (employees of the stores, meat processing plant and distribution centers) or is covered by the on-boarding system (administrative workers), which is partly devoted to the policies and procedures containing our ethical values and practices. These training sessions cover such issues as, among others, respecting human rights, prevention of discrimination, prevention of corruption and avoidance of situations that have the features of a conflict of interest.

The Code of Conduct is available to the Company's employees on the intranet and on the www.grupadino.pl website. The other policies and procedures referring to our ethical values and practices in accordance with them are available on the intranet.

Occupational safety and health

Providing conditions ensuring occupational safety and health to every employee and associate of the Group is our top priority as the employer. Activities in this respect are pursued in accordance with internal procedures, which regulate the OSH issues, separately for the area of stores, offices and distribution centers. The Dino Group has distinct OSH procedures and staff dedicated to stores and distribution centers.

Dino Polska has a dedicated department responsible for OSH, whose goal is to ensure safety of employees and associates, take preventive measures, monitor and register accidents at work and take corrective actions. This section provides initial (for new employees) and periodic occupational safety and health (OSH) training (for employees with a longer tenure) covering all Group employees in accordance with legal regulations. In 2021, Dino Polska delivered a total of 27.4 thousand hours of OSH training. In the entire Group, the number of OSH training hours in 2021 was 34.4 thousand.

In addition, to provide for the safety of operators of electric forklifts, dedicated training sessions were held on how to operate this machinery. A total of 5.5 thousand hours of training were delivered on this subject.

Within the framework of OSH prevention activities, the Dino Group performs the following actions:

- we carry out regular checks of the security status and compliance with OSH procedures in stores and distribution centers; remedies are introduced in lower scoring areas; in 2021 there were 1,181 OSH inspections per day in distribution centers and 3,222 inspections in stores,
- we conduct regular meetings on OSH for distribution center employees. 136 such meetings were held in 2021,
- we deliver pre-medical first aid training sessions to the staff overseeing distribution centers; this type of training was delivered to 308 people in 2021,
- we supervise OSH through internal OSH inspectors in all of the distribution centers on a daily basis,
- we take care that our employees who use company cars behave safely and responsibly in motor traffic; we have gathered the rules on this subject in a document entitled "Eco-driving – the most important rules on driving economically and safely"; a dedicated Fleet Department is responsible for implementing and verifying these principles. It also operates the online system to monitor the behavior of employees in motor traffic on an ongoing basis; if necessary, the employees of the Fleet Department provide users of company cars with support and guidance on safe and ecological driving,
- we provide protective clothing to employees working on positions that require that in the Group,

- we have an internal system on how to proceed in crisis situations – this system includes a hotline used to receive reports from employees on emergency situations, including reports related to occupational safety and health and food safety and quality in Dino stores.

In 2021 the accident ratio (the number of events per 1,000 employees) in the Company's stores, distribution centers and head office was 23.8 and was lower than in 2020 when it was 26. These were mainly light accidents, especially cuts.

In the Dino Group we have identified a list of occupational diseases to which our employees may be exposed. We include the following among these diseases: chronic diseases of the peripheral nervous system caused by the way the work is performed (i.e. carpal tunnel syndrome and cubital tunnel syndrome), to which office workers and those working at checkouts are particularly exposed, and diseases caused by high or low ambient temperatures (i.e. frostbite), to which freezer employees may be exposed. In 2021 no instances of occupational disease were reported.

Terms of employment

We take into account the competences, education and experience of candidates in internal and external recruiting. Dino Polska and its subsidiaries observe the principle of equal opportunities and of no discrimination whatsoever in the entire process of managing HR and at the stage of recruiting employees. In accordance with the Labor Code, Dino employees have the right to equal remuneration for the same work or for work of the same value, and equal rights for identical performance of the same duties, which applies, in particular, to equal treatment of women and men in employment. Exercising due diligence and caring for the employees' knowledge of, and familiarity with, prevailing laws, the Company provides all new hires with a start kit (document delivered to the candidate upon making a decision on establishing cooperation) comprising a set of regulations regarding equal treatment in employment.

The main form of employment in Dino Polska is a full-time employment contract. Most employees, women and men alike are employed on a full-time basis. However, we also create part-time job opportunities, especially for women with small children and for disabled persons. In exceptional situations, we agree to employment under a civil law agreement. At the end of 2021 we cooperated with 352 people on the basis of mandate contracts (civil law contracts).

Employment structure in Dino Polska by the type of FTE at the end of 2021

	full time	part time	total
women	26,081	1,421	27,502
men	2,932	88	3,020
total	29,013	1,509	30,522

Employment structure in the Dino Group by the type of FTE at the end of 2021

	full time	part time	total
women	26,944	1,430	28,374
men	3,956	96	4,052
total	30,900	1,526	32,426

The Company adheres to and applies the provisions of the Labor Code. Dino Polska has in place, among others, Work Rules and Regulations and Compensation Rules and Regulations, which clearly define the rules for scheduling work and its length. Both documents are available to the Group's employees. Staff hired by the Dino Group, depending on the type of duties they perform, may be subject to a primary, shift-based, task-based or balanced work system.

Employees in Head Office departments and field project offices operate on a basic system, on a full-time basis of 8 hours a day and 40 hours a week in a five-day work week. Employees who have a certified status of moderate or substantial disability are bound by a shorter time of work up to a maximum of 7 hours a day and 35 hours a week.

All of the people employed in Dino Polska's stores and distribution centers work in an equivalent system of work during which the time of work cannot exceed 8 hours a day with an option of being extended to 12 hours and 40 hours a week during a five-day work week. Employees work under an individually set work schedule prepared for a calendar month. The schedule defines the starting and ending time and days off work. The extension of working time to 12 hours a day follows from the type of work done or the organization of work in the place of employment, and is equivalent to the shorter daily length of work on other days or days off work.

Dino Polska also enables its personnel, especially store personnel, the majority of whom are women, to work on a part-time basis. This also applies to persons employed in warehouses and in the head office. A total of 1,526 Group employees benefited from this form of employment at the end of 2021. We strive to give our employees the option to adapt their work schedules and length of work to their individual needs, especially related to education. In justified instances related in particular to mechanisms of ensuring the continuity of the most important processes, we offer the option of working remotely.

The Dino Group facilitates the finding of a job and offers the necessary training to an extensive community of prospective employees: young persons and senior citizens and persons with a low level of education. Job offers in stores and distribution centers are also given to people without professional experience who are provided with the appropriate training and development opportunities.

For years the Dino Group has created conditions to hire disabled persons. At the end of 2021 Dino Polska had employees with a registered disability constituting 7% of total headcount.

The remuneration system in force in the Company offers a fixed salary and variable compensation stemming from the incentive system. The fixed salary paid at monthly intervals is set at a decent level enabling employees to have at least a safe living standard while ensuring that the Company is competitive on the labor market. The motivational portion takes the form of bonuses. Store employees earn financial bonuses, the amount of which is derived from the fulfillment of sales targets achieved by a specific store and the level of product spoilage. The Company takes care that all employees have equal access to professional development opportunities and receive equal pay for equal work. There is a standard base salary scale that is identical for women and men to eliminate the pay gap problem in the Company's various business areas. In turn, bonuses and awards are paid according to the completed tasks and therefore they may vary among employees. In one area of its business the Company applies an employee remuneration system based on piece work. Its principles are identical for all employees. Pay under this system hinges on the quantity of work done and therefore pay may vary by employee.

A compensation committee is held regularly in the company to review the level of compensation for various positions and examine applications to change the level of compensation for various positions.

All Dino Group employees are offered the same social and financial benefits regardless of the type of employment contract or working time. We offer the option to select life insurance, insurance for children and take out a loan within the framework of these benefits on terms that are more favorable than arm's length conditions.

In addition, Group employees can join a private medical care program on attractive terms and conditions. Spouses, partners and children of people employed in our company can take advantage of this offer. The private health package was created on preferential terms and conditions and defines in detail the scope of benefits offered. This program includes, among other things, access to physicians in many different specializations, procedures and tests, medical consultations and reimbursement for the costs of tests and doctor's visits.

In Dino Polska we attach great importance to overall satisfaction and job satisfaction. We strive to monitor the employment-related situation on an ongoing basis and respond to any and all derogations. The Company has in place a satisfaction research system for newly-hired employees. Measures to enhance work comfort and streamline the onboarding process for future employees are being implemented on that basis.

At the end of 2021, there were two trade unions in Dino Polska. No collective bargaining agreements operated in the Dino Group in 2021. No group layoffs transpired in the Dino Group in 2021.

Social environment

We are perfectly well aware that the development of our organization leads to exerting a greater impact on the social environment and the natural environment. For that reason, as we run our business we do our utmost to do this carefully and responsibly, while decisions are made in best faith at all levels of the organization, based on

the knowledge we have while taking full accountability and observing the binding principles of ethics and social norms.

One of our main obligations is to ensure safety and the highest quality of our products, which has a direct influence on the health and quality of life of our customers and employees, who are often Dino store customers as well. Our commitment in this area can be discharged only through the participation of Dino employees who show care for safety and the highest quality of products offered in Dino in line with our policies and procedures.

Dino Polska has established the Dino Najbliżej Ciebie Foundation. The Foundation pursues its statutory social and charitable objectives, in particular by providing financial aid to the ill and poor adults and children.

The support we provide to social organizations and institutions and our efforts to minimize food wastage levels do not only affect the social environment and the natural environment, but also the level of engagement of our employees. In 2021 we donated a total of 368 tons of food to charitable and aid organizations. The “social environment” area is managed through the operation of procedures and policies in respect to food safety and quality and in respect to support provided to social entities and public institutions.

Product quality and safety

One of our organization's main obligations is to ensure the safety and highest quality of the products offered. We are aware that the goods available in our stores exert a direct impact on the health and quality of life of our customers. Since Dino Polska has a number of standards and procedures on whose basis we discharge our obligation pertaining to the quality and safety of products.

We monitor with great attention the standards of safety and the quality of the assortment of grocery and non-grocery products we offer at every stage of the selling process. The separate Quality Development Department is responsible in Dino Polska for the safety standards and quality of products. It enforces the observance of internal procedures and provisions of law and oversees the quality management system based on the Hazard Analysis and Critical Control Point (HACCP) System.

The GHP/GMP Book (good health practices / good manufacturing practices) is in force in Dino Polska. It lays down the rules and method of treating grocery products. It contains detailed procedures describing the acceptance, storage and sale of foodstuffs, with the underlying goal of providing Dino customers with safe products of the highest quality. The grocery assortment offered in our stores has been divided up into 4 groups by category. Distinct guidelines pertaining to the conditions of transport and storage have been articulated for each one of these groups.

On account of its distinct nature, the fresh product assortment calls for special standards of conduct. In Dino Polska every product in the fruit and vegetables offering has a special standard described the attributes and qualitative requirements it must satisfy. These guidelines form the basis for the process ranging from ordering products in the fruit and vegetables category, taking receipt of them from suppliers, training staff and caring for quality on fruit and vegetables stands in stores. In the Control Department operating in the Company, a special team to control the quality of fruit and vegetables was established. It exercises control over these products' compliance with standards in all of the distribution centers.

The quality of products offered by Dino stores is checked at each one of the stages listed below:

- new supplier inspection and selection and regular inspections of current suppliers,
- inspection of merchandise by the quality control team upon acceptance in the distribution center,
- inspection of merchandise in the requisition completion process,
- inspection by store employees after the merchandise is accepted in the store,
- regular quality checks in the store.

There are a number of units in Dino Polska's Quality Development Department that specialize in managing the quality of private label products, grocery products produced by third-party branded products, non-grocery products and specialized quality control products received from suppliers in our distribution centers.

The Quality Development Department also conducts regular audits and a periodic evaluation of suppliers (in the private label and branded suppliers categories) in terms of how they and their products satisfy the requirements prescribed by Dino Polska in the document entitled “Standards of Product Quality and Safety”.

Product testing in terms of quality and safety

We are aware that regularly testing products may materially contribute to maintaining constant control over the quality and safety of our stores' offering. The procedures in effect in Dino Polska point to the necessity of submitting all products to a periodic organoleptic evaluation. Having regard for the forgoing recommendation, we set up a sensory evaluation laboratory that will provide for suitable testing conditions making it possible to obtain accurate product evaluations. We also cooperate with an external laboratories to which physical, chemical and microbiological tests are outsourced.

Training dedicated to employees

Dino employees to a large degree contribute to the company's effectiveness in terms of controlling product quality and safety. They conduct with the greatest exactitude regular daily inspections of products in stores and the ones delivered by suppliers. That is why we have set up a field trainer unit which delivers regular training sessions for all employees. Training sessions pertain to HACCP and GMP / GHP procedures and additionally they include elements of quality control on delivered products. Regional managers conduct internal audits on HACCP and GMP in every Dino store at least once a year. Training sessions provide employees with the required knowledge pertaining to the rules for checking products. As a result, Dino employees properly respond to any and all detected irregularities in terms of product safety and quality.

The Dino Polska Group delivers training courses to all employees who have any contact with food at any stage of the process, i.e. warehousing, transport, storage in stores and sales.

Cooperation with suppliers

Our procurement policy is focused on providing the customers of Dino stores with the highest quality products at attractive prices. We have in mind consumers' needs and expectations. That is why, in addition to products under recognizable brands and fresh products, we offer products under lesser-known brands that are cheaper alternatives and private label products. We do our utmost to ensure that the product offering is consistent with all the standards of safety and food quality standards. The Director of the Procurement Department, one of the Company's key managers oversees strategy execution in this respect.

An important part of our strategy is ensuring that products are constantly available in Dino stores. We focus on gradually extending the product offering. Cooperation with current and new suppliers is conducive to achieving these goals. We advocate partnership, responsibility and integrity when we establish business relations. We openly communicate our values by which we are guided in our daily business. We have assembled them together in Dino Polska's Supplier's Code. We readily cooperate with smaller local suppliers.

Dino Polska has procedures regulating the process of undertaking cooperation with suppliers. In every instance, before undertaking cooperation, an audit is conducted on the basis of the requirements linked to Dino's standard. Control leads to the creation of a report containing the pertinent remarks and guidelines addressed to the supplier. We are consistently refining our audit procedures among suppliers on whose basis we run:

- audits to approve new suppliers of private label products that are preceded by a risk analysis of the supplier and a consumer assessment of its products,
- partial audits pertaining to a selected aspect of how our supplier functions,
- audits conducted as part of the periodic evaluation of suppliers,
- preventive audits conducted in the event of irregularities whose purpose is to identify the causes of the irregularities and formulate a remedial program so that the supplier will be able to regain its status as a qualified supplier.

As part of controlling the quality and safety of the supplied products, Dino Polska undertook the following measures in 2021:

- an audit unit was set up to conduct audits in accordance with Dino's standard based on the requirements of standards recognized by GFSI (Global Food Safety Initiative),
- suppliers are obligated at every request of Dino Polska to submit the specification of the goods supplied and current certificates confirming the implemented standards of quality (recognized by the Global Food Safety Initiative, i.e.: BRC, IFS, SQF, FSSC 22000),

- a unit has been set up to Control the Quality of Warehouse Deliveries to check the refrigeration chain and the quality of products that have to be transported in refrigerated conditions, procedures have been implemented for daily controls of foodstuffs offered for sale in Dino stores, follow-up controls of foodstuffs and consumer evaluations.

Diversity and enhancing the product offering

We strive to satisfy the needs and expectations of our customers in terms of giving them access to a diverse product offering and access to various brands. In addition to a broad range of recognizable branded products, we also offer less recognizable products that are therefore a more economical alternative to the leading brands. We are steadily extending our offer by adding products for people with food intolerances (i.e. lactose-free and gluten-free products). In 2021 we started actively collaborating with the producers of selected categories of products offered in Dino stores to reduce their sugar and salt content. The outcome in many of these cases has been that the product formulas have been modified to utilize healthier sugar substitutes and reduce their salt content.

The offering in the Dino stores covers foodstuffs groups including fruit and vegetables, oils, grains and dairy products, fresh bread, confectionaries and beverages. The foodstuffs offering also includes the highest quality meat and cold cuts supplied by the Agro-Rydzyna meat processing plant and eggs, which we will source by 2025 solely from free-ranging laying hens. At the end of 2021, groceries accounted for 87% of the product assortment in Dino stores. Non-food products accounted for the remaining 13%.

The revenue on the sales of private label products accounted for 4.1% of total sales in 2021. At the end of 2021, the private label catalogue included an offering spanning grocery, sanitary and cosmetic products. The Private Label Department and the Quality Development Department are responsible for developing private label products; they care for the quality of product formulas and the nutritional values of products. We regularly monitor the opportunities for improving product formulas in our private label and we strive to implement these solutions on an ever greater scale.

Agro-Rydzyna meat processing plant

The Agro-Rydzyna meat processing plant owned by the Dino Group is situated in the Wielkopolskie region, holding the top spot in Poland when it comes to the development of agriculture and animal production, affording it conducive conditions to operate and grow. The plant's operations include the separation of half carcasses (the "production" of fresh meat), the production of cold cuts and the distribution of merchandise that is sold in its entirety in the Dino store network. The main raw materials Agro-Rydzyna uses are pork half carcasses sourced from suppliers whose activity is registered on the list of plants approved pursuant to Regulation (EU) no. 853/2004 on hygiene for food of animal origin.

The extensive experience and qualifications of the plant's workers, the highest quality raw material utilized in production and the modern machines and technological solutions guarantee the best quality and taste of the meat products sold by the Dino network. All of the production processes in Agro-Rydzyna comply with veterinary requirements, EU standards and the rules laid down by the HACCP food safety and health system. The plant is subject to the constant supervision of the Veterinary Inspection Service which is responsible for controlling the observance of food safety and quality regulations and occupational health. Employees are trained on the rules of Good Manufacturing Practice and Good Hygienic Practice in accordance with the internal training program approved by the County Veterinarian. The HACCP Team is responsible for running internal audits to confirm adherence to the foregoing rules.

To enhance the quality of cold cuts, the meat processing plant's Quality Department works closely with the suppliers of raw materials used for production. In addition, the slaughterhouses and the meat cutting plants that supply raw materials to Agro-Rydzyna regularly undergo quality audits to verify the suppliers' sanitary and hygiene procedures, among other topics. According to the company's policy, Agro-Rydzyna's products do not contain mechanically separated meat (MSM) or palm oil. Every year, product formulas are reviewed in terms of the content of fat, salt, preservatives and other additives among others. Products with improved formulas are then served to taste test panels and provided that they pass those tests, they become part of the regular offering in Dino stores. In 2021 the product formulas of roughly 60% of the cold cuts produced by Agro-Rydzyna and offered in Dino stores were improved in this way. Detailed parameters are defined in the specifications for the raw materials supplied to Agro-Rydzyna whereby the meat processing plant selects the raw materials with the appropriate content of fat, while the customers in Dino stores obtain fresh meat with the lowest possible fat content. To

maintain high product quality Agro-Rydzyna chiefly uses natural casings, not artificial casings to produce cold cuts.

Product information

We do our best so that all the information that has an influence on the choices made by consumers is always provided truthfully, comprehensibly and unambiguously. We provide accurate information to customers about our products, their origin, ingredients and price. We observe the provisions of law. We train employees and provide the support and assistance of regional managers to observe full compliance in this respect. We conduct regular inspections whose purpose is to check the correctness of any and all information and correct it as necessary. The accuracy of our price labels is also supported by an internal procedure that streamlines the process of updating price labels.

We utilize advertising tools sparingly, by using our own communication channels only (among others, Dino's promotional instore flyer, the Company's profile on social portals, newsletters for customers and our own billboards next to Dino stores). We do not give information that may confuse, mislead or offend our customers.

Support for social organizations and public institutions and preventing food waste

We attach great importance to ensuring that the fresh products delivered to Dino stores are of the highest quality so that they can be stored longer after purchase by our customers. We believe that the highest quality of our products not only gives our customers a feeling of satisfaction on their purchases, but also allows them to manage food waste in their own household.

In order to maintain the highest quality of our fresh offering and at the same time prevent food waste in our store and logistics operations, we employ the following actions:

- at least three times a day in every Dino store we service our fruit and vegetable stand; during this activity, we remove biodegradable waste in the form of individual fruits or vegetables that do not comply with the food laws,
- our store order system has been designed in such a way to make it easier for our store managers to requisition products based on historical sales levels, which prevents excessive inventories and reduces the danger of surpluses and the resulting food losses,
- in the store operations area, we have developed an incentive bonus system with the product spoilage level as one of the criteria,
- a team has been established in the Inspection Department, which analyzes product spoilage and implements initiatives to reduce its level,
- we regularly discount products with short best-by or shelf-life dates,
- due to vertical integration with the meat processing plant that is responsible for stocking all the Dino stores with meat and cold cuts, the Company is capable of very efficiently managing the process of production and handling the logistics to get them to stores, thereby contributing to curtailing product spoilage; according to Dino Polska vertical integration with the meat processing plant contributes to a relatively low level of total product spoilage in the Dino store network.

We also strive to minimize food losses within our supply chain. We donate to social partners all the food that meets the food law requirements and is fully fit for consumption, but is removed from the distribution process mainly because of packaging defects. Products with packaging defects (for example, resulting from the distribution process) are conveyed to the Dino – Najbliżej Ciebie Foundation. The Foundation passes it on, in the form of a donation, to non-governmental organizations and institutions for social and charitable activities.

To the best of our ability, we respond to the needs of non-governmental organizations, public institutions, schools and kindergartens from all over Poland, to which we donate grocery and non-grocery products for the organization of events for local communities, in particular for children and youth and seniors.

Natural environment

Conserving and managing natural resources rationally are firmly entrenched in our organizational culture. The environmental policy we pursue aims to diminish consistently the Dino Group's impact on the natural environment.

Dino stores are opened based on a tested and standardized format, as a result of which they can pursue the efficient use of natural resources more effectively. The Environmental Protection Team operating in Dino Polska ensures compliance with the environmental law, monitors our impact on the natural environment and undertakes initiatives in this respect. In all areas of the Group's operations, we operate in accordance with internal procedures and regulations, which obligate and encourage employees to use water and electricity efficiently and use company devices in a rational manner.

We strive to limit the adverse environmental impact also in our supply chain and in cooperation with our suppliers, jointly looking for efficient solutions. These initiatives include among others:

- efficient management of the transportation network, where trucks after stocking stores on their return journey collect products from our suppliers and transport them to our distribution centers. This is making it possible to reduce the number of empty logistics trips while our suppliers do not travel separately to our warehouses, thereby contributing to cutting exhaust emissions through reduced fuel consumption;
- using reusable return packaging for fruit and vegetables whereby jointly with suppliers (the process of using reusable return packaging starts at the stage when suppliers pack products) we will not utilize waste from disposable bulk packaging; in 2021 we decided to renew and extend our cooperation with the company doing business as IFCO SYSTEMS in terms of using reusable plastic containers (PPWU) in the Dino network; these containers for food transport use less natural resources over their lifetime than disposable packaging, starting with the energy and materials used to produce them, through cleaning and repair, up to final recycling; in addition, they meet the highest standards in food safety and limit damage to products, and in this manner they help secure a more sustainable supply chain for fresh fruit and vegetables in Dino Polska;
- testing alternative (more environment-friendly) power sources for trucks;
- cooperation with suppliers to replace the truck fleet with vehicles compliant with higher environmental requirements (most vehicles in our transportation network satisfy the EURO 6 standard); recommendation for transportation companies to use low-emission vehicles.

It is our goal to reduce gradually our adverse environmental impact: we are making our internal procedures more stringent. We monitor the evolving legal regulations on an ongoing basis and we observe them. We leverage the emerging opportunities and the methods for mitigating our adverse environmental impact. For that reason we are constantly learning and actively looking for new opportunities to utilize natural resources even more effectively. In these activities we are guided chiefly by the welfare of our customers and our local environment, as well as, above all, the welfare of the natural environment.

Dino's Fleet Management Department aims to promote environmentally-friendly attitudes on the road by reminding the users of company cars about always adjusting velocity to suitable conditions and driving slower and not leaving cars with their engines running when that is not necessary. In addition, the Fleet Management Department propagates a safe and environmentally-friendly driving style, and if there are any questions or doubts, it helps employees taking advantage of our car fleet.

All of our initiatives and activities are taken in conformance with the legal regulations in force. The Company satisfies all environmental and social standards imposed by national law and it holds all the requisite environmental approvals and licenses required in its operations. We regularly monitor the operations of Dino Polska and the Dino Group and their internal procedures to ensure that they are compliant with the law. The environmental audits conducted by independent entities to date show that the Company's operations do not pose a material threat to the environment. No incidents or environmental accidents have occurred in the Company's business to date.

The "Natural Environment" area is managed by observing our procedures and policies related to environmental protection; these activities are within the purview of a separate Environmental Protection Team and are reviewed by a specified Management Board Member.

We analyze risks and opportunities associated with the Group's impact on the climate as well as the climate's impact on the business model we have selected. Dino Polska owns a grocery store network operating in Poland with the primary business of distribution and sales of grocery and non-grocery products. In our opinion, climate-related risks and opportunities are not material in the short term. We also assume that, in the short term and under the Company's current strategy, we will be able to prevent the emerging risks to a large extent, among others by pursuing an active product assortment policy and a flexible policy in respect of creating inventories in the

Company's distribution centers. The short-term risks related to climate-change pertain in particular to the intensification of extreme weather phenomena such as extremely high ambient temperatures, extreme rainfall and windstorms. They may lead to higher operating expenses related to disruptions in the supply of electricity, or the need to store food in safe conditions and in the right temperature; they may also cause damage to the Company's property and adversely affect the timelines of food supplies to Dino distribution centers and stores. These same factors may cause damage to crops and disrupt food production and therefore they may ratchet up the volatility of the prices of foodstuffs.

We also think that in the short-term the impact exerted by the Group's business model on the climate is not significant. Although the Group is growing intensively, and has opened 841 new stores in the last three years, which involves a generally higher demand for electricity and means of transport, and also for higher air emissions of coolants used in the Group's equipment, thanks to the Company's business model which makes it possible to open stores in less urbanized areas and close to consumers' place of residence, it is substantially reducing the distance that separates consumers from a grocery store, which frequently enables them to reach our stores on foot or by bike, or cuts the distance they travel by car. Concurrently, we are launching initiatives to attenuate consistently the environmental impact exerted by our stores. Based on the extensive standardization of the Dino store format and the initiatives taken to reduce the consumption of natural resources gradually and regularly (which is shown by the Group's declining consumption of electricity and water per PLN 1 million of revenue), we can predict that the Group's impact on the climate will decrease relatively as it grows.

In the long term and with the intensification of climate change, the risks and opportunities may increase, which may require additional initiatives to be undertaken within the current business model, as well as changes in strategies and financial plans in various areas of the Company's and the Group's operations. In the long-term, the warming of the climate may pose a threat to crops, reduce the area and productivity of crops, which in the face of climbing global food demand contributes to the risk of limited availability and substantial price growth. As a result, the Company may be compelled to search for alternative products and incur incremental expenses, which it may not be able to offset through efficiency gains or suitable price hikes. These phenomena may also directly affect the production capabilities of the Dino Group itself, which is the owner of the Agro-Rydzyna meat processing plant.

Additionally, climate changes may generate what is referred to as transition risk in the Company, involving the necessity to adapt to the new environmental regulations along with the need to implement new low-emission technology solutions, or generally related to the need to reduce the intensity of emissions of greenhouse gases produced as a result of the Dino Group's operations. The improper identification of needs and the requisite measures in this respect, worse than expected outcomes of initiatives focused on reducing the Dino Group's carbon footprint may in the future generate additional reputational risks, dissatisfaction and protests among customers and ecology organizations, financial sanctions and incremental operating expenses.

The Company continuously monitors its impact on the environment and analyzes data in order to take, on their basis, further strategic decisions in the area of environmental protection. The aim is also to publish pertinent information and data in annual activity reports.

Waste management and recycling

Rational waste management is one of our greatest priorities in our activity. The Company's policy in this respect is pursued by the Environmental Protection Team, which is responsible for appropriate waste management in all areas of the Company's activity in compliance with the law.

All the waste produced by the Dino Group is collected by dedicated and specialized companies based holding the appropriate collection documents. The waste generated by the Dino Group mainly consists of communal waste, waste paper, plastics and side products of animal origin (in the Agro-Rydzyna meat processing plant).

In the Dino Group we take the following actions whose purpose is to encourage proper waste management and recycling and minimize the mass of produced waste:

- observing and promoting waste segregation procedures in all areas (offices, stores, warehouses, meat processing plant),
- recycling all the return packaging made of plastic foil, waste paper and glass in the entire Group,
- introducing selective collection of waste in Dino stores to contribute to cutting the quantity of mixed communal waste,

- baling waste at the store level to compress its volume for intracompany transport and pressing waste in warehouses and preparing it for transport to be recycled,
- cooperation with suppliers to use a system of reusable return packages for fruit and vegetables, whereby we do not produce waste in the form of disposable collective packages and diminish the quantity of food damaged in transport,
- promoting in all areas of the Group the minimization of printed matter, the use of automatic double-sided printing of documents and encouraging employees to use pages that are not fully covered with print; encouraging employees to reuse and recover reusable materials (e.g. plastic sleeves, folders etc.),
- we equipped social areas in the Dino Polska head office with tap water filters, as a result of which our employees do not have to purchase bottled water, which minimizes plastic waste,
- our Dino promotional newsletter is printed on paper with FSC and Ecolabel certificates, which guarantee that the paper used for printing is sourced and processed in a sustainable manner,
- in each Dino store, our customers can dispose of spent batteries, which are then passed on to the Dino – Najbliżej Ciebie Foundation; the revenue on the sales of spent batteries are used to pursue the Foundation's objectives set forth in its articles of association; the collected batteries are transmitted to specialized companies registered in the BDO system via a database of products, packaging materials and waste management (BDO) for neutralization or recovery; uploading the documents into the BDO system makes it possible to control waste transport and management,
- in 2021 we rolled out more ecological packaging in private label products using thinner film or made with recycled materials; we implemented measures to improve ergonomics and logistics by introducing new rules for picking products on pallets, limiting collective packaging materials and utilizing them in the process of extending their lifetime.

Agro-Rydzyna applies the following measures to prevent the production of waste or limit the quantity of waste and its adverse environmental impact:

- transport of products in reusable containers,
- employee training on rational waste management,
- optimization of the consumption of raw materials during the technological process,
- handover of the largest quantities and types of waste for recovery,
- maintenance of the machine fleet and means of transport in a state of good repair,
- continuous modernization of the equipment and installation infrastructure – machinery and equipment.

Water consumption and production of wastewater

In the face of climate change the Dino Group propagates effective water consumption among its employees. The consumption we monitor has held steady at a fixed level. We are in the process of implementing technical capabilities to manage water use more sparingly.

Water consumption and the intensity of water consumption in Dino Polska and the Dino Group

	2021	2020	Change yoy
Dino Polska (water consumption, m ³)	256,962	217,580	18.1%
per PLN 1 million of revenue	19.3	21.5	-10.4%
Dino Group (water consumption, m ³)	475,132	417,938	13.7%
per PLN 1 million of revenue	35.6	41.3	-13.8%

** The Company calculates its water consumption on the basis of the data obtained from the water supply companies serving the various stores; having regard for the varying billing periods and the delay in when these companies provide consumption-related data, the Company's actual water consumption in 2021 may differ slightly and it will be adjusted in the annual report for 2022.*

We dispose of liquid waste, i.e. sewage through the central sewer system and this is then sent to a sewage treatment plant. When it comes to runoff we utilize systems to remove precipitation from sealed surfaces, which makes it possible to retain water resources in an optimum fashion.

Emission of harmful emissions into the environment

The Dino Group takes multiple initiatives to reduce the emissions of the greenhouse gases produced as a result of its operations. In this area the Group's key investments are as follows: i) installation of PV panels on Dino stores; ii) usage of modern cooling and heat recuperation equipment; iii) modernization of the passenger car fleet and modernization and enhancing the effectiveness of the transport network the Company uses to distribute merchandise from its own distribution centers to stores.

Direct greenhouse gas emissions (scope 1)

In 2021 we started to collect data in the various areas of our business to calculate and publish an annual report on the direct emission of greenhouse gases. We estimate that in 2021 it totaled 85,457 tons of CO₂e, which consists of the following: i) emission from the combustion of fuel in the cars in the company's fleet (3,406 tons of CO₂e), ii) emission of fuel-related exhaust in the trucks used to distribute merchandise from distribution centers to Dino stores (55,634 tons CO₂e), iii) emission from the release of cooling agents into the atmosphere (20,062 tons of CO₂e), iv) emission from the combustion of fuels powering the backup electricity generators (12.4 tons of CO₂e), v) emission from the consumption of natural gas in heating equipment (6,343 tons of CO₂e). We estimated the direct emission of greenhouse gases based on the methodology of the Greenhouse Gas Protocol.

At the end of 2021 the Company had a fleet of 794 cars – of which 740 were passenger cars and 54 were light trucks. Dino Polska's car fleet consists mainly of passenger vehicles and light trucks powered by diesel, unleaded fuel or liquid gas. Dino Polska uses a passenger car fleet management system making it possible to track and manage its environmental impact on a continual basis. The reports generated make it possible to calculate fuel consumption and monitor vehicle mileage. Thanks to these solutions the Fleet Management Department can respond on an ongoing basis in situations that require a reaction and it has a real impact on the level of the emissions of greenhouse gases. In addition, the company also has a policy of using company vehicles that obliges drivers to drive economically and safely.

The Dino Polska Group manages the entire logistics process using its own distribution centers in Krotoszyn, Jastrowie, Rzeszotary, Wolborz, Łobez, Sierpc and Sieroniewice to Dino stores throughout Poland. In conjunction with the Dino store network roll-out, the Group is steadily investing in the construction of new distribution centers thereby contributing to shortening the logistics routes between distribution centers and stores (in 2021 the average route was shortened by 18.1%), enhancing the effectiveness of the overall transportation system, reducing fuel consumption and thereby reducing the quantity of harmful substances emitted into the atmosphere. Our goal is to continue ratcheting up the density of the Dino network around distribution centers, and thereby to continue reducing and optimizing the supply routes to our stores.

Merchandise is transported from distribution centers to Dino stores through a network of independent transport companies owning their own tractors. We expect and support these companies in the constant modernization of their fleet. As a result, in 2021, more than 80% of the diesel fuel consumed in conjunction with the distribution of the Company's goods was consumed by vehicles with engines meeting the most stringent exhaust emission standards (EURO6). Transport companies use the new trailers provided by Dino Polska and outfitted with refrigeration equipment dedicated for food transport. There were 591 trailers of this type at the end of 2021. Dino Polska has full control over its transport network. It monitors its effectiveness and it optimizes the utilization of the professional transportation management system (TMS).

The cooling agents released into the atmosphere used in air conditioners and refrigeration equipment are responsible for a substantial part of the carbon footprint of the grocery store network. For that reason at Dino Polska we advocate only modern and tested solutions in this area. Starting in 2019 the installations in coolers in the Company's newly-built distribution centers are based on an indirect cold water system that operates with a quantity of coolant that is many times smaller than in direct systems. In turn, the freezers in distribution centers, which we have been building since 2019 are fully based on installations using a neutral CO₂ agent.

Indirect greenhouse gas emissions (scope 2)

Indirect emissions of greenhouse gases are related to the electricity we use in our operations to power equipment and lighting and heat our stores (using air-air heat pumps). To attenuate our environmental impact in this area we are taking efforts in three main areas:

- we advocate pro-ecological attitudes among our employees and we use equipment and lighting sparingly,

- we reduce the intensity of electricity consumption in our Group through the i) gradual replacement of the equipment used to equipment offering higher energy efficiency, ii) usage of LED lighting in our stores, distribution centers and parking lots and iii) usage of integrated lighting management systems in our distribution centers,
- we develop the capacities of our own installations generating electricity from renewable energy sources.

The actions taken in the first two areas in 2021 contributed to a 10.6% decline in electricity consumption per PLN 1 million of the Dino Group's revenue. In turn, the total power of the PV panels installed on the roof tops of Dino stores climbed from 8.9 MW at the end of 2020 to 28.8 MW at the end of 2021, while the total number of Dino stores outfitted with these installations rose from 365 to 802 over 2021. In 2021 we generated 15.22 GWh.

Electricity consumption and the intensity of electricity consumption in Dino Polska and the Dino Group and the Dino Group's generation of electricity from renewable sources

	2021	2020*	Change yoy
Dino Polska (total electricity consumption, MWh)	187,645	157,263	19.3%
per PLN 1 million of revenue	14.1	15.5	-9.5%
Dino Group (total electricity consumption, MWh)	216,111	183,104	18.0%
per PLN 1 million of revenue	16.2	18.1	-10.6%
Dino Group – electricity generated using renewable sources (MWh)	15,220	2,847	435%
Indirect greenhouse gas emissions - Dino Group (scope 2, tCO ₂ e)**	171,472	153,860	11.4%
per PLN 1 million of revenue	12.8	15.2	-15.5%

* the 2020 consumption data have been adjusted versus the data published in the 2020 Annual Report

** calculated using the location based method referencing the rate of emission for the final consumers of electricity published by the National Center for Balancing and Managing Emissions (KOBIZE) in 2020

We have a stated goal of continuing to reduce the intensity of indirect greenhouse gas emissions (scope 2). For that reason we will continue to ratchet up the capacities of our solar powered installations. We assume that every new Dino store will be outfitted with PV panels. In addition, we would like to finish the assembly of PV panels on all of the current Dino stores by the end of 2023, provided that technical conditions and their location allow for that. In 2022 and 2023 this should mean several hundred installations of PV panels on the roof tops of Dino stores. In parallel, we are working on commencing the construction of large PV farms on the sites of selected Dino distribution centers.

Indirect greenhouse gas emissions (scope 3)

The Dino Group has a number of initiatives aimed at reducing scope 3 greenhouse gas emissions. We do our utmost, while preserving the highest quality and competitive prices, to ensure that the fruit and vegetables we offer are sold in bulk to avoid the use of any additional unit plastic packaging.

Dino's compact and standardized store format poises us to function very effectively in small population centers. Thanks to that we are capable of locating our stores close to the places where customers live and consistently increase the density of our network. We also source staff members for our stores among the local population. In this manner we reduce the distance that separates local residents from the nearest store to do their daily shopping or to their place of work, which cuts the emissions of the greenhouse gases related to the means of transport they use.

We encourage our administrative employees to demonstrate environmentally-friendly behavior. There is a DinoCar platform in the Company's head office, which makes it easy for employees to arrange shared rides to and from work at the Company's head office.

Our employees fly on business trips very rarely, with merely a few such trips a year. Most business trips are taken by car within Europe.

EU taxonomy

Pursuant to art. 8 of Regulation (EU) 2020/852 of the European Parliament and of the Council of 18 June 2020 on the establishment of a framework to facilitate sustainable investment, and amending Regulation (EU) 2019/2088 ("EU Taxonomy"), below the Company presents the percentage of the Dino Group's sales stemming from products or services related to business that qualifies as part of the EU Taxonomy's structure and the percentage of capital expenditures and operating expenditures corresponding to assets or processes related to business that qualifies as part of the EU Taxonomy's structure. The calculation of the above figures was based on Dino Group's financial statements for 2021. The value of sales, capital expenditures, and operating expenses eligible for the EU Taxonomy were calculated: i) after an analysis of Dino Group's activities in terms of their eligibility for the EU Taxonomy, ii) on the basis of an analysis of existing processes, current reporting systems and assumptions made, iii) after appropriate allocation of sales, operating expenses and capital expenditures to the various activities. The purpose of the EU Taxonomy is to establish a system for the homogenous classification of sustainable development efforts.

The table below shows the percentage of sales, operating expenses and capital expenditures related to Dino Polska Group's activities that qualify as part of the EU Taxonomy's structure.

	Sales	Operating expenses	Capital expenditures
Percentage associated with eligible activities	0.2%	6.9%	52.0%
Percentage associated with non-eligible activities	99.8%	93.1%	48.0%

Sales

The Company's analysis demonstrates that roughly 0.2% of the Dino Group's sales come from business that qualifies as part of the EU Taxonomy's structure. This business pertains to the *collection and transport of waste other than hazardous waste in fractions segregated at the source* (5.5). The other 99.8% of sales comes from business that does not qualify. Practically speaking, it pertains in its entirety to retail sales. Total sales is understood as sales revenue, as reported in the Consolidated Financial Statements.

Operating expenses

6.9% of Dino Group's operating expenses pertain to total expenses related to assets or processes associated with activities that qualify as part of the EU Taxonomy's structure (understood as direct, non-capitalized costs that pertain to research and development, building renovation activities, short-term leasing, maintenance and repairs, and any other direct expenses pertaining to the day-to-day operation of property, plant and equipment by an entity or a third party contracted to perform activities that are necessary to ensure the continuous and efficient operation of these assets). These activities relate to *renovation of existing buildings* (7.2). 93.1% of operating expenditures pertain to business that does not qualify as part of the EU Taxonomy's structure. These are mainly maintenance costs.

Capital expenditures

52.0% of Dino Group's capital expenditure pertain to the Group's expenditure (understood as the purchase price of property, plant and equipment - Note 18 of the Consolidated Financial Statements, the purchase price of intangible assets - Note 20 of the Consolidated Financial Statements and the increase in leases - Note 19) pertaining to assets or processes related to the activities that qualify as part of the EU Taxonomy's structure, incurred during the financial year before depreciation, amortization and any revaluations, including those resulting from revaluations and impairments, for the financial year, excluding changes in fair value. This business pertains to the following areas: i) generation of electricity using photovoltaic technology (4.1), ii) transport using motorcycles, passenger cars and light utility vehicles (6.5), iii) renovation of existing buildings (7.2), iv) construction of new buildings (7.1). 48.0% of capital expenditures pertain to business that does not qualify as part of the EU Taxonomy's structure. These capital expenditures are chiefly related to development of the land surrounding stores and distribution centers and the purchase of land, machinery, equipment and fittings and fixtures.

Business Relations

We base our business relations on reciprocal trust and respect. These two values are crucial to us, in the context of our internal and external relations. We operate in an honest and transparent fashion. In any and all of our activities the overarching requirement is to adhere in full to the law and the generally accepted norms and social standards. Our business entailing its distinct nature exerts an impact on the business environment in which we function. We want to serve as an example as a Company that employs best practices in its daily activities. We continuously endeavor to extend our knowledge and improve the solutions used to date. We benefit from best market practices and we translate them into what our firm can do and we incorporate them in our practices. We also accurately report to our local community on our business activity.

The "Business Relations" area affects people inside as well outside of the organization. The "Business Relations" area is managed by observing our procedures and policies associated with cooperation with suppliers, partners, business partners, shareholders and investors.

Sourcing products from domestic suppliers

Our procurement policy supports the objective of providing Dino customers with safe products of the highest quality and at attractive prices. Implementation of the strategy in this respect is the responsibility of the Procurement Department Director, who is one of the key managers in the Company. In addition to products under recognizable brands and fresh products, we also offer Dino customers products under lesser-known brands that are cheaper alternatives and private label products. We readily cooperate with smaller local suppliers.

Business ethics

We do business on the basis of clearly defined ethical values and principles at every level of the Dino Group's operations. They also extend to our supply chain and are described in the „DINO POLSKA” S.A. Code of Conduct for Suppliers, which is a part of all of our new commercial contracts with suppliers.

The provisions of the Code of Conduct for Suppliers are based on the ethical values we espouse in the following areas:

- caring about creating a good place of work for the Dino Group's employees and associates,
- building business relations based on honesty and trust, and
- mindfulness of, and sensitivity to, our social surroundings and natural environment.

The Code of Conduct for Suppliers is addressed to all our suppliers of grocery and non-grocery products. This document does not allow for the use of child labor or forced labor. The Code of Conduct for Suppliers references human rights and does not permit any form of discrimination. In addition, it obligates suppliers to provide their workers with decent terms and conditions of work and lodging (if suppliers provide lodging) and adhere to OSH rules. The Dino Polska Code of Conduct for Suppliers treats suppliers as entities taking responsibility for the origin, quality and safety of the products and services rendered to Dino Polska. This document lays down an obligation of complying with regulations regarding minimum pay and working time and preventing conflicts of interest and corruption. Moreover, it obligates suppliers to conserve natural resources and mitigate their adverse environmental impact.

7.6 Risks

Demanding situation on the labor market may unfavorably affect the Dino Group's operations

The Dino Group operates in a sector characterized by relatively high employee turnover. In the face of the declining level of unemployment in Poland, which is accompanied by a high level of competition for store employees between entities operating in the retail trade sector, the Group may not be able to secure new employees having sufficient experience and qualifications. This may also lead to additional pressure on higher costs of compensation. The occurrence of the aforementioned circumstances may have an adverse impact on the quality of client service and Dino Group's business. The Dino Group strives to counteract such a risk chiefly by constantly monitoring the labor market situation and analyzing its competitiveness in this area. The HR department and the departments responsible for training and development are being strengthened, inter alia by hiring additional employees.

Loss of the Dino Polska Group's key employees or the inability to hire a sufficient number of qualified employees may exert an adverse impact on the Dino Polska Group's operations and its development in the future

One of the key factors driving the Dino Polska Group's business in the future, especially its ongoing growth, geographic expansion and the execution of the adopted strategy is having the appropriate number of qualified and committed employees. Many people acting in managerial functions in the Dino Polska Group have many years of work experience in the Dino Polska Group and in the retail grocery market. There is a risk that in connection with its development the Dino Polska Group will not manage to retain key employees, source key personnel to fill vacancies or staff newly-created positions with employees holding the appropriate qualifications and experience, and may be compelled to incur considerable costs to hire and train them. Moreover, the Dino Polska Group cannot rule out that its competitors or other entities operating on the retail grocery market will offer prospective employees better conditions of employment. Staff shortages and the loss of key employees may unfavorably affect the Dino Polska Group's further business development.

The occurrence of one or several of the above risk factors may have a material adverse effect on the activities, financial standing and results of Dino Polska and the Dino Polska Group.

Risk of claims being lodged against the Dino Group on account of work accidents

The occurrence of work accidents, including fatal accidents may put the Dino Group in jeopardy of claims from employees or other eligible parties, which may exert an adverse impact on its capacity to source new employees, activities, financial standing, results or prospects.

The production of fresh meat and processed meat products coming from a single supplier may be disrupted

Agro-Rydzyna, which produces products from fresh meat and Dino Polska, which sells food products are therefore subject to many regulations pertaining to health protection and sanitary regulations that are applicable to food production. Giving consideration to the complexity of the food production process, there is a risk that Agro-Rydzyna in particular may fail to meet all the sanitary requirements and procedures, including the ones pertaining to health and safety, and also monitoring and conducting laboratory analyses of the quality of raw materials and finished products. If the meat processing plant run by Agro-Rydzyna fails to meet the qualitative requirements and the ones pertaining to health protection and the sanitary requirements ensuing from the relative regulations, the production of goods using fresh meat may be curtailed or even interrupted. The occurrence of the aforementioned circumstances may have an adverse impact on Dino Polska's brand and reputation, and as a consequence, on the Company's financial standing, results or prospects and share price. The Group counteracts this risk by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Client complaints, product liability claims, procedures for retracting products from sale, OSH issues, negative advertisement, litigation or other factors may lead to a decline in the value of the Dino brand

The Dino Group's success is partially dependent on brand recognition and the company's value related to it, while Dino's brand and trademarks constitute key assets in the Dino Group's operations. Preparing, packing, transporting, storing and selling perishables and products other than groceries carry the risk of product contamination or poisoning, quality deterioration or defects that may potentially lead to retracting products from sale, claims for damages or negative advertisement, and may also entail costs ensuing from the foregoing events. Food and non-food products may contain substances that in certain cases may induce disease, bodily injury or death. The sale (or allegations concerning an alleged sale) of contaminated products, of lower quality or defective products may lead to product liability claims or the retraction of products from sale. The risk of product liability claims or obligations to retract a product from sale are particularly material in the context of the sales conducted by the Dino Group of fresh food products.

All client complaints, product liability claims, cases of retracting products from sale, OSH issues, negative advertisement, litigation or other factors reducing the value of the Dino brand may lead to damage to its reputation and unfavorably affect the Dino Group's activities, financial standing and results.

In addition, the Dino Group, as a producer of food, is obligated to adhere to specific requirements ensuing from prevailing regulations, while its activities and the products it produces are subject to supervision and inspection

by many public supervision authorities, in particular, in terms of adhering to the rules pertaining to the procedures for producing food to ensure that food products are safe for consumers.

The occurrence of any of the above risk factors may have a material adverse effect on the Dino Group's reputation, activities, financial standing and results. The Dino Group counteracts the foregoing risks by diligently selecting the suppliers of raw materials and products and by monitoring adherence to compliance with internal systems pertaining to the safety and quality of food (including HACCP) and the regulations of nutrition law.

Changes to legal regulations, among others, pertaining to the production of food, fire protection and safety, employment law and environmental protection regulations and insufficient efforts in these areas may adversely affect the Dino Group.

The activities of the Dino Polska Group are subject to various regulations in Poland (among others in respect to food production, fire and safety regulations, provisions of labor law and environmental law) These regulations exert a significant influence on the activities of the Dino Polska Group. If the Dino Polska Group does not operate in compliance with these requirements, it may be liable to pay penalties, fees or damages as provided for by the relevant legislation and may even be required to suspend part of its operations. In addition, actions are increasingly more frequently expected to be taken by entities conducting business in the foregoing areas transcending legal requirements.

Since there is no clarity as to future regulations, in the future the Dino Polska Group may be obligated to incur significant costs or capital expenditures to adapt the existing installations of the stores, distribution centers or the meat processing plant operated by Agro-Rydzyna to meet the new requirements or social expectations. Otherwise, it may be the subject of more rigorous inspections leading to financial penalties, its brand may be in jeopardy, which may adversely affect the Dino Polska Group's activities, financial standing, growth prospects and results. The Dino Polska Group prevents these risks by submitting to internal procedures and legal regulations and by monitoring its environmental impact and by pursuing environmentally-friendly projects.

The COVID-19 pandemic, its impact on the economic standing of Poland and across the globe, the measures taken to respond to the pandemic and any other similar events in the future may affect consumers' purchasing decisions and they may exert an adverse impact on the Dino Group's business

Even though the Dino Group effectively prevented pandemic-related risks in its operations in 2020-2021, whereby the pandemic did not have a material direct impact on the Group's business and performance, one cannot rule out the possibility that the Dino Group will be unable to manage similar risks in the future with an equal degree of efficacy.

The distinct nature of the operation of the Dino network, which sells fast moving consumer goods calls for the undisrupted functioning of supply chains and the presence of employees who cater to consumers in stores, while the staff members in distribution centers are responsible for stocking stores. The intensification of epidemiological phenomena, the actions taken to respond to them and the restrictions may affect supply chains in a way that triggers delays and shortages in supplies and higher prices at which Dino Polska purchases products from its suppliers. Despite the diverse and constantly expanding base of suppliers, one cannot rule out a situation in which the Company will not be able to prevent entirely the consequences of such events, and this may adversely affect the level of sales and operating expenses. Additionally, this may be strapped with adaptation measures related to functioning during epidemic conditions. The Company's erroneous or delayed recognition of changes in consumers' preferences and needs precipitated by a pandemic or its escalation may also adversely affect the level of sales.

Dino Polska is effectively ramping up its headcount. It has rolled out multiple solutions to ensure business continuity and by increasing the density of the store network it has the ability to shift employees effectively from store to store. However, one cannot rule out a situation in which, due to an intensifying pandemic a major portion of the Dino Group's employees will not be able to work on account of infection or quarantine, and this may temporarily reduce the timeliness of the deliveries of merchandise from distribution centers to the store network and the availability of such merchandise to customers, whereby it may adversely affect the level of sales.

In addition, the limited availability of workers may delay construction and administrative processes related to the launch of new Dino stores. This may temporarily slow down the Company's intended pace of network rollout, and thereby lead to a lower than expected pace of top line growth.

7.7 Final information

Dino Polska's Corporate Social Responsibility Reports are prepared on an annual basis.

Dino Polska's Corporate Social Responsibility Report satisfies the requirements of the representation on non-financial information in accordance with the Accounting Act of 29 September 1994. The most recent representation on non-financial information was published on 12 March 2021.

8. REPRESENTATIONS OF THE DINO POLSKA MANAGEMENT BOARD AND SUPERVISORY BOARD

Representation of the Dino Polska Management Board on selecting an audit firm and the selection procedure

Based on the representation of the Supervisory Board, the Management Board of „DINO POLSKA” S.A. hereby reports that:

- the audit firm auditing the Financial Statements of Dino Polska for the year ended 31 December 2021 and the Consolidated Financial Statements of the „DINO POLSKA” S.A. Group for the year ended 31 December 2021 was selected in accordance with the legal regulations, including those related to the selection and selection procedure of an audit firm,
- the audit firm and members of the audit team met the conditions for drafting an impartial and independent audit report of the annual financial statements pursuant to effective provisions of law, professional standards and professional ethics principles,
- „DINO POLSKA” S.A. complies with the applicable regulations related to rotating the audit company and key statutory auditor and mandatory cooling off periods,
- „DINO POLSKA” S.A. has a policy concerning audit company selection and provision of additional non-audit services to the issuer by the audit company, an affiliate of the audit company or a member of its network, including services conditionally exempted from the prohibition of being provided by an audit company.

Izabela Biadała

Michał Krauze

Management Board Member

Management Board Member

***Representation of the Dino Polska Supervisory Board
on the functioning of the Audit Committee***

The Supervisory Board of „DINO POLSKA” S.A. (“Company”), acting pursuant to § 70 Section 1 Item 8 and § 71 Section 1 Item 8 of the Finance Minister’s Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent (Journal of Laws of 2018, Item 757) in connection with Article 60 Section 2 of the Act of 29 July 2005 on Public Offering and the Terms and Conditions for Introducing Financial Instruments to an Organized Trading System and on Public Companies (Journal of Laws of 2016, Item 1639, as amended), hereby represents that:

- „DINO POLSKA” S.A. and its statutory bodies observe the provisions on establishing, composition and dealings of the audit committee, including the fulfillment of independence criteria by its members and requirements concerning knowledge and skills related to the industry in which the issuer operates, as well as to accounting or auditing of financial statements,
- the audit committee performed and performs the tasks of the audit committee prescribed by the applicable laws.

Tomasz Biernacki

Eryk Bajer

Sławomir Jakszuk

Supervisory Board Chairman

Supervisory Board member

Supervisory Board member

Piotr Nowjalis

Maciej Polanowski

Supervisory Board member

Supervisory Board member

***Evaluation of the Dino Polska Supervisory Board concerning the financial statements and the activity report
in terms of compliance with the ledgers, documents and the facts***

The Supervisory Board of „DINO POLSKA”, acting pursuant to art. 382 § 3 of the Commercial Company Code, § 17 Section 1 Item 2 of the Company's Articles of Association and in conjunction with § 70 Section 1 Item 14 and § 71 Section 1 Item 12 of the Finance Minister's Regulation of 29 March 2018 on the Current and Periodic Information Transmitted by Securities Issuers and the Conditions for Recognizing the Information Required by the Regulations of a Non-Member State as Equivalent, after familiarizing itself with the data and information forming part of the Financial Statements and the Consolidated Financial Statements of „DINO POLSKA” S.A. for the year ended 31 December 2021 and the Management Board Report on the Activity of the Company and the „DINO POLSKA” S.A. Group in 2021 states that they are compliant with the ledgers, documents and the facts.

The Supervisory Board performed its assessment in particular based on: i) information provided to the Company's Audit Committee by the audit firm, Ernst & Young Audyt Polska sp. z o.o. sp. k. auditing the financial statements, ii) information and data provided to the Supervisory Board by the Company's Management Board, iii) information provided to the Supervisory Board by the Audit Committee following the performance of tasks prescribed by the law and by internal regulations by the Audit Committee. The Supervisory Board decided that the preparation of the financial statements and the management board activity report for 2021 does not trigger any doubts in terms of correctness.

Tomasz Biernacki

Eryk Bajer

Sławomir Jakszuk

Supervisory Board Chairman

Supervisory Board member

Supervisory Board member

Piotr Nowjalis

Maciej Polanowski

Supervisory Board member

Supervisory Board member

Representation of the Dino Polska Management Board on accuracy and compliance of the financial statements with the law

According to its best knowledge, the „DINO POLSKA” S.A. Management Board (“Company”) represents that:

- The Financial Statements of „DINO POLSKA” S.A. for the year ended 31 December 2021 and the comparable data have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of „DINO POLSKA” S.A. and its financial result,
- The Consolidated Financial Statements of the „DINO POLSKA” S.A. Group for the year ended 31 December 2021 have been prepared in accordance with the binding accounting principles and honestly, fairly and clearly reflect the assets and financial standing of the „DINO POLSKA” S.A. Group and its financial result,
- The Management Board's Report on the Activity of the Company and the „DINO POLSKA” S.A. Group in 2021 contains a true picture of the development, accomplishments and standing of the Company and the Group, including the description of the fundamental threats and risks.

Izabela Biadała

Michał Krauze

Management Board Member

Management Board Member